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**EXECUTIVE
BOARD
MEETING**

EBS/22/1

January 10, 2022

To: Members of the Executive Board

From: The Secretary

Subject: **Republic of Congo—Request for a Three-Year Arrangement Under the
Extended Credit Facility**

Board Action:	Executive Directors' consideration (Formal)
Tentative Board Date:	To be announced
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Publication:	Yes*
Questions:	Ms. Mitra, AFR (ext. 39523) Mr. Sulemane, AFR (ext. 38099)
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*The authorities have indicated that they consent to the Fund's publication of this paper.



REPUBLIC OF CONGO

REQUEST FOR A THREE-YEAR ARRANGEMENT UNDER THE EXTENDED CREDIT FACILITY

EXECUTIVE SUMMARY

Context. A new wave of the COVID-19 pandemic is creating headwinds for the nascent economic recovery from the deep recession spurred by the pandemic's onset and related oil price shocks. Over the medium term, reforms supporting improved governance, economic diversification, and resilience will help confront challenges from climate change, and the global transition to low-carbon economies—gradually resulting in improved incomes, job creation, inequality, and exit from fragility. In the near term, fiscal space to address these challenges is limited. Although debt sustainability was recently restored, large liquidity risks and vulnerabilities remain. Due to arrears and on-going negotiations with an external commercial creditor, debt is classified as “in distress”. The recent AIV consultation concluded on September 24, 2021.

Extended Credit Facility Arrangement (ECF). The authorities have requested a 36 month arrangement under the ECF for the amount of SDR 324.0 million (200 percent of quota).

Outlook and Risks. Economic recovery is anticipated to strengthen in 2022 as headwinds from the pandemic subside. Inflation is expected to remain contained. Key risks to the outlook include volatility in oil prices and production, slowdown in vaccine rollout, climate shocks, and weak reform implementation.

Program objectives and policies. The authorities' ECF-supported program aims to address immediate and protracted balance of payments needs associated with building a recovery that reduces fragilities and results in higher, more resilient, and inclusive growth. Key supporting program policies are: (i) increased infrastructure and social spending while undertaking fiscal consolidation through revenue mobilization and spending reprioritization; (ii) resolution of external arrears; (iii) strengthened public investment and debt management, which combined with (i) and (ii), will reduce debt vulnerabilities; and (iv) governance, transparency, and supply-side structural reforms promoting economic diversification. The arrangement will help catalyze development partner financing, contribute to regional stability, and will be supported by regional CEMAC efforts to maintain an appropriate monetary policy stance and promote financial sector stability.

January 10, 2022

REPUBLIC OF CONGO

Approved By
Vitaliy Kramarenko
(AFR) and Gavin Gray
(SPR)

Discussions on an ECF-supported program were held virtually during October 7–18 and November 4, 2021. The staff team comprised Ms. Mitra (head), Mr. Islam, Mr. Sulemane (all AFR), Mr. Chaudry (SPR), Ms. Liu (FAD), Mr. Swanepoel (LEG), Mr. Million (Resident Representative), Mr. Nsongui Tonadio (local economist), and Mr. Sarda (FAD long-term expert). Mr. Sidi Bouna (OED) joined in key discussions. Mr. Tsoungi (World Bank) joined the technical meetings. Ms. Akor provided research support and Ms. Adjahouinou assisted in preparing the staff report. The mission held discussions with the Hon. Mr. Andely Minister of Finance and other senior officials. The mission also met representatives of the private sector, civil society, and development partners.

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CONTEXT

1. New waves of the COVID-19 pandemic are spreading across the Republic of Congo

(Congo). There were a record 7,626 new COVID-19 cases and 187 deaths during September through December 31, 2021 (Box 1) following the spread of the Delta and Omicron variants across the country. Containment measures have been intensified, including curfew extensions and vaccine or negative COVID-test requirements to enter public buildings. So far, there are no plans for reinstating lockdowns. Concurrently, vaccine deployment continues with the goal of vaccinating 60 percent of the population by end-2022—costing \$88 million (0.7 percent of GDP, Text Table 1). As of December 31, 2021, 1 and 17 percent of these people are partially and fully vaccinated. In 2021, the government projects having spent 0.3 percent of GDP for vaccine deployment (in line with the budget) and 0.7 percent of GDP for health care equipment and supplies, and social transfers—0.3 percent of GDP higher than previously budgeted due to recent intensification of the pandemic which has required expanding these services, including creating more temporary care facilities. The public continues to support the government's handling of the pandemic but remains concerned over social inequity and weak governance ahead of the mid-2022 Parliamentary elections.

Text Table 1. Republic of Congo: COVID19 — Vaccine Scenarios^{1,2}

Priorities (% of Population)	3%	17%	40%	Total (60%)
Costs (USD million):				
Cost of vaccines	0	36	29	65
Operational Costs	8	8	8	23
Total Cost	8	43	37	88
o/w				
China--Sinopharm for first 3% of population (Grant)	...	...	...	0.0
Russia--Sputnik for next 17% of population (Cash payment)	...	...	...	35.6
African Union AVAT for part of 40% of remaining population (Loan)	...	...	...	6.9
World Bank for part of 40% of remaining population (Loan)	...	...	...	12

Source: Government of Republic of Congo, Plan National de Déploiement et de Vaccination COVID-19 au Congo, February 2021.

¹ Total represents 60 percent of the population.

² Operational costs include administration costs. In-country transportation costs are included in the cost of vaccines.

2. Development partner financing in support of deep reforms will be critical for a sustained recovery from the pandemic.

Congo has been in recession since 2015, triggered by a sharp decline in oil prices in 2014 and weak governance that led to a rapid increase of public debt. Ambitious fiscal consolidation and bold structural reforms during 2018–19 had created the foundations for a recovery when the pandemic struck. The human and economic toll of the pandemic, including through erosion of the population's earnings potential, is aggravating Congo's fragilities (Annex I)—which are already heightened by the adverse impact of climate change on food security and poverty, and, absent economic diversification, the long-term economic repercussions of reduced global oil demand following the expected global transition to low-carbon economies. In the face of these challenges, raising medium-term incomes, inclusiveness, and resilience will require financial and capacity building support from development partners that boosts social and capital spending while structural and governance impediments are addressed.

3. Against this backdrop, the authorities have requested a three-year arrangement under the Extended Credit Facility (ECF).

The arrangement would provide SDR 324.0 million (200 percent of quota) to meet immediate and protracted balance of payments needs associated with (i) maintaining macroeconomic stability during a fragile recovery from the pandemic and (ii) the

authorities' medium-term economic reform program—centered around economic diversification and resilience to climate change—which seeks to place Congo onto a path of higher, more resilient, and inclusive growth. The proposed Fund-supported program has been tailored to address Congo's fragilities with focused and streamlined conditionality supported with substantial capacity development. The arrangement is also expected to catalyze development partner financing.

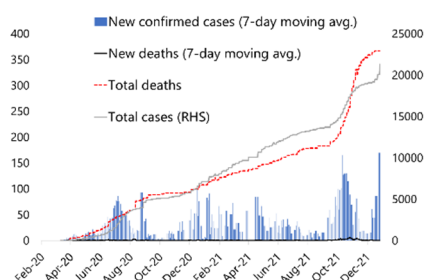
Box 1. COVID-19 Pandemic in the Republic of Congo¹

A third wave of the COVID-19 pandemic hit the Republic of Congo in the Fall of 2021 (Panels 1 and 2), which was followed by the recent spread of the Omicron variant. New cases have surged and as of December 31, 2021, there were 21,277 confirmed cases, 369 deaths and 18,825 recoveries. In March 2020, the government policies in response to the pandemic were stricter than the world average; however, these policies have gradually become less strict with some tightening of restrictions in recent weeks (Panel III). All departments of the country have been affected by the pandemic with Brazzaville and Pointe-Noire having the highest confirmed cases of COVID-19 (Panel IV).

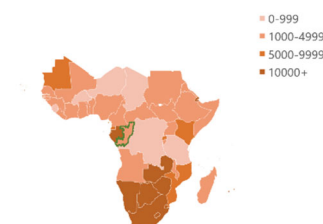
Vaccine deployment began in March 2021, with the 3 percent of people most exposed to the disease (e.g., health care and social workers, teachers, border professionals) being vaccinated first; followed by the next 17 percent (e.g., students, retail and office personnel); and then another 40 percent. A total of 767,398 COVID-19 vaccines have been administered, which includes 287,413 Sinopharm doses, 24,376 Sputnik V doses, 106,187 Sputnik Light doses, 76 Pfizer doses and 349,346 Johnson and Johnson doses.

To support businesses, since May 2021, the government has deferred certain tax and duty payments, cut the corporate tax rate (from 30 to 28 percent), and reduced the turnover tax for small businesses (from 7 to 5 percent for turnover below CFAF 100 million). BEAC also implemented monetary easing—including lowering the policy rate by 25 bps to 3.25 percent in March 2020, injecting liquidity to banks, and implementing temporary purchases of government securities. These temporary monetary measures are being rolled back.

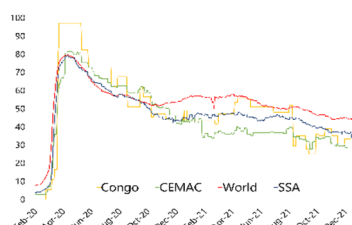
COVID-19 Trends



COVID-19 Cases per Million of Inhabitants



COVID-19 Government Response Stringency Index² (100 = most stringent; 0 = least stringent)



COVID-19 Statistics by Department

	Confirmed Cases			Deaths	Recoveries
	Total	Male	Female	Cumulative	Cumulative
Bouenza	92	28	64	7	85
Brazzaville	13045	5103	7942	208	11334
Cuvette	109	34	75	1	101
Cuvette-Ouest	60	4	56	0	60
Kouilou	146	46	100	2	131
Lekoumou	18	4	14	1	17
Likouala	90	14	76	1	89
Niari	54	25	29	5	49
Plateaux	151	40	111	0	151
Pointe-Noire	7294	2068	5226	141	6596
Pool	38	12	26	0	35
Sangha	180	39	141	3	177
Total	21277	7417	13860	369	18825

Sources: Congolese Authorities; WHO; John Hopkins Coronavirus Resource Center; Oxford COVID-19 Government Response Tracker

¹ Figures as of December 31, 2021.

² Government Response Stringency Index is a composite measure based on nine government response indicators, including school closures, workplace closures, stay-at-home requirements, and travel bans.

RECENT ECONOMIC DEVELOPMENTS, OUTLOOK, AND RISKS

4. **Economic recovery faces headwinds from intensification of the pandemic and weak oil production.**

- The economic recession that began in 2015 was amplified by the pandemic and oil price collapse in 2020, with 8.1 percent real GDP decline (Figure 1).
- In 2021, real GDP growth of -0.2 percent is expected. Despite higher oil prices in 2021, oil production is projected at -2.9 percent due to insufficient investment during the pandemic preventing the largest producers from fully restarting oil production. Non-oil growth is projected at 0.9 percent. Employee absences in 2021Q4 related to the third wave of the pandemic slowed the strong momentum in 2021Q1-Q3 fueled by agricultural and mining expansion, large companies substituting locally-sourced inputs in place of imported inputs, improved services activity, increased social spending and public investment, and domestic arrears payments.
- Economic recovery is anticipated to take hold in 2022 with 2.4 percent real GDP growth. Headwinds from the pandemic are expected to subside in the second half of the year—largely owing to the current acceleration of the vaccination campaign—allowing non-oil growth to strengthen to 3.3 percent. Oil production is also anticipated to improve to 1.0 percent with the resumption of investment by the largest producers and conclusion of negotiations on new conventions related to tax concessions.
- Subdued average headline inflation, projected at 2.1 percent in 2021, is expected to rise to 2.7 percent in 2022 in line with increased economic activity. Pressures on food inflation in 2021H1 from import shortages related to supply chain disruptions appear to have subsided.

5. Substantial external vulnerabilities persist. Pressures are increasing owing to financial outflows related to public sector debt service to external private and official creditors (¶10) and to public and private sector debt service to regional commercial banks. In addition, the overall current account balance is expected to deteriorate from 13.4 percent of GDP in 2021 to 5.5 percent of GDP in 2022. This is largely due to rising imports in line with improved non-oil private sector activity and increased health care and other development spending by the government. Non-oil exports and net oil exports remain broadly stable—with high oil prices in 2021 more than offsetting the impact on exports from reduced oil production, and higher oil production in 2022 offsetting the impact from slightly lower oil prices.

6. Increased pandemic-related and development spending widened the 2021 non-oil primary deficit while the primary fiscal balance benefited from higher oil revenues. The non-oil primary deficit is projected to widen by 2 percent of non-oil GDP relative to 2020 (by 1.3 percent

of non-oil GDP relative to the 2021 budget) largely owing to unanticipated pandemic-related goods and services spending and stepped-up domestic capital spending in 2021H2, including for post-flood school reconstruction (Text Table 2).

Oil-related transfers¹ to the refinery (Congolaise de Raffinage, CORAF) and to the electric company (Centrale Electrique du Congo, CEC) were reduced slightly as reforms of these state-owned enterprises (SOEs) initiated in 2019 continue. Improved non-oil revenues—supported by gradual increases in non-oil economic activity and revenue-enhancing measures adopted over the past two years (e.g., electronic payments and a broadening of the tax base)—only partially compensated for reduced grants.

Substantial domestic arrears were also repaid drawing on domestic financing in the absence of budget support from development partners. Application of the remaining portion of the 2009 SDR allocation and extension of the G-20 Debt Service Suspension Initiative (DSSI) through 2021 helped reduced near-term liquidity pressures.

Text Table 2. Republic of Congo: Fiscal Performance, 2020–21
(Percent of non-oil GDP)

	2020		2021		2020 H1	2021H1
	Prel.	Rev. Budget	Proj.		Est.	Prel.
Total revenue and grants	31.1	36.2	38.2		15.2	15.3
Revenue	28.8	35.9	36.8		14.3	15.3
Oil revenue	15.3	21.7	22.9		7.8	8.8
Non-oil revenue	13.4	14.1	13.9		6.5	6.6
Grants	2.3	0.3	1.4		0.9	0.0
Expenditure and net lending	32.8	33.2	36.0		16.7	15.7
Current expenditure	27.8	27.0	31.0		14.3	14.0
Wages	8.3	8.5	8.5		4.0	3.8
Goods and services	3.7	3.3	5.2		2.4	2.7
Transfers	11.2	9.9	11.0		5.4	4.2
Interest	1.9	3.0	3.5		0.7	1.9
Other	2.8	2.4	2.8		1.7	1.4
Capital expenditure	5.0	6.2	5.0		2.4	1.7
Domestically-financed	2.8	3.4	3.0		1.4	1.6
Externally-financed	2.2	2.8	2.0		1.0	0.1
Non-oil primary balance	-15.2	-15.8	-17.1		-8.4	-7.2
Primary balance	0.2	6.0	5.7		-0.7	1.5
Overall balance, cash basis	-1.0	3.0	2.2		-1.1	-0.3

Sources: Congolese authorities; and IMF staff estimates.

7. Improvements in banking system solvency and liquidity are reducing vulnerabilities.

Non-performing loans (NPLs) declined from 18 to 17 percent between end-2020 and end-June 2021 (Table 6) owing to arrears payments outweighing the effects of economic contraction. Arrears' payments and deposit growth improved banks' liquidity but year-on-year private sector credit growth is still projected at 0.6 percent in 2021 due to low credit demand. The capital adequacy ratio increased from 19 percent at end-2020 to 22 percent at end-June 2021 reflecting improved risk-weighted assets and positive trends in credit and deposits. Restructuring plans are being considered for two weak banks.

8. Over the medium term, average growth of 3.2 percent will be supported by reforms initiated during the previous and proposed ECF arrangements—enabling a measured reduction in fragility through increased per capita GDP and reduced poverty and inequality (Text Figure 1).

- Non-oil economic growth (averaging 4.2 percent during 2023–26) is expected to benefit from gradual economic diversification and increased resilience to climate change. To this end, the government will (i) step-up spending on education, health care, and resilient infrastructure—including through increased social assistance and domestically- and externally-financed capital spending (¶10–12); and (ii) implement structural reforms (governance, financial, business environment, digitalization) that complement improved public infrastructure and services, which all aim to support growth in inclusive non-oil

¹ Oil-related transfers are mainly payments to state-owned enterprises, such as CEC, for oil input purchases.

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private sector activity (¶16–18). These reforms are also expected to boost the on-going expansion of mining, agriculture, and services. The impact of fiscal consolidation is anticipated to be limited, owing to the strategic reprioritization of spending and lower fiscal deficits freeing banking system financing for private sector credit.

- Oil production growth (averaging 0.9 percent during 2023–26) will peak at 125 million barrels in 2024, supported by modest new investments given reduced long-term global oil demand.
- The current account balance is anticipated to shift from a surplus to a deficit (averaging -2.3 percent of GDP during 2023–26), driven by strong import growth associated with oil (up to 2024) and non-oil investment, which will be partially offset by a gradual improvement in non-oil exports owing to economic diversification. Projected current account deficits are expected to be financed by increases in FDI and external project support—both catalyzed by the proposed ECF arrangement.
- Average inflation is expected to settle at 3 percent from 2023 onwards (consistent with CEMAC inflation targets). Pressures from increased consumption and investment will be offset by supply-side expansion of the non-oil economy.

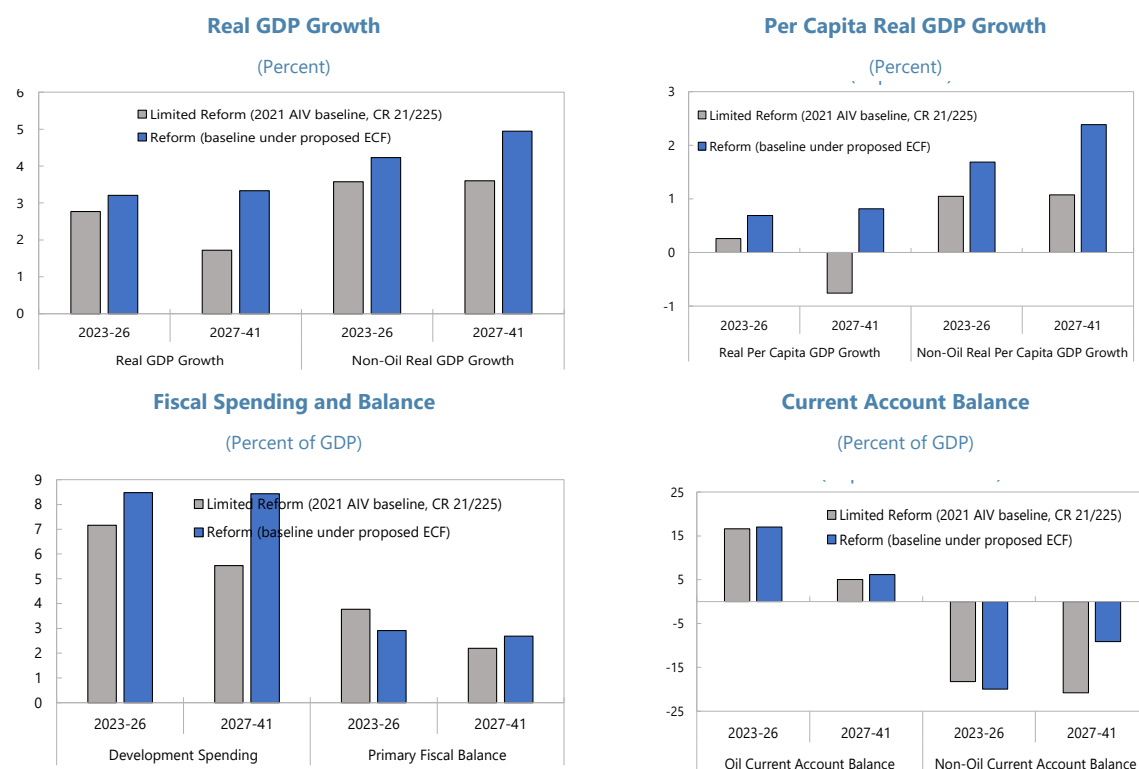
9. Risks are tilted to the downside (Annex II)

- Near-term non-oil growth could be set back by slower than anticipated vaccine rollout—due to hesitant populations and weaknesses in medical infrastructure—uncertainties over vaccine resistance to variants, and another round of strict lockdowns. Fiscal pressures from increased health and social assistance spending would be largely offset by reduced capital and non-essential goods and services spending.
- Medium-term non-oil growth and the authorities' ability to implement fiscal policies will depend on successful reform implementation, domestic arrears payments, oil sector developments, quelling of the pandemic, and continued socio-political stability. Adverse weather conditions could weigh on agricultural production, raising food insecurity and inflationary pressures.
- Oil revenue prospects depend on oil prices—where global oil market volatility is amplified by the pandemic and transition to a low-carbon global economy—production risks, and the government's success in phasing out historical tax concessions to oil producers (¶4, 11). The sensitivity of debt sustainability to oil prices will decline as external debt is repaid (¶10).
- Access to regional (CEMAC banking system) financing by the government that exceeds the current baseline projections (to fill higher fiscal gaps) could be limited in light of BEAC's recent measures to tighten liquidity (CEMAC staff report discussed by the Board in December 2021).

- On the upside, accelerated reform implementation—supported by development partners—could boost private investment; and higher metal prices could increase mining investments.

Text Figure 1. Comparison of Projections: Proposed ECF Arrangement and 2021 Article IV

Development partner financing will support reforms aimed at economic diversification and resilience-building while safeguarding debt sustainability (baseline supported by the ECF arrangement). Absent this support, a commitment to debt sustainability combined with substantial reductions in oil production will weigh on long-term growth prospects (as shown in the baseline for the 2021 AIV consultation).



Sources: Congolese authorities; and IMF staff calculations

PROGRAM OBJECTIVES AND KEY ELEMENTS

The proposed ECF arrangement aims to meet (i) an immediate balance of payments need as the country seeks to maintain macroeconomic stability during a fragile recovery; and (ii) a protracted balance of payments need tied to the economic transformation—based on the authorities' National Development Plan (NDP) 2022-26, which is centered around economic diversification and resilience to climate change—needed to reduce fragilities and place Congo onto a path of higher, more resilient, and inclusive growth. The arrangement would also (i) help catalyze development partner financing; (ii) be supported by regional CEMAC efforts to maintain an appropriate monetary policy stance and

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promote financial sector stability; and (iii) contribute to the CEMAC's regional stability efforts by accumulating one fifth of the region's projected NFA during 2022–24.

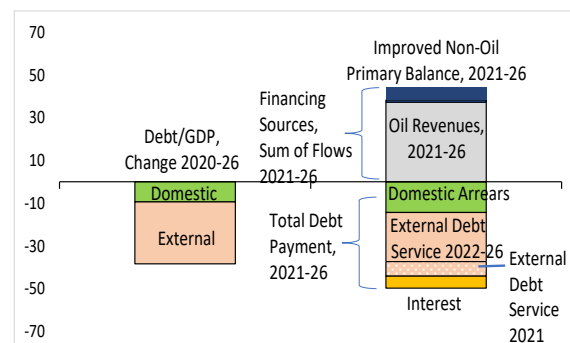
Key measures of the proposed ECF arrangement include: (i) increased social spending and critical infrastructure investment while undertaking fiscal consolidation (through revenue mobilization and expenditure reprioritization); (ii) significant repayments of external debt and external and domestic arrears (using oil windfalls); (iii) strengthening of public investment and debt management, which combined with fiscal consolidation and repayment of debt and arrears, will reduce debt vulnerabilities; and (iv) governance, transparency, and supply-side structural reforms promoting green non-oil economic growth.

A. Fiscal Policy

10. Fiscal policy will support higher, more resilient, and inclusive growth while safeguarding debt sustainability (see Debt Sustainability Analysis, DSA). To this end:

- During 2022–26, there will be a strategic reprioritization of spending. While non-interest spending (as a percent of non-oil GDP) will remain broadly constant, the share of spending on social assistance, health care, education, and other development needs will be increased by at least 10 percentage points and the share of oil-related transfers will be substantially reduced. Following the post-pandemic recovery of non-oil revenues in 2022 (in line with significantly improved non-oil growth) and gradual improvements in non-oil revenues and grants thereafter, the non-oil primary balance is expected to improve by 4 percent of non-oil GDP (or 1 percent of GDP) between 2021 and 2026.
- Medium-term fiscal consolidation (see bullet above) combined with significant oil revenues—driving positive overall primary balances—will permit repayment of external debt and domestic arrears owed to the businesses and individuals. Public debt is anticipated to decline from 110 to 72 percent of GDP during 2020–26 (Text Figure 2).²
- Risks, including from negative oil price shocks, are largely mitigated by repayments to the largest external commercial creditor being tied to oil prices, a gradual increase of government deposits at

Text Figure 2. Republic of Congo: Debt Flows and Financing, 2021–26



Sources: Congolese authorities' data and IMF staff projections.

² Revised debt statistics (owing to improved capacity) have raised the 2020 debt stock by 9 percent of GDP relative to IMF Country Report 21/225.

BEAC, the availability of financing from Congolese financial markets, and access to the CEMAC regional financial markets (within limits ¶19).

- The authorities are committed to avoiding accumulation of new domestic or external arrears (Table 12) and are actively negotiating the resolution of pending external arrears (¶127). Until this process and interrupted negotiations with one external commercial creditor is officially concluded, debt is classified as being “in debt distress”.

11. The 2022 budget, adopted by Parliament in mid-December 2021, actively pursues the fiscal policy objectives outlined above (MEFP ¶111–12). The 2022 non-oil primary deficit is projected at 15.7 percent of non-oil GDP. This represents a 1.4 percentage point reduction in the deficit relative to 2021 owing to higher revenues (¶110) while spending has been reoriented in support of development objectives. The full 2021 SDR allocation, the proposed ECF arrangement, and support from other development partners will help finance part of the budgeted social spending. Use of the SDR allocation will be monitored and reported on during future reviews.

- In addition to improved economic activity, revenues are expected to benefit from increased collection of tax arrears, a gradual phasing-out of pandemic-related deferral of tax and duty payments—although the reduced turnover tax rate (from 7 to 5 percent for turnover under CFAF 100 million) will be maintained as a measure to support small businesses—broadening of the property tax base, reduced customs duty exemptions, and continued implementation of the previously initiated revenue and customs administration measures (Text Table 3). Revenue gains are also expected from the conclusion in 2022Q2 of negotiations with oil producers on tax concessions.
- Pandemic-related spending will be prioritized but emphasis will also be placed on improving the quality and coverage of health care—including introduction of a health insurance system—and education and advancing agriculture, roads, and electricity. Relative to 2021, increased social assistance (0.2 percent of non-oil GDP)—through expanding beneficiaries of the Lisungi program and improved targeting owing to application of the Single Social Register—and capital spending (2.3 percent of non-oil GDP). Fiscal space for this spending is gained from controlling the wage bill, reorientation of goods and services spending, and significant streamlining of transfers and subsidies—including to inefficient SOEs such as CORAF and CEC.
- To support social spending and private sector activity—and more broadly economic and political confidence—the budget also foresees repayment of domestic arrears (4.3 percent of non-oil GDP), beginning with those to pensioners and small businesses. Domestic arrears payments will depend on the availability of finances, where the bulk of these arrears are planned to be paid in 2022H2.

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Text Table 3. Republic of Congo: 2022 Budget: Yields from Key Revenue and Spending Measures during 2022–26

Fiscal Measures	Estimated Yield (percent non-oil GDP), 2022–26	Amount Included in Projections (percent non-oil GDP), 2022–26	Details
Revenue			
Increase collection of tax arrears	3.1	0.5	Recovery over three years of 40 percent of CFA 361.873 bn (total tax arrears assessed as of August 25 2020), averaging about one percent of non-oil GDP per year—with slightly front-loaded collection expected in this post-election year. To be conservative, the current revenue projections include only 0.5 out of 3.1 percent of non-oil GDP in yields. Assume 0.3 percent of non-oil GDP can be collected in pandemic-related deferred direct taxes; and 0.1 percent of non-oil GDP in pandemic-related deferred VAT. The majority would be collected in 2022 and any remaining amounts collected in 2023.
Phasing out pandemic-related deferral of tax and duty payments	0.4	0.4	
Continuing tax policies and revenue administration reforms adopted since 2019	2.0	2.0	Key measures cover e-tax declaration and payment, higher excises in line with CEMAC guidelines, gradual phasing out of CIT exemptions for violating investment conventions, and increased taxes on certain non-petroleum exports. Projected yields (in percent non-oil GDP) during 2022–26 from reforms are (i) 1 percent for direct taxes; (ii) 0.3 percent for VAT; and (iii) 0.7 percent for customs administration.
Conclude on-going negotiations with oil producers on new conventions for tax concessions	0.2	0.1	The authorities continue to negotiate new conventions for tax concessions with large oil producers. Expectations are for a yield of at least 0.2 percent of non-oil GDP over the medium-term. To be conservative, a quarter of this yield is included in the projections—which rounds to 0.1 percent of non-oil GDP.
Other	0.6	0.1	An expanded tax base for land tax is expected to yield 0.2 percent of non-oil GDP. Reduced customs exemptions for some beneficiaries and eliminating exemptions for others is expected to yield 0.4 percent of non-oil GDP. To be conservative, a quarter of the total yield is included in the projections.
Expenditure			
Continued rationalization of transfers and subsidies to inefficient SOEs	0.8	0.8	Oil-related transfers decline from 2 to 1.2 percent of non-oil GDP between 2021 and 2026.
Total Fiscal Yields	7.1	3.8	

Sources Congolese authorities' data and IMF staff projections.

12. The authorities' medium-term fiscal strategy, supported by the proposed ECF arrangement, aims to advance the NDP 2022–26 while mobilizing revenues. This will permit a reduction of the non-oil primary deficit from 17.1 to 13.3 percent of non-oil GDP during 2021–26—mainly based on a continuation of the measures adopted in the 2022 Budget and the following key measures (MEFP ¶13–14):

- Increased collection of tax arrears, beginning by taking their inventory and assessing the probability of their recovery (proposed structural benchmark (SB) for end-2022).
- Removing some VAT exemptions (1 percent of non-oil GDP) and streamlining other tax expenditures (3 percent of non-oil GDP)—neither of these are included in the current projections. In addition, corporate tax exemptions under current investment conventions will also be phased out by end-2023.

- Application of the enterprise census to broaden the tax base and customs reforms (supported by the World Bank)—neither of these are included in the current projections—in addition to a continuation of the reforms initiated during 2019–22.
- Continued implementation of established reforms to reduce transfers and subsidies and improving the transparency of SOE operations while increasing social and infrastructure spending.
- Full repayment of domestic arrears to businesses and individuals by 2031. The current stock is projected to be about 30 percent of non-oil GDP by end-2022, including projections of arrears arising from audits of government finances during 2019-20 (expected completion by early-2022). Social sector arrears will be repaid in full but a haircut of possibly 60-70 percent will be applied to commercial arrears from 2023—this plan is still being developed.
- Revenue shortfalls, including in oil revenues, will be compensated by slowing domestic arrears payments. Conversely, for oil revenues or net external assistance that exceed expectations, half of the surplus will be used to strengthen government deposits at the BEAC (as a buffer against shocks); and the rest will be applied toward social spending, domestic arrears payments, and compensating for any possible shortfalls or delays of external financing.
- An expanded analysis of public sector finances (including SOEs, PPPs, and publicly-owned banks) that will enrich the authorities' understanding of medium-term fiscal risks and vulnerabilities and facilitate monitoring.

B. Strengthening Public Investment and Debt Management

13. Improving the quality of public investment management will be crucial to avoiding new arrears and enhancing the efficiency and effectiveness of spending (MEFP ¶15).

Procurement of projects that are not in the budget will be stopped. To this end, the authorities will (i) develop a template for public procurement plans (proposed SB end-June 2022); and (ii) roll out the template to ministries during 2022Q3 and map it to the 2023 budget (proposed SB end-2022). Supported by IMF TA and training, project planning methods will be systematized—beginning with a medium-term public investment plan prioritizing projects based on the criteria which include cost-benefit analysis, development (SDG) priorities, and the NDP 2022–26. Measures will be taken to improve implementation efficiency, especially given large infrastructure needs. For example, an action plan will be developed based on the results of a recent World Bank survey on the efficiency of public investment.

14. Prudent debt management will enhance debt sustainability (MEFP ¶16). A comprehensive medium-term debt management strategy will be developed (proposed SB end-July 2022)—aiming to reduce financing costs, contain debt-related risks, and support development of the domestic government securities market—and will be accompanied by including a borrowing plan in the published budget from 2023. To operationalize this strategy (i) a single debt database extending to

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all public debt will be established; and (ii) reliability and transparency of public debt information will be improved, including with quarterly data publication and increased coordination and information sharing across relevant agencies. All new external financing will be concessional, except the low-interest and extended maturity budget support loans from the World Bank; and debt cannot be guaranteed with future natural resource deliveries. To reduce debt vulnerabilities, the authorities are continuing debt restructuring negotiations with a large external commercial creditor (¶127).

15. Sequenced energy sector reforms will be critical to reducing contingent liabilities from energy sector SOEs, mobilizing revenues, rationalizing spending, and improving governance (MEFP ¶18–20).

- An international audit firm is being engaged to reconcile realized government oil revenues during 2021 against provisions under production sharing agreements. The resulting report and a table with all mining, forestry, and oil concessions holders will be published on the government's website (proposed SB end-June 2022). Audits of costs incurred by oil companies related to production sharing agreements will continue.
- A comprehensive review of the oil sector's fiscal regime and action plan will be completed by end-2022, including estimations of revenue gains from eliminating reduced VAT rates for imports related to agreed investment conventions and improved VAT implementation and base broadening on refined petroleum products.
- Transfers to CORAF and CEC will be further reduced in 2022, where (i) the current performance contract with CORAF aims to reduce its costs and increase transparency in revenue management; (ii) transfers to CEC are conditioned on its realized earnings and expenses; and (iii) audit reports of these companies are regularly published.
- An action plan will be developed to further reduce transfers and subsidies. Key elements will include (i) an assessment of energy production costs; (ii) improving the electricity billing process and coverage to reflect actual electricity consumption with a view to recovering production costs; (iii) implementing the 2005 price-based regulatory framework for fuel prices (IMF Country Report No. 20/27) and ensuring sufficient social assistance to mitigate the impact on vulnerable groups; and (iii) enforcing full payment by CORAF for its oil purchases from the government and full payment of dividends by large SOEs such as the Société Nationale des Pétroles du Congo (SNPC).

C. Advancing Governance, Transparency, and Broader Structural Reforms

16. Public Financial Management (PFM) reforms are supporting governance and transparency (MEFP ¶21–22). Operationalizing a more sophisticated financial management information system (SIGFIP) is critical to improving transparency of public expenditure commitments, control of public oil and non-oil revenues, avoiding domestic arrears, and enhanced program monitoring. This will be done in two phases to ensure adequate infrastructure, training, and linking of IT systems (customs, tax authorities, and Treasury): the budget preparation and execution

modules (end-2021) and then the remaining modules (end-2022 proposed SB). To improve budget execution, a committee will monitor and coordinate the cashflow plan against the commitment and treasury plans and a new organizational chart will be adopted by the Ministry of Finance. By early 2022, the TSA architecture will be enhanced through improved cash management, ensuring automatic transfer of natural resource sales revenue from public entities to the TSA, and continued closure of central government and public entity accounts in commercial banks. A new medium-term strategy for PFM reforms with a comprehensive 3-year action plan, updated every 18 months, will provide a roadmap for further reforms (end-March 2022 proposed SB). A legal and regulatory framework for public private partnerships (PPPs) consistent with international best practice will be developed by end-2022.

17. Despite not having received emergency pandemic financing from the IMF, the government is committed to demonstrating transparency in the procurement of pandemic-related resources (MEFP ¶23). The following will be published on the government website:

(i) pandemic-related procurement contracts (with names and nationalities of beneficial owners of awarded legal persons); (ii) ex-post reports on the delivery of pandemic-related procurement; and (iii) an audit by a third-party international audit company of all pandemic-related procurement and expenditure between during 2020–21 (end-June 2022 proposed SB)—agreeing the terms of reference for this audit and publishing the tender is a prior action (PA).

18. Maintaining momentum in anti-corruption reforms will be critical to improving governance and the business environment (MEFP ¶24–28).

- Over the past two years, progress has been achieved in establishing an anti-corruption architecture that is better aligned with international standards. A key part of this process is submitting the new anti-corruption law (drafted in consultation with the IMF) to Parliament (PA); and its approval by Parliament accompanied by a decree clarifying conflict of interest rules and procedures (proposed SB end-March 2022). The organic law for the Court of Auditors and Budgetary Discipline (CABD)—which will regulate the existing CABD’s organization, functioning, and powers to help fulfill its independent external auditing function—is expected to be adopted by Parliament in March 2022.
- The next step will be operationalizing this architecture with consistent implementation. To this end, the new Commissions on Transparency and Anti-Corruption must receive adequate financing (from the budget and development partners) to carry out their mandates—including publication on the government website of all reports and statistics under their purview. The asset disclosure law will be revised, in consultation with the IMF, to better align with international best practices. Information on the functioning of law enforcement institutions and the reports of the Inspection General of Finance and the National Accounts Commission will be published on the government website. Publication of the 2019 report of performance under the Extractive Industries Transparency Initiative (EITI) is a PA.

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- To inform future reform efforts, the authorities will assess progress in implementation of the recommendations from the 2018 diagnostic report on governance and corruption that was prepared in consultation with the IMF.

19. Strengthening the financial sector will play a key role in ensuring a healthy recovery from the pandemic, including greater economic diversification (MEFP ¶130). A road map to raise financial inclusion will be developed in collaboration with BEAC and COBAC. The legal and judicial systems' ability to address financial litigation will be further strengthened. Financial stability will continue to be supported by close monitoring of the banking system and continued clearance of domestic arrears (¶16,11) which will facilitate further NPL reductions.

20. More broadly, the proposed ECF arrangement will support the authorities' NDP 2022-26 and initiatives of other international and regional institutions on broader structural reforms (MEFP ¶129). This includes reforms based on the CEMAC Economic and Financial Program; and reforms supported by development partners, such as the World Bank, to improve the business environment, external competitiveness (e.g., contract enforcement, insolvency procedures, and investor protection), rural electrification using solar and wind power, and digitalization (see IMF Country Report 21/225).

PROGRAM MODALITIES AND OTHER ISSUES

21. The authorities have requested a 36-month arrangement under the Extended Credit Facility (ECF) for the amount of SDR 324.0 million (200 percent of quota) to address immediate and protracted balance of payments needs, totaling \$1.1 billion (¶13, Table 4, Text Table 4). Outstanding credit would remain within normal limits, peaking at 220 percent of quota; SDR 32.40 million (20 percent of quota) was outstanding as of October 31, 2021. The entire amount will be provided to the budget as Congo has both fiscal (Tables 2, 3, and 7) and balance of payments needs. The first three disbursements under the ECF arrangement are proposed at 40 percent of quota each, based on the strength of the program and to support immediate financing needs as the country seeks to maintain macroeconomic stability during a fragile recovery from the pandemic. Concurrently, development partners will prepare to begin disbursing in 2022H (¶122). The remaining disbursements, 20 percent of quota each, would support more protracted needs, that will be gradually reduced through structural reforms.

22. Fund financing will help catalyze development partner support. Access under the proposed ECF arrangement will cover 44 percent of the projected external financing gap over 2022–24 and 24 percent of total financing from development partners. The remainder of the financing gap would be filled by other development partners (the African Development Bank, France, and the World Bank), for which firm commitments are in place for the upcoming 12-month period. Good prospects for full program financing exist for the remainder of the program period.

Text Table 4. Republic of Congo: Financing Needs and Sources, 2022–26

(Millions of U.S. dollars unless otherwise indicated)

	2022	2023	2024	2025	2026
Financing Needs	8140	7945	8323	7647	7044
Current Account Deficit (excl. grants and oil exports)	5924	6417	7158	7201	6706
Amortization of PPG External Debt	852	716	650	633	308
Other net financial flows	927	454	272	-366	-302
Net Change in Reserves, excluding SDR drawdown	438	358	243	178	333
Financing Sources	7730	7538	8059	7647	7044
Oil Exports	6639	6435	6930	6533	5973
Grants	28	28	83	105	116
Other Transfers	67	185	148	40	46
Project Loans (disbursement)	262	297	312	323	291
FDI	610	712	705	679	651
Use of SDR Allocation	221	0	0	0	0
Exceptional Financing	-96	-119	-119	-33	-33
DSSI	-96	-119	-119	-33	-33
Financing Gap²	411	407	264	0	0
Budget Support ¹	130	312	168	0	0
Prospective IMF ECF	281	95	95	0	0
Residual Gap	0	0	0	0	0
Memo items:					
Prospective IMF ECF					
(in percent of total donor inflows)	34	15	18	...	...
(in percent of budget support and prospective ECF financing)	68	23	36	...	...

Sources: BEAC; and IMF staff estimates and projections.

¹ Excludes project loans; and presents a minimum commitment.² This financing gap matches that in Tables 2a and 4.

23. Monitoring of program performance. Program performance will be monitored through semi-annual program reviews based on periodic and continuous quantitative performance criteria (Table 12) and structural benchmarks (Table 13). All prior actions (Table 14) have been completed. Congo's large debt vulnerabilities will be addressed by setting conditionality on debt—including contracting of concessional and non-concessional debt, external debt, and accumulation of new external arrears. This conditionality is on a nominal basis owing to lack of capacity to record, monitor and report debt related statistics and will complement fiscal conditionality, which, also due to data constraints, is limited to the central government.

24. Congo's capacity to repay the Fund is assessed to be adequate but subject to significant risks (Figure 2, Table 10). Under the baseline, total Fund credit outstanding (based on existing and prospective drawings) peaks at 220 percent of quota (SDR 356.4 million) and 3.5 percent of GDP in 2024, above the top quartile of past Fund UCT-quality arrangements for

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LICs. Debt service to the Fund peaks at 0.5 percent of GDP and 1.9 percent of revenue (excluding grants) in 2029 and 23.9 percent of total external debt service in 2030, above the top quartile of past Fund UCT-quality arrangements for LICs. The IMF's share of total external debt remains below 10 percent (Text Table 5). The most significant downside risk (among key risks in 19) is a substantial decline in oil prices that could trigger debt sustainability challenges. Risks are mitigated by the authorities' strong track record of repaying the Fund, past implementation of nine Fund-supported programs, and policy measures envisaged in the program (including proposed SBs on debt management). The authorities' implementation capacity is good as demonstrated by recent fiscal discipline (including during the pandemic) and implementation of structural reforms even when the previous ECF arrangement went off-track, largely due to delays in the finalization of the authorities' debt restructuring strategy. The authorities' capacity development strategy (IMF Country Report 21/225) and post-election reform mandate will support continued progress in implementation capacity.

Text Table 5. Republic of Congo: External Debt, 2022–32
(Millions of U.S. dollars unless otherwise indicated)

	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032
Senior Debt	2597	2682	2687	2469	2586	2707	2806	2853	2883	2905	2915
Multilateral	1479	1951	2319	2469	2586	2707	2806	2853	2883	2905	2915
IMF	331	430	530	524	523	490	472	450	445	440	435
Non-IMF	1148	1522	1790	1945	2063	2217	2334	2404	2438	2465	2480
Private Collateralized Debt (Oil-prepurchased)	1119	731	368	0	0	0	0	0	0	0	0
Non-Senior Debt	3610	3481	3369	3267	3171	3017	2912	2854	2822	2785	2747
Official bilateral	2676	2661	2635	2615	2636	2602	2570	2543	2512	2474	2436
Paris Club	460	498	525	550	575	548	527	515	504	488	468
Brazil	28	9	0	0	0	0	0	0	0	0	0
Belgium	122	91	60	44	27	10	0	0	0	0	0
France	282	376	446	491	535	529	520	511	500	484	465
Russia	25	22	19	16	13	10	7	4	4	4	4
Switzerland	3	0	0	0	0	0	0	0	0	0	0
Non-Paris Club	2216	2163	2110	2065	2061	2054	2043	2028	2008	1986	1967
China	1840	1813	1788	1761	1773	1775	1772	1764	1751	1733	1717
India	81	68	55	45	39	33	28	23	18	16	16
Kuwait	56	57	58	58	57	55	53	51	48	46	44
Turkey	56	39	22	12	1	0	0	0	0	0	0
Pre-HIPC arrears (not restructured)	183	185	187	188	190	191	191	191	191	191	191
Private Creditors	934	820	734	652	535	414	342	311	311	311	311
Chinese companies	243	196	148	100	51	0	0	0	0	0	0
London Club (eurobond)	219	194	169	138	103	67	31	0	0	0	0
Afreximbank	54	13	0	0	0	0	0	0	0	0	0
Suppliers	418	417	416	414	381	347	311	311	311	311	311
Total	6207	6163	6056	5736	5758	5724	5718	5707	5705	5690	5661
o/w Multilateral	1479	1951	2319	2469	2586	2707	2806	2853	2883	2905	2915
o/w Official Bilateral	2676	2661	2635	2615	2636	2602	2570	2543	2512	2474	2436
o/w Private	2053	1551	1101	652	535	414	342	311	311	311	311
Shares											
IMF (in percent of Multilateral)	22.4	22.0	22.8	21.2	20.2	18.1	16.8	15.8	15.4	15.1	14.9
IMF (in percent Total)	5.3	7.0	8.7	9.1	9.1	8.6	8.3	7.9	7.8	7.7	7.7
Multilateral (in percent Total)	23.8	31.7	38.3	43.0	44.9	47.3	49.1	50.0	50.5	51.1	51.5
Official (in percent Total)	43.1	43.2	43.5	45.6	45.8	45.5	45.0	44.6	44.0	43.5	43.0
Private (in percent Total)	15.0	13.3	12.1	11.4	9.3	7.2	6.0	5.4	5.4	5.5	5.5

Sources: Authorities; and IMF staff estimates.

25. Safeguards Assessment. BEAC has implemented most recommendations from the 2017 safeguards assessment, and an update assessment has been initiated, under the four-year cycle for safeguards assessments of regional central banks.

26. Regional assurances. BEAC has provided updated policy assurances in support of CEMAC countries' Fund-supported programs. In its follow-up letter of policy support of November 2021, BEAC reiterated its commitment to maintaining an appropriate monetary policy stance, together with member states implementing fiscal adjustment agreed in the context of IMF-supported programs, to support external reserves build-up. As part of corrective actions to support the reserve position, it has (i) raised the policy rate (TIAO) and marginal lending facility by 25 basis points at an extraordinary MPC meeting in late November; (ii) increased the interest rate on the liquidity absorption window by 30 basis points to reduce the excess liquidity, stimulate the interbank market, and improve monetary policy transmission; and (iii) reduced weekly liquidity injections from CFAF 250 billion to CFAF 230 billion. BEAC will also continue to work towards effective application of the foreign exchange regulation, including by implementing the recently agreed adaptations for the extractive sector from 2022. The regional assurances on regional NFA are critical for the success of Congo's Fund-supported program and will help bolster the region's external sustainability.

27. External arrears.

- During 2020–21, \$386 million of debt service and arrears payments were covered under the DSSI provided by Belgium, Brazil, China, France, India, Kuwait, Turkey, and Saudi Arabia. Recently, an agreement was concluded on arrears payments to Switzerland. Agreements have been reached, with signatures expected shortly, on arrears payments to Belgium (not covered under the DSSI amounts above), India (for arrears not covered by the DSSI), Libya, and Russia. The authorities are exploring ways to prevent reoccurrence of external official arrears, including by setting up a dedicated sub-account within the single treasury account at BEAC.
- Debt restructuring discussions with a large external commercial creditor are still underway—including a meeting in Fall 2021—where arrears have been accumulated as part of the negotiations. The authorities are also discussing the resolution of arrears owed to Chinese companies (\$120 million) and across 10 suppliers (\$21 million), and are considered to be engaged in good faith efforts to reach agreements with all of these creditors.
- The authorities contest \$293 million of arrears owed to a supplier as part of a broader litigation case;³ and another \$102 million of pre-HIPC arrears for which the authorities have requested HIPC treatment.
- Financing assurances reviews will be conducted at each review of the ECF arrangement until external commercial arrears are cleared.

³ Claims that are disputed do not give rise to arrears for the purposes of the application of the Fund's arrears policies or for performance criteria covering arrears.

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28. Statistical issues. Data provision is broadly adequate for surveillance but there are shortcomings in national accounts, monetary, fiscal, external sector statistics, debt management, and high-frequency data. Staff encouraged the authorities to implement Fund technical assistance advice and to seek technical assistance in areas where Congo lacks the capacity to provide certain data.

29. Capacity development activities, driven by the authorities' policy objectives, include tax policy and administration, PFM reforms, debt management; statistics in the real and external sectors; and governance reforms to strengthen the anti-corruption framework and its operationalization. Congo is a medium-intensity user of Fund TA with a mixed implementation record.

STAFF APPRAISAL

30. The authorities have implemented considerable reforms over the past two years (IMF Country Report 21/225), despite facing the pandemic and volatile oil prices and production. Macroeconomic stability was maintained. Debt restructuring, including debt service to the largest external commercial creditor being tied to oil prices, has helped restore debt sustainability and contributed to reduced debt vulnerabilities from lower oil prices. Reforms initiated in 2019—covering tax policy and tax administration, as well as reduced transfers and subsidies to inefficient SOEs (especially CORAF and CEC)—have been steadily carried forward and are yielding tangible results. The Commissions on Anti-Corruption and Transparency were operationalized and good progress was made toward a new anti-corruption Law. PFM reforms also advanced, including closure of some central government accounts in commercial banks. A recently published 2018 report indicates significant progress under the EITI.

31. Maintaining this reform momentum and broadening its scope will be key to a recovery based on higher, more inclusive, and resilient growth that would facilitate exiting fragility. A new wave of the pandemic is creating headwinds for the nascent economic recovery, against a backdrop of large debt-related liquidity risks and vulnerabilities. Over the medium term, challenges from climate change and the global transition to low-carbon economies loom. Tackling these near- and medium-term challenges will require a multi-pronged approach—centered around economic diversification and resilience-building—with reforms in fiscal policies, core PFM, public investment and debt management, the energy sector, governance, transparency, anti-corruption, and broader structural reforms.

32. Fiscal policy will need to balance stepping up growth-enhancing spending while safeguarding debt sustainability. Strategically reprioritizing spending towards boosting social and infrastructure spending will be critical to improving inclusiveness and economic diversification. Concurrently, accelerated reform of SOEs—including energy pricing that reflects production costs, coupled with protection for the most vulnerable—will further reduce transfers and subsidies and improve the business environment. In this context, the gradual fiscal consolidation required to maintain debt sustainability will rely on revenue mobilization—especially increasing collection of tax arrears and reducing VAT exemptions and other tax expenditures, with an emphasis on those in the

oil sector. By design of several of Congo's external debt contracts, a significant portion of oil revenues will be used to service debt. Using the remain portion to repaying domestic arrears in a transparent manner and build fiscal buffers against future shocks will further strengthen domestic stability and reduce vulnerability to shocks.

33. Improving the effectiveness of public spending, debt management, and the governance of oil revenues should be prioritized. Keeping in mind the country's substantial infrastructure needs, advancing public investment and debt management will be critical. Procurement of projects outside the budget must be stopped, project planning methods systematized—including prioritizing projects based on cost-benefit analysis and development goals—and project implementation efficiency increased. A medium-term debt management strategy, supported by better debt statistics, will help reduce debt costs and vulnerabilities. Natural resource revenues should be automatically transferred to the government's account at BEAC, and external debt guaranteed by future natural resource deliveries should be avoided; and operationalizing a new financial management information system will enhance the government's control over oil and non-oil revenues and raise transparency of spending commitments.

34. Strengthening anti-corruption, transparency, and broader structural reforms will build socio-economic confidence and improve the business environment. To this end, parliamentary approval of the new anti-corruption law, revisions to the asset disclosure law, and operationalizing the new anti-corruption architecture will be critical—some examples of priority actions include publication of various audits relating to public sector finances, the 2019 EITI report, and information on the functioning of law enforcement institutions. Strong enforcement of the new laws combined with improved access to finance and key infrastructure in irrigation, sanitation, and electrification will be fundamental to advancing economic diversification and resilience.

35. Based on the strength of the program, corrective action taken by BEAC, and regional policy assurances established in the December 2021 union-wide paper, staff supports the authorities' request for a 36-month ECF arrangement in the amount of 200 percent of quota. The Fund-supported program will help the authorities respond to the pandemic and its aftermath while strongly engaging them on an ambitious structural reform agenda and catalyzing donors' support to fill the large financing needs. Staff proposes that completion of the first review under the ECF arrangement be conditional on the implementation of critical policy assurances at the union level, as established in the December 2021 union-wide background paper.

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Proposed Decision

The following decision, which may be adopted by the majority of the votes cast, is proposed for adoption by the Executive Board:

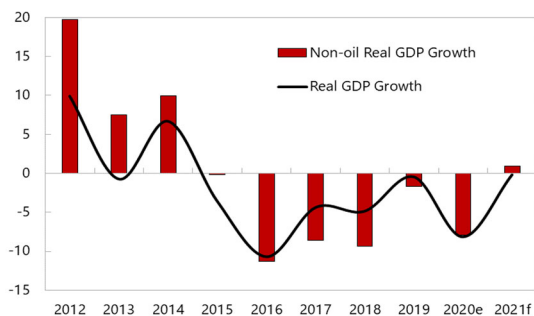
1. The Republic of Congo has requested a three-year arrangement under the Extended Credit Facility in a total amount equivalent to SDR 324.00 million.
2. The Fund approves the arrangement set forth in EBS/22/1, and decides that the Republic of Congo may request the first disbursement under the arrangement, on the condition that the information provided by the Republic of Congo on the implementation of the measures specified as prior actions in Table 3 to the Memorandum of Economic and Financial Policies attached to the letter from the Prime Minister, and the Minister of Finance and Budget, dated January 10, 2022 is accurate.

Figure 1. Republic of Congo: Recent Economic Developments, 2012–21

Non-oil GDP is slowly recovering after a severe pandemic-related contraction in 2020.

Real GDP Growth

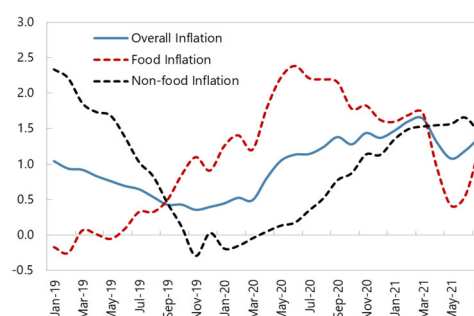
(Percent)



Inflation remains contained, despite rising in 2020 due to pandemic-related supply disruptions and uncertainties.

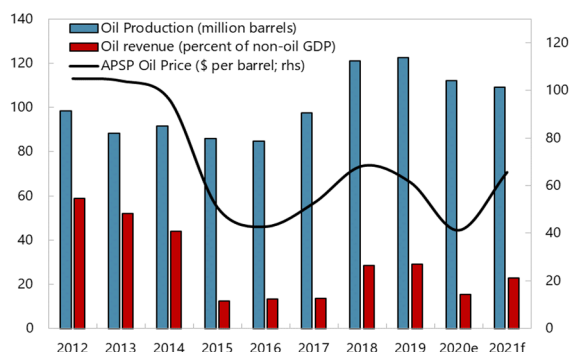
Inflation

(Average y/y % Change)



Oil production is down due to lower investment during the pandemic but high oil prices in 2021 supported recovery in oil revenues...

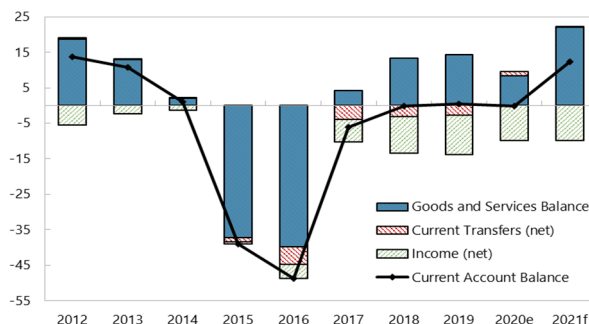
Oil



...and the current account is expected to improve accordingly.

Balance of Payments

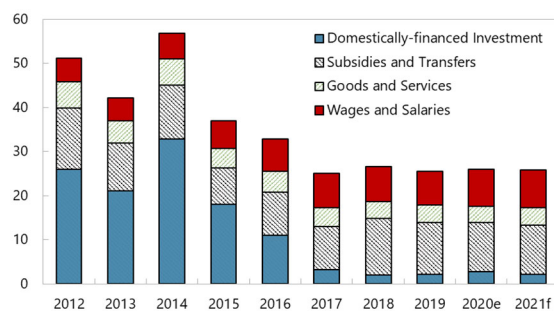
(Percent of GDP)



Public spending has declined in recent years compared to 2012–16...

Public Spending

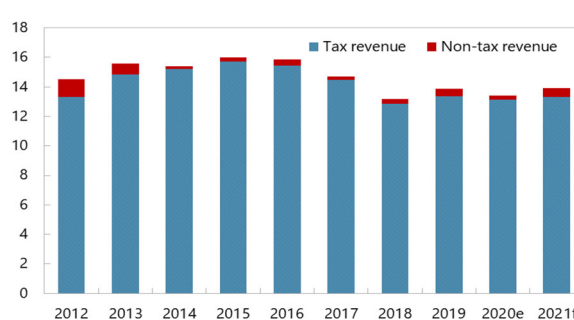
(Percent of Non-oil GDP)



...as have non-oil revenues.

Non-Oil Revenue

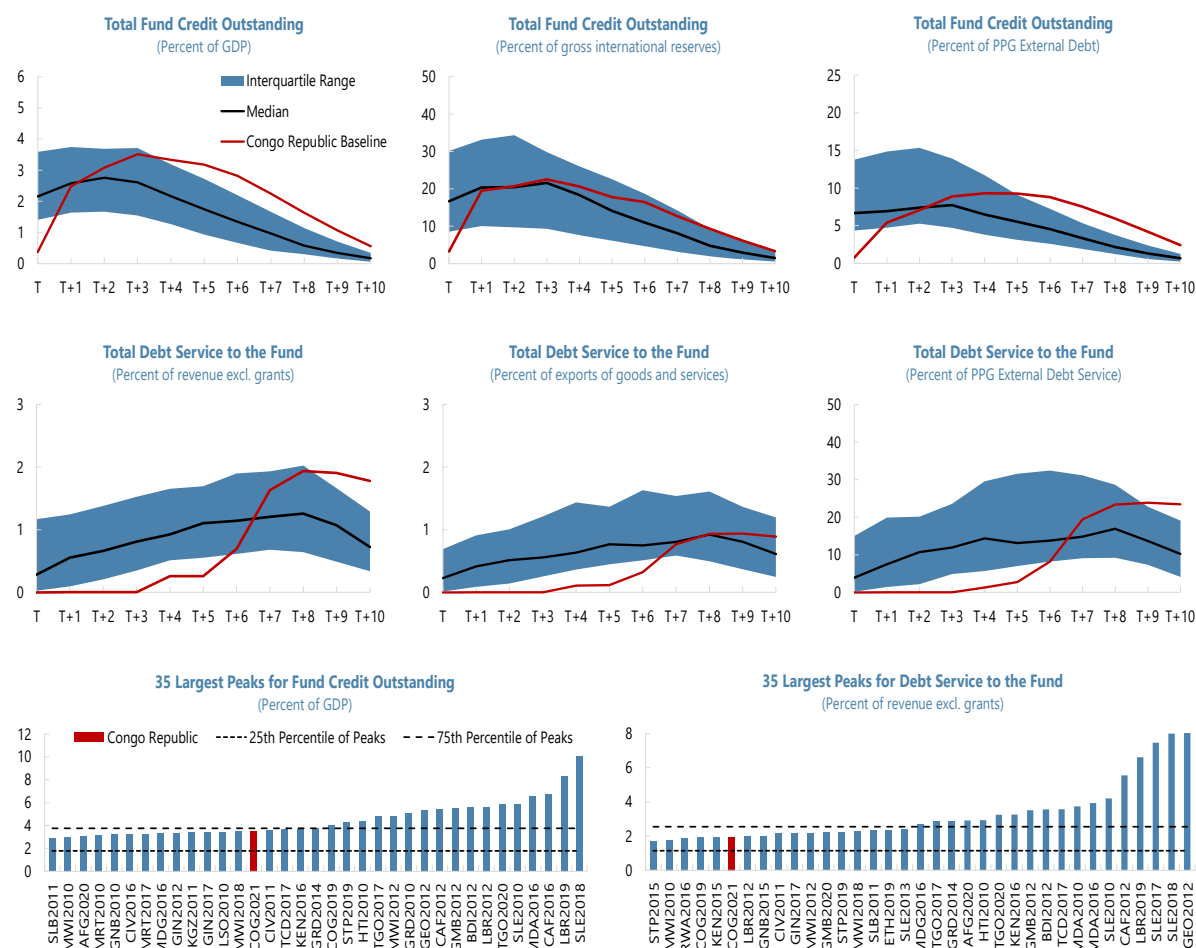
(Percent of Non-oil GDP)



Sources: Congolese Authorities and IMF Staff Estimates and Projections

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Figure 2. Republic of Congo: Fund Credit Outstanding and External Debt Service Compared to PRGT UCT-Quality Arrangements^{1,2,3,4}



Sources: Staff reports, IMF Financial Data Query Tool; and FIN staff calculations.

¹ The interquartile ranges and median are based on all PRGT arrangements (including blends) for the control group between 2010 and 2020.

² Countries with multiple arrangements are entered as separate events in the database.

³ Period T refers to the year in which the arrangement was approved (control group) or the year in which the arrangement was requested (country of interest).

⁴ PPG refers to public and publicly guaranteed.

* For Congo Republic, it refers to non-oil revenue.

** For Congo Republic, it refers to gross imputed official reserves.

Table 1. Republic of Congo: Selected Economic and Financial Indicator, 2020–26

	2020	2021	2021	2022	2023	2024	2025	2026
	Est.	2021 AIV			Proj.			
(Annual percentage change unless otherwise indicated)								
Production and prices								
GDP at constant prices	-8.1	-0.2	-0.2	2.4	2.9	6.5	2.2	1.2
Oil	-8.5	-2.9	-2.9	1.0	1.5	11.5	-2.4	-7.1
Non-oil	-8.0	0.9	0.9	3.3	3.7	4.0	4.4	4.8
GDP at current prices	-20.8	17.5	17.3	3.3	2.8	6.9	3.1	2.8
GDP deflator	-13.8	17.7	17.5	0.8	-0.1	0.4	0.9	1.5
Non-oil	1.8	2.0	2.0	2.8	3.0	3.0	3.0	3.0
Consumer prices (period average)	1.4	2.0	2.1	2.7	3.0	3.0	3.0	3.0
Consumer prices (end of period)	0.6	2.7	2.8	3.0	3.0	3.0	3.0	3.0
External sector								
Exports, f.o.b.	-36.2	44.2	44.2	0.5	-3.1	5.8	-4.3	-4.9
Imports, f.o.b.	-25.3	14.7	13.2	13.5	6.8	8.8	2.1	0.3
Export volume	-2.2	3.0	4.7	2.5	2.0	6.7	1.5	5.3
Import volume	-19.8	-6.6	-9.9	14.7	10.8	11.1	3.6	-3.0
Terms of trade (deterioration -)	-27.8	17.3	12.0	-0.8	-1.4	1.2	-4.4	-13.1
Current account balance (percent of GDP)	-0.1	12.1	13.4	5.5	0.3	-1.4	-4.0	-4.3
Net foreign assets	-8.0	11.0	5.3	-7.5	32.9	13.7	15.2	23.5
External public debt (percent of GDP)	62.4	49.6	50.1	46.0	43.3	38.7	34.9	33.2
Monetary sector								
Broad money	18.0	32.7	27.2	10.8	10.5	8.3	12.4	14.2
Credit to the private sector	3.5	0.8	0.6	4.1	3.3	4.5	8.0	9.4
(Percent of GDP)								
Investment and saving								
Gross national saving	22.5	33.5	34.4	29.3	25.2	23.4	21.4	21.7
Gross investment	22.6	21.3	21.0	23.8	24.9	24.8	25.4	26.0
(Percent of non-oil GDP, unless otherwise indicated)								
Central government finances								
Total revenue	31.1	36.2	38.2	39.8	37.6	37.6	35.4	33.0
Oil revenue	15.3	21.6	22.9	23.2	20.8	20.6	17.9	15.1
Nonoil revenue (including grants)	15.8	14.6	15.3	16.6	16.8	17.0	17.5	17.9
Total expenditure and net lending	32.8	33.8	36.0	35.5	35.6	34.6	34.9	34.1
Current	27.8	28.2	31.0	28.2	28.0	27.2	27.1	26.2
Capital (and net lending)	5.0	5.6	5.0	7.3	7.6	7.4	7.8	7.9
Overall balance (deficit -, payment order basis)	-1.7	2.4	2.2	4.3	2.0	3.0	0.6	-1.1
Overall balance (deficit -, payment order basis, percent of GDP)	-1.2	1.5	1.4	2.7	1.4	2.0	0.4	-0.8
Non-oil primary balance (- = deficit)	-15.2	-17.0	-17.1	-15.7	-15.3	-14.4	-14.4	-13.3
Basic primary fiscal balance (- = deficit) ¹	0.2	4.7	5.7	7.5	5.4	6.2	3.5	1.8
Basic non-oil primary balance (- = deficit) ²	-15.3	-14.7	-16.5	-12.7	-12.1	-11.3	-11.4	-10.9
Reference fiscal balance (percent of GDP) ³	2.6	0.4	-0.5	-1.2	-2.7	-1.4	-1.7	-1.9
Primary balance (percent of GDP)	0.1	2.9	3.6	4.8	3.6	4.2	2.5	1.3
Financing gap (in percent of GDP)	0.0	0.0	0.0	3.1	2.9	1.8	0.0	0.0
Total public debt (percent of GDP) ⁴	110.1	84.2	93.5	89.3	83.6	74.9	71.9	72.1
(Percent of total government revenue excluding grants)								
External public debt service	42.0	34.4	29.0	33.4	28.6	24.0	20.3	11.0
(Billions of CFA francs, unless otherwise indicated)								
Nominal GDP	5,937	6,976	6,962	7,189	7,390	7,899	8,146	8,370
Nominal oil GDP	1,691	2,607	2,593	2,550	2,436	2,591	2,438	2,208
Nominal non-oil GDP	4,245	4,369	4,369	4,639	4,955	5,308	5,708	6,162
Nominal GDP in US\$ (millions)	10,329	12,744	12,676	13,235	13,803	14,934	15,568	16,122
Congolese oil price (U.S. dollars per barrel)	39	65	65	64	61	59	57	56
Brent Price (U.S. dollars per barrel)	42	67	67	66	63	61	59	58
Oil production (Millions of barrels)	112	109	109	110	112	125	122	113
Nominal Exchange rate (CFA/USD, period average)	575	...	...	...	...	...	...	...
REER (percentage change)	6.5	...	...	...	...	...	...	...

Sources: Congolese authorities; and IMF staff estimates and projections.

¹ Revenue excluding grants minus total expenditures (excluding interest payments and foreign-financed public investment).² Non oil revenue excluding grants minus total expenditures excluding interest payments and foreign-financed investment.³ Overall balance minus 20 percent of oil revenues and minus 80 percent of the oil revenue in excess of the average observed during the three previous years.⁴ The 2020 stock of debt has been revised upward since the 2021 Article IV to reflect data and coverage revisions.

REPUBLIC OF CONGO

Table 2a. Republic of Congo: Central Government Operations, 2020–26
(Billions of CFA francs)

	2020	2021	2021	2021	2022	2022	2023	2024	2025	2026
	Est.	Rev. Budget	2021 AIV	Proj.	Budget		Proj.			
Total Revenue and Grants	1,320	1,582	1,581	1,669	1,836	1,847	1,862	1,995	2,022	2,031
Revenue	1,221	1,567	1,566	1,607	1,799	1,809	1,820	1,951	1,967	1,971
Oil revenue	651	950	945	999	1,060	1,076	1,029	1,094	1,022	930
of which: repayment of oil-prepurchased debt	82	...	85	83	...	77	90	77	97	76
Non-oil revenue	570	617	621	608	739	734	791	857	945	1,041
Direct taxes	200	202	211	231	282	267	288	315	346	381
Taxes on goods and services	255	268	269	241	295	305	327	342	376	409
Customs Receipts	103	110	106	110	124	124	136	159	180	205
Non-tax revenue	12	36	35	27	38	38	40	42	44	46
Grants	100	15	15	61	37	37	42	44	55	60
Expenditure and Net Lending	1,393	1,451	1,477	1,574	1,661	1,649	1,762	1,836	1,991	2,102
Current expenditure	1,179	1,179	1,232	1,355	1,332	1,309	1,386	1,444	1,547	1,613
Wages	352	370	370	370	379	379	398	426	458	495
Other primary current expenditure	688	637	717	795	739	739	776	804	875	896
Goods and services	157	143	174	227	187	190	203	202	230	244
Transfers	473	432	483	483	487	487	509	537	576	582
Social Transfers (Lisungi, COVID-19 and others)	80	86	86	86	186	104	119	134	149	167
Traditional transfers	274	...	275	275	162	244	261	285	285	291
Oil-related transfers	82	...	85	83	77	77	90	77	97	76
Common charges	58	62	60	85	65	62	64	66	68	70
Annex budgets and special Accounts ¹	60	42	46	35	42	42	43	43	43	43
Interest	80	130	99	155	172	148	169	170	170	179
Domestic	35	...	33	87	...	58	95	109	120	140
External	45	...	67	67	...	90	74	62	51	39
of which: COVID-19 Moratorium Loan (interest)	0	...	1	2	...	2	2	2	1	0
of which: on oil-prepurchased debt	2	...	22	22	...	48	34	22	11	0
Capital expenditure	214	272	244	219	329	340	376	392	443	489
Domestically financed	119	147	131	131	161	161	175	183	220	278
Externally financed	95	124	113	87	168	179	201	209	224	211
Non-oil primary balance ²	-644	-689	-741	-749	-713	-730	-760	-765	-820	-821
Basic non-oil primary balance ³	-649	-580	-643	-723	-582	-588	-601	-600	-651	-670
— excluding oil-related transfers ⁴	-566	-580	-557	-640	-582	-511	-511	-523	-554	-594
Primary balance	7	261	204	250	347	346	269	329	202	109
Overall balance, payment order basis										
Excluding grants	-172	116	90	34	138	160	58	115	-23	-131
Including grants	-73	131	105	95	175	198	100	159	31	-71
Adjustment to cash basis	29	0	0	0	0	0	0	0	0	0
Overall balance, cash basis	-44	131	105	95	175	198	100	159	31	-71
Financing	44	-131	-105	-95	-583	-421	-318	-298	-31	71
Foreign (net)	48	-241	-251	-183	-310	-373	-288	-242	-179	-26
Drawings	76	109	126	127	131	142	159	165	169	151
COVID-19 Moratorium Loan	149	...	96	89	...	0	0	0	0	0
Amortization (paid)	-468	-351	-473	-399	-441	-515	-447	-407	-348	-177
of which: COVID-19 Moratorium Loan (principal and interest)	0	...	0	0	...	52	64	63	17	17
of which: on oil-prepurchased debt	-18	...	-115	-114	...	-239	-216	-196	-183	0
Other foreign financing	82	...	0	0	...	0	0	0	0	0
Domestic (net)	-5	110	146	88	-273	-48	-30	-56	148	97
Banking system (net)	318	427	288	188	119	103	103	-15	208	203
Central bank	113	33	-145	-195	119	55	-162	-126	-74	-157
of which: Use of SDR Allocations	...	...	...	33	...	120	...	...	...	...
Commercial banks	206	394	432	384	...	48	265	112	282	360
Nonbank financing	-323	-317	-142	-100	-392	-151	-133	-42	-60	-106
Of which: Repayment of domestic arrears	-203	-128	-165	-165	...	-201	-177	-143	-102	-54
Financing gap (= surplus)	0	0	0	0	408	223	218	139	0	0
Expected financing (excluding IMF)	0	0	0	0	...	71	167	89	0	0
IMF-ECF	0	0	0	0	...	152	51	50	0	0
Residual financing gap	0	...	0	0	...	0	0	0	0	0
Memorandum items:										
Stock of domestic arrears ⁵	1,358	...	1,107	1,148	...	1,333	987	694	551	496
Stock of government deposits	98	...	243	294	...	88	200	277	326	460
CEMAC Reference fiscal balance ⁶	152	...	28	-36	...	-87	-202	-107	-137	-162
GDP at current market prices	5,937	6,962	6,976	6,962	7,189	7,189	7,390	7,899	8,146	8,370
Non-oil GDP at market prices	4,245	4,369	4,369	4,369	4,639	4,639	4,955	5,308	5,708	6,162

Sources: Congolese authorities; and IMF staff estimates and projections.

¹ Includes net spending (i.e. spending minus revenues) associated with decentralized government entities.² Revenue and grants excluding oil revenues minus total primary expenditures (excluding interest payments).³ Non oil revenue excluding grants minus total expenditures excluding interest payments and foreign-financed investment.⁴ Basic non-oil primary balance minus oil revenue and oil-related transfers.⁵ Includes estimates of domestic arrears audited by the the Caisse Congolaise d'Amortisation (CCA) and reported but not yet audited arrears.⁶ CEMAC definition: overall balance minus 20 percent of oil revenues and minus 80 percent of the oil revenue in excess of the average observed during the three previous years.

Table 2b. Republic of Congo: Central Government Operations, 2020–26
(Percent of non-oil GDP)

	2020	2021	2021	2021	2022	2022	2023	2024	2025	2026
	Est.	Rev. Budget	2021 AIV	Proj.	Budget			Proj.		
Total Revenue and Grants	31.1	36.2	36.2	38.2	39.6	39.8	37.6	37.6	35.4	33.0
Revenue	28.8	35.9	35.9	36.8	38.8	39.0	36.7	36.8	34.5	32.0
Oil revenue	15.3	21.7	21.6	22.9	22.9	23.2	20.8	20.6	17.9	15.1
<i>of which: repayment of oil-prepurchased debt</i>	1.9	...	2.0	1.9	0.0	1.7	1.8	1.5	1.7	1.2
Non-oil revenue	13.4	14.1	14.2	13.9	15.9	15.8	16.0	16.1	16.6	16.9
Direct taxes	4.7	4.6	4.8	5.3	6.1	5.8	5.8	5.9	6.1	6.2
Taxes on goods and services	6.0	6.1	6.2	5.5	6.4	6.6	6.6	6.4	6.6	6.6
Customs receipts	2.4	2.5	2.4	2.5	2.7	2.7	2.8	3.0	3.2	3.3
Non-tax revenue	0.3	0.8	0.8	0.6	0.8	0.8	0.8	0.8	0.8	0.7
Grants	2.3	0.3	0.3	1.4	0.8	0.8	0.9	0.8	1.0	1.0
Expenditure and Net Lending	32.8	33.2	33.8	36.0	35.8	35.5	35.6	34.6	34.9	34.1
Current expenditure	27.8	27.0	28.2	31.0	28.7	28.2	28.0	27.2	27.1	26.2
Wages	8.3	8.5	8.5	8.5	8.2	8.2	8.0	8.0	8.0	8.0
Other primary current expenditure	16.2	14.6	16.4	18.2	15.9	15.9	15.7	15.2	15.3	14.5
Goods and services	3.7	3.3	4.0	5.2	4.0	4.1	4.1	3.8	4.0	4.0
Transfers	11.2	9.9	11.0	11.0	10.5	10.5	10.3	10.1	10.1	9.4
Social Transfers (Lisungi, COVID-19 and others)	1.9	2.0	2.0	2.0	4.0	2.2	2.4	2.5	2.6	2.7
Traditional transfers	6.4	...	6.3	6.3	3.5	5.3	5.3	5.4	5.0	4.7
Oil-related transfers	1.9	...	2.0	1.9	1.7	1.7	1.8	1.5	1.7	1.2
Common charges	1.4	1.4	1.4	2.0	1.4	1.3	1.3	1.2	1.2	1.1
Annex budgets and special Accounts ¹	1.4	1.0	1.1	0.8	0.9	0.9	0.9	0.8	0.8	0.7
Interest	1.9	3.0	2.3	3.5	3.7	3.2	3.4	3.2	3.0	2.9
Domestic	0.8	...	0.7	2.0	0.0	1.3	1.9	2.0	2.1	2.3
External	1.1	...	1.5	1.5	0.0	1.9	1.5	1.2	0.9	0.6
<i>of which: COVID-19 Moratorium Loan (interest)</i>	0.0	...	0.0	0.0	0.0	0.1	0.0	0.0	0.0	0.0
<i>of which: on oil-prepurchased debt</i>	0.0	...	0.5	0.5	0.0	1.0	0.7	0.4	0.2	0.0
Capital expenditure	5.0	6.2	5.6	5.0	7.1	7.3	7.6	7.4	7.8	7.9
Domestically financed	2.8	3.4	3.0	3.0	3.5	3.5	3.5	3.4	3.8	4.5
Externally financed	2.2	2.8	2.6	2.0	3.6	3.9	4.1	3.9	3.9	3.4
Non-oil primary balance ²	-15.2	-15.8	-17.0	-17.1	-15.4	-15.7	-15.3	-14.4	-14.4	-13.3
Basic non-oil primary balance ³	-15.3	-13.3	-14.7	-16.5	-12.5	-12.7	-12.1	-11.3	-11.4	-10.9
— excluding oil-related transfers ⁴	-13.3	-13.3	-12.8	-14.6	-12.5	-11.0	-10.3	-9.8	-9.7	-9.6
Primary balance	0.2	6.0	4.7	5.7	7.5	7.5	5.4	6.2	3.5	1.8
Overall balance, payment order basis										
Excluding grants	-4.1	2.7	2.0	0.8	3.0	3.5	1.2	2.2	-0.4	-2.1
Including grants	-1.7	3.0	2.4	2.2	3.8	4.3	2.0	3.0	0.6	-1.1
Adjustment to cash basis	0.7	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Overall balance, cash basis	-1.0	3.0	2.4	2.2	3.8	4.3	2.0	3.0	0.6	-1.1
Financing	1.0	-3.0	-2.4	-2.2	-12.6	-9.1	-6.4	-5.6	-0.6	1.1
Foreign (net)	1.1	-5.5	-5.7	-4.2	-6.7	-8.0	-5.8	-4.6	-3.1	-0.4
Drawings	1.8	2.5	2.9	2.9	2.8	3.1	3.2	3.1	3.0	2.5
COVID-19 Moratorium Loan	3.5	...	2.2	2.0	0.0	0.0	0.0	0.0	0.0	0.0
Amortization (paid)	-11.0	-8.0	-10.8	-9.1	-9.5	-11.1	-9.0	-7.7	-6.1	-2.9
<i>of which: COVID-19 Moratorium Loan (principal and interest)</i>	0.0	...	0.0	0.0	0.0	1.1	1.3	1.2	0.3	0.3
<i>of which: on oil-prepurchased debt</i>	-0.4	...	-2.6	-2.6	0.0	-5.1	-4.4	-3.7	-3.2	0.0
Other foreign financing	1.9	...	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Domestic (net)	-0.1	2.5	3.3	2.0	-5.9	-1.0	-0.6	-1.1	2.6	1.6
Banking system (net)	7.5	9.8	6.6	4.3	2.6	2.2	2.1	-0.3	3.6	3.3
Central bank	2.7	0.8	-3.3	-4.5	2.6	1.2	-3.3	-2.4	-1.3	-2.5
<i>of which: Use of SDR Allocations</i>	...	...	...	0.8	...	2.6	...	...	...	...
Commercial banks	4.8	9.0	9.9	8.8	0.0	1.0	5.4	2.1	4.9	5.8
Nonbank financing	-7.6	-7.2	-3.2	-2.3	-8.5	-3.3	-2.7	-0.8	-1.1	-1.7
<i>Of which: Repayment of domestic arrears</i>	-4.8	-2.9	-3.8	-3.8	0.0	-4.3	-3.6	-2.7	-1.8	-0.9
Financing gap (= surplus)	0.0	0.0	0.0	0.0	8.8	4.8	4.4	2.6	0.0	0.0
Expected financing (excluding IMF)	0.0	0.0	0.0	0.0	...	1.5	3.4	1.7	0.0	0.0
IMF-ECF	0.0	0.0	0.0	0.0	...	3.3	1.0	0.9	0.0	0.0
Residual financing gap	0.0	0.0	0.0	0.0	...	0.0	0.0	0.0	0.0	0.0
Memorandum items:										
Stock of domestic arrears ⁵	32.0	...	25.3	26.3	...	28.7	19.9	13.1	9.6	8.1
Stock of government deposits	2.3	...	5.6	6.7	...	1.9	4.0	5.2	5.7	7.5
CEMAC Reference fiscal balance ⁶	3.6	...	0.6	-0.8	...	-1.9	-4.1	-2.0	-2.4	-2.6
GDP at current market prices (CFAF billion)	5,937	6,962	6,976	6,962	7,189	7,189	7,390	7,899	8,146	8,370
Non-oil GDP at market prices (CFAF billion)	4,245	4,369	4,369	4,369	4,639	4,639	4,955	5,308	5,708	6,162

Sources: Congolese authorities; and IMF staff estimates and projections.

¹ Includes net spending (i.e. spending minus revenues) associated with decentralized government entities.² Revenue and grants excluding oil revenues minus total primary expenditures (excluding interest payments).³ Non oil revenue excluding grants minus total expenditures excluding interest payments and foreign-financed investment.⁴ Basic non-oil primary balance minus oil revenue and oil-related transfers.⁵ Includes estimates of domestic arrears audited by the the Caisse Congolaise d'Amortisation (CCA) and reported but not yet audited arrears.⁶ CEMAC definition: overall balance minus 20 percent of oil revenues and minus 80 percent of the oil revenue in excess of the average observed during the three previous years.

REPUBLIC OF CONGO

Table 2c. Republic of Congo: Central Government Operations, 2020–26
(Percent of GDP)

	2020	2021	2021	2021	2022	2022	2023	2024	2025	2026
	Est.	Rev. Budget	2021 AIV	Proj.	Budget		Proj.			
Total Revenue and Grants	22.2	22.7	22.7	24.0	25.5	25.7	25.2	25.3	24.8	24.3
Revenue	20.6	22.5	22.5	23.1	25.0	25.2	24.6	24.7	24.1	23.6
Oil revenue	11.0	13.6	13.5	14.3	14.7	15.0	13.9	13.8	12.5	11.1
Non-oil revenue	9.6	8.9	8.9	8.7	10.3	10.2	10.7	10.9	11.6	12.4
Direct taxes	3.4	2.9	3.0	3.3	3.9	3.7	3.9	4.0	4.2	4.6
Taxes on goods and services	4.3	3.9	3.9	3.5	4.1	4.2	4.4	4.3	4.6	4.9
Customs Receipts	1.7	1.6	1.5	1.6	1.7	1.7	1.8	2.0	2.2	2.4
Non-tax revenue	0.2	0.5	0.5	0.4	0.5	0.5	0.5	0.5	0.5	0.6
Grants	1.7	0.2	0.2	0.9	0.5	0.5	0.6	0.6	0.7	0.7
Expenditure and Net Lending	23.5	20.8	21.2	22.6	23.1	22.9	23.8	23.2	24.4	25.1
Current expenditure	19.9	16.9	17.7	19.5	18.5	18.2	18.8	18.3	19.0	19.3
Wages	5.9	5.3	5.3	5.3	5.3	5.3	5.4	5.4	5.6	5.9
Other primary current expenditure	11.6	9.2	10.3	11.4	10.3	10.3	10.5	10.2	10.7	10.7
Goods and services	2.6	2.1	2.5	3.3	2.6	2.6	2.7	2.6	2.8	2.9
Transfers	8.0	6.2	6.9	6.9	6.8	6.8	6.9	6.8	7.1	7.0
Social Transfers (Lisungi, COVID-19 and others)	1.3	1.2	1.2	1.2	2.6	1.4	1.6	1.7	1.8	2.0
Traditional transfers	4.6	...	3.9	3.9	2.3	3.4	3.5	3.6	3.5	3.5
Oil-related transfers	1.4	...	1.2	1.2	1.1	1.1	1.2	1.0	1.2	0.9
Common charges	1.0	0.9	0.9	1.2	0.9	0.9	0.9	0.8	0.8	0.8
Annex budgets and special Accounts ¹	1.0	0.6	0.7	0.5	0.6	0.6	0.6	0.5	0.5	0.5
Interest	1.3	1.9	1.4	2.2	2.4	2.1	2.3	2.2	2.1	2.1
Domestic	0.6	...	0.5	1.3	0.0	0.8	1.3	1.4	1.5	1.7
External	0.8	...	1.0	1.0	0.0	1.3	1.0	0.8	0.6	0.5
of which: COVID-19 Moratorium Loan (interest)	0.0	...	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
of which: on oil-preurchased debt	0.0	...	0.3	0.3	0.0	0.7	0.5	0.3	0.1	0.0
Capital expenditure	3.6	3.9	3.5	3.1	4.6	4.7	5.1	5.0	5.4	5.8
Domestically financed	2.0	2.1	1.9	1.9	2.2	2.2	2.4	2.3	2.7	3.3
Externally financed	1.6	1.8	1.6	1.3	2.3	2.5	2.7	2.6	2.7	2.5
Non-oil primary balance ²	-10.9	-9.9	-10.6	-10.8	-9.9	-10.2	-10.3	-9.7	-10.1	-9.8
Basic non-oil primary balance ³	-10.9	-8.3	-9.2	-10.4	-8.1	-8.2	-8.1	-7.6	-8.0	-8.0
— excluding oil-related transfers ⁴	-9.5	-8.3	-8.0	-9.2	-8.1	-7.1	-6.9	-6.6	-6.8	-7.1
Primary balance	0.1	3.7	2.9	3.6	4.8	4.8	3.6	4.2	2.5	1.3
Overall balance, payment order basis										
Excluding grants	-2.9	1.7	1.3	0.5	1.9	2.2	0.8	1.5	-0.3	-1.6
Including grants	-1.2	1.9	1.5	1.4	2.4	2.7	1.4	2.0	0.4	-0.8
Adjustment to cash basis	0.5	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Overall balance, cash basis	-0.7	1.9	1.5	1.4	2.4	2.7	1.4	2.0	0.4	-0.8
Financing	0.7	-1.9	-1.5	-1.4	-8.1	-5.9	-4.3	-3.8	-0.4	0.8
Foreign (net)	0.8	-3.5	-3.6	-2.6	-4.3	-5.2	-3.9	-3.1	-2.2	-0.3
Drawings	1.3	1.6	1.8	1.8	1.8	2.0	2.1	2.1	2.1	1.8
COVID-19 Moratorium Loan	2.5	...	1.4	1.3	0.0	0.0	0.0	0.0	0.0	0.0
Amortization (paid)	-7.9	-5.0	-6.8	-5.7	-6.1	-7.2	-6.1	-5.1	-4.3	-2.1
of which: COVID-19 Moratorium Loan (principal and interest)	0.0	...	0.0	0.0	0.0	0.7	0.9	0.8	0.2	0.2
of which: on oil-preurchased debt	-0.3	...	-1.6	-1.6	0.0	-3.3	-2.9	-2.5	-2.2	0.0
Other foreign financing	1.4	...	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Domestic (net)	-0.1	1.6	2.1	1.3	-3.8	-0.7	-0.4	-0.7	1.8	1.2
Banking system (net)	5.4	6.1	4.1	2.7	1.7	1.4	1.4	-0.2	2.6	2.4
Central bank	1.9	0.5	-2.1	-2.8	1.7	0.8	-2.2	-1.6	-0.9	-1.9
of which: Use of SDR Allocations	...	...	...	0.5	...	1.7	...	...	...	...
Commercial banks	3.5	5.7	6.2	5.5	0.0	0.7	3.6	1.4	3.5	4.3
Nonbank financing	-5.4	-4.5	-2.0	-1.4	-5.5	-2.1	-1.8	-0.5	-0.7	-1.3
Of which: Repayment of domestic arrears	-3.4	-1.8	-2.4	-2.4	0.0	-2.8	-2.4	-1.8	-1.2	-0.7
Financing gap (= surplus)	0.0	0.0	0.0	0.0	5.7	3.1	2.9	1.8	0.0	0.0
Expected financing (excluding IMF)	0.0	0.0	0.0	0.0	...	1.0	2.3	1.1	0.0	0.0
IMF-ECF	0.0	0.0	0.0	0.0	...	2.1	0.7	0.6	0.0	0.0
Residual financing gap	0.0	0.0	0.0	0.0	...	0.0	0.0	0.0	0.0	0.0
Memorandum items:										
Stock of domestic arrears ⁵	22.9	...	15.9	16.5	...	18.5	13.3	8.8	6.8	5.9
Stock of government deposits	1.6	...	3.5	4.2	...	1.2	2.7	3.5	4.0	5.5
CEMAC Reference fiscal balance ⁶	2.6	...	0.4	-0.5	...	-1.2	-2.7	-1.4	-1.7	-1.9
GDP at current market prices	5,937	6,962	6,976	6,962	7,189	7,189	7,390	7,899	8,146	8,370
Non-oil GDP at market prices	4,245	4,369	4,369	4,369	4,639	4,639	4,955	5,308	5,708	6,162

Sources: Congolese authorities; and IMF staff estimates and projections.

¹ Includes net spending (i.e. spending minus revenues) associated with decentralized government entities.² Revenue and grants excluding oil revenues minus total primary expenditures (excluding interest payments).³ Non oil revenue excluding grants minus total expenditures excluding interest payments and foreign-financed investment.⁴ Basic non-oil primary balance minus oil revenue and oil-related transfers.⁵ Includes estimates of domestic arrears audited by the the Caisse Congolaise d'Amortisation (CCA) and reported but not yet audited arrears.⁶ CEMAC definition: overall balance minus 20 percent of oil revenues and minus 80 percent of the oil revenue in excess of the average observed during the three previous years.

Table 3a. Republic of Congo: Quarterly Central Government Operations, Flows, 2021–22
(Billions of CFA francs)

	2021					2022				
	Q1	Q2	Q3	Q4	Annual	Q1	Q2	Q3	Q4	Annual
	Prel.	Prel.	Proj.	Proj.	Proj.	Proj.	Proj.	Proj.	Proj.	Proj.
Total revenue and grants	287	383	439	560	1,669	345	436	480	586	1,847
Revenue	287	383	433	505	1,607	335	427	470	577	1,809
Oil revenue	148	235	280	337	999	215	258	280	323	1,076
<i>of which: repayment of oil-prepurchased debt</i>	21	21	21	21	83	14	20	20	23	77
Non-oil revenue	139	148	153	168	608	120	169	191	254	734
Direct taxes	44	52	59	76	231	44	61	69	92	267
Taxes on goods and services	59	68	61	53	241	50	70	79	105	305
Customs Receipts	26	24	31	29	110	20	29	32	43	124
Non-tax revenue	9	4	3	10	27	6	9	10	13	38
Grants	0	0	6	55	61	9	9	9	9	37
Expenditure and net lending	351	334	391	498	1,574	367	420	439	424	1,649
Current expenditure	320	293	321	421	1,355	298	335	347	329	1,309
Wages	82	85	99	104	370	87	95	99	99	379
Other primary current expenditure	186	178	205	261	830	174	203	211	193	781
Goods and services	52	67	40	68	227	48	53	55	34	190
Transfers	99	83	146	154	483	101	124	130	133	487
Social transfers (Lisungi, COVID-19 and other)	...	...	21	64	86	25	27	26	26	104
Traditional Transfers	75	63	101	36	275	46	61	68	68	244
Transfers paid with crude oil barrels	24	21	21	18	83	14	20	20	23	77
Local Government	0	0	3	10	14	9	9	9	9	37
Elections				25	25	6	6	6	6	25
Common charges	20	20	14	31	85	16	16	16	16	62
Annex budgets and special Accounts ¹	15	8	5	8	35	11	11	11	11	42
Interest	52	30	17	55	155	37	37	37	37	148
Domestic	12	15	11	49	87	15	15	15	15	58
External	40	14	7	6	67	23	23	23	23	90
Capital expenditure	31	41	70	77	219	68	85	92	95	340
Domestically financed	27	41	44	19	131	32	40	43	45	161
Externally financed	4	0	26	57	87	36	45	48	50	179
Non-oil primary balance ²	-160	-156	-214	-219	-749	-200	-205	-201	-124	-730
Basic primary balance	-8	78	86	120	276	42	89	117	240	488
Basic non-oil primary balance ³	-156	-156	-194	-217	-723	-173	-169	-162	-83	-588
— excluding oil-related transfers ⁴	-133	-135	-173	-198	-640	-159	-149	-142	-60	-511
Primary balance	-12	78	66	118	250	15	54	78	199	346
Overall balance, payment order basis										
Excluding grants	-64	49	42	7	34	-31	7	32	152	160
Including grants	-64	49	48	62	95	-22	16	41	162	198
Overall balance, cash basis	-64	50	48	62	95	-22	16	41	162	198
Financing	-44	43	-321	228	-95	57	-36	-50	-391	-421
Foreign (net)	-11	-8	-156	-8	-183	-153	-115	-210	105	-373
Drawings	78	43	48	-43	127	21	35	54	32	142
Amortization Net (Paid) on principal, external	-90	-50	-205	-54	-399	-174	-150	-264	73	-515
<i>of which: on oil-prepurchased debt</i>			-29	-86	-114	-60	-60	-60	-60	-239
Other foreign financing	0	0	0	0	0	...	...	...	...	0
Domestic (net)	-33	50	-165	236	88	210	79	159	-497	-48
Banking	40	13	-140	276	188	225	87	197	-406	103
Central Bank (net)	0	44	-120	-119	-195	104	-16	-16	-17	55
<i>of which: Change in government deposits (- = an increase)</i>	0	0	-52	-177	-228	-16	-16	-16	-16	-65
<i>Use of SDR Allocations</i>				33	33	30	30	30	30	120
Commercial banks (net)	40	-31	-20	395	384	121	103	213	-389	48
Nonbank financing	-72	37	-25	-40	-100	-15	-8	-38	-91	-151
<i>Of which: Repayment of domestic arrears</i>	-17	-11	-33	-104	-165	-20	-10	-50	-121	-201
Financing gap (- = surplus)	108	-93	273	-288	0	-35	19	9	229	223
Expected financing (excluding IMF)	0	0	0	0	0	0	0	0	71	71
IMF-ECF	...	...	0	0	0	51	51	0	51	152
Residual	108	-93	273	-288	0	-86	-31	9	108	0

Sources: Congolese authorities; and IMF staff estimates and projections.

¹ Includes net spending (i.e. spending minus revenues) associated with decentralized government entities and net of social security contributions.² Revenue and grants excluding oil revenues minus total primary expenditures (excluding interest payments).³ Non oil revenue excluding grants minus total expenditures excluding interest payments and foreign-financed investment.⁴ Basic non-oil primary balance minus oil-related transfers.

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Table 3b. Republic of Congo: Quarterly Central Government Operations, Flows, 2021–22

(Billions of CFA francs; cumulative from the beginning of the fiscal year)

	2021				2022			
	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
	Prel.	Prel.	Proj.	Proj.	Proj.	Proj.	Proj.	Proj.
Total revenue and grants	287	669	1109	1669	345	781	1261	1847
Revenue	287	669	1103	1607	335	762	1233	1809
Oil revenue	148	383	662	999	215	473	753	1076
<i>of which: repayment of oil-prepurchased debt</i>	21	42	63	83	14	34	54	77
Non-oil revenue	139	287	440	608	120	289	480	734
Direct taxes	44	96	154	231	44	105	175	267
Taxes on goods and services	59	127	188	241	50	120	200	305
Customs Receipts	26	51	81	110	20	48	81	124
Non-tax revenue	9	13	17	27	6	15	24	38
Grants	0	0	6	61	9	19	28	37
Expenditure and net lending	351	685	1076	1574	367	786	1225	1649
Current expenditure	320	613	934	1355	298	633	980	1309
Wages	82	167	266	370	87	182	280	379
Other primary current expenditure	186	364	569	830	174	377	588	781
Goods and services	52	119	159	227	48	101	156	190
Transfers	99	182	329	483	101	224	354	487
Social transfers (Lisungi, COVID-19 and other)	...	0	21	86	25	52	78	104
Traditional Transfers	75	138	239	275	46	107	176	244
Transfers paid with crude oil barrels	24	44	65	83	14	34	54	77
Local Government	0	0	3	14	9	18	27	37
Elections	0	0	0	25	6	13	19	25
Common charges	20	40	54	85	16	31	47	62
Annex budgets and special Accounts ¹	15	22	27	35	11	21	32	42
Interest	52	82	99	155	37	74	111	148
Domestic	12	28	38	87	15	29	44	58
External	40	54	61	67	23	45	68	90
Capital expenditure	31	72	142	219	68	153	245	340
Domestically financed	27	68	112	131	32	72	116	161
Externally financed	4	4	30	87	36	81	129	179
Non-oil primary balance ²	-160	-316	-530	-749	-200	-405	-606	-730
Basic primary balance	-8	70	156	276	42	131	248	488
Basic non-oil primary balance ³	-156	-312	-506	-723	-173	-342	-505	-588
— excluding oil-related transfers ⁴	-133	-268	-441	-640	-159	-309	-451	-511
Primary balance	-12	67	132	250	15	69	147	346
Overall balance, payment order basis	0	0	0	0	0	0	0	0
Excluding grants	-64	-16	27	34	-31	-24	8	160
Including grants	-64	-16	33	95	-22	-5	36	198
Overall balance, cash basis	-64	-14	35	97	-22	-5	36	198
Financing	-44	-1	-323	-95	57	21	-30	-421
Foreign (net)	-11	-19	-175	-183	-153	-268	-478	-373
Drawings	78	121	169	127	21	56	110	142
Project loans	4	4	52	127	21	56	110	142
COVID-19 Moratorium Loan	0	0	0	89	0	0	0	0
Amortization Net (Paid) on principal, external	-90	-140	-345	-399	-174	-324	-588	-515
Other foreign financing	0	0	0	0	...	0	0	0
Domestic (net)	-33	18	-147	88	210	289	449	-48
Banking	40	53	-87	188	225	312	509	103
Central Bank (net)	0	44	-76	-195	104	88	72	55
<i>of which: Change in government deposits (- = an increase)</i>	0	0	-52	-228	-16	-33	-49	-65
<i>Use of SDR Allocations</i>	0	0	0	33	30	60	90	120
Commercial banks (net)	40	9	-11	384	121	224	437	48
Nonbank financing	-72	-35	-60	-100	-15	-23	-60	-151
<i>Of which: Repayment of domestic arrears</i>	-17	-28	-61	-165	-20	-30	-80	-201
Financing gap (- = surplus)	108	15	288	0	-35	-15	-6	223
Expected financing (excluding IMF)	0	0	0	0	0	0	0	71
IMF-ECF	...	0	0	0	51	102	102	152
Residual	108	15	288	0	-86	-117	-108	0

Sources: Congolese authorities; and IMF staff estimates and projections.

¹ Includes net spending (i.e. spending minus revenues) associated with decentralized government entities.

² Revenue and grants excluding oil revenues minus total primary expenditures (excluding interest payments).

³ Non oil revenue excluding grants minus total expenditures excluding interest payments and foreign-financed investment.

⁴ Basic non-oil primary balance minus oil-related transfers.

Table 4. Republic of Congo: Medium-Term Balance of Payments, 2020–26
(Billions of CFA francs)

	2020	2021	2021	2022	2023	2024	2025	2026
	Est.	2021 AIV			Proj.			
Current account	-8	846	932	397	23	-108	-329	-356
<i>of which non-oil</i>	-1,276	-900	-849	-1,267	-1,409	-1,553	-1,706	-1,695
Trade balance	1,498	2,643	2,665	2,439	2,155	2,211	1,958	1,732
Exports, f.o.b.	3,131	4,515	4,514	4,537	4,395	4,649	4,448	4,230
Oil sector	2,399	3,644	3,625	3,606	3,445	3,665	3,418	3,101
Non-oil sector	732	872	889	931	949	984	1,030	1,129
Imports, f.o.b.	-1,633	-1,872	-1,848	-2,097	-2,240	-2,438	-2,490	-2,498
Oil sector	-627	-918	-915	-962	-992	-1,091	-1,013	-895
Government	-269	-196	-175	-272	-301	-313	-355	-391
Non-oil private sector	-737	-759	-759	-863	-947	-1,034	-1,122	-1,211
Balance of services	-996	-1,103	-1,087	-1,258	-1,362	-1,488	-1,533	-1,375
Oil sector	-331	-479	-478	-511	-538	-597	-554	-425
Nonoil sector	-665	-624	-609	-746	-824	-891	-979	-951
Income	-580	-684	-683	-794	-782	-844	-775	-737
Labor income	9	2	2	2	2	1	2	3
Investment income	-589	-686	-685	-796	-785	-845	-778	-741
Current transfers (net)	70	-10	36	9	13	12	21	24
Capital account	22	22	22	15	15	44	55	60
Official grants	28	28	28	15	15	44	55	60
Debt cancellation	0	0	0	0	0	0	0	0
Non-financial non-produced assets	-6	-6	-6	0	0	0	0	0
Financial account	-284	-915	-899	-518	-64	53	367	469
Direct investment (net)	157	295	294	331	381	373	355	338
Portfolio investment	-1	-1	-1	-1	-1	-1	-1	-1
Other investment	-440	-1,210	-1,192	-848	-445	-318	13	132
Medium and long term	-431	-211	-138	-363	-180	-132	-138	2
Public sector	-392	-346	-151	-346	-203	-176	-179	-26
Drawings	76	126	127	169	245	231	169	151
Project	76	126.5	127	142	159	165	169	151
Program	0	0	0	0	0	0	0	0
Other (collateralized)	0	0	0	27	86	66	0	0
Amortization ¹	-410	-403	-399	-515	-447	-407	-348	-177
Net change in arrears	-57	-70	0	0	0	0	0	0
SDR Allocation	0	121	121	0	0	0	0	0
Private sector	-39	14	14	-17	23	43	42	28
Oil	-45	26	25	25	26	29	26	23
Non-oil	7	-12	-12	-43	-4	14	15	5
Short term	-10	-999	-1,055	-485	-265	-186	150	130
Errors and omissions	0	0	0	0	0	0	0	0
Overall balance of payments	-270	-48	55	-105	-26	-11	93	173
Financing	269	-73	-56	-118	-192	-129	-93	-173
Reserve financing (- = increase)	39	-168	-145	-118	-192	-129	-93	-173
Government deposits abroad	82	0	0	0	0	0	0	0
Exceptional financing ²	149	96	89	0	0	0	0	0
Financing gap (- = surplus)	0	--	0	223	218	139	0	0
Expected financing (excluding IMF)	0	0	0	71	167	89	0	0
IMF-ECF	0	0	0	152	51	50	0	0
Residual financing gap	0	0	0	0	0	0	0	0

Sources: Bank of Central African States (BEAC) and IMF staff estimates and projections.

¹ Includes stock debt relief of the HIPC completion point and the repayment of the G20 loan moratorium.

² Includes flow debt relief from Paris Club and London Club, G20 loan moratorium, and payments to litigating creditors.

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Table 5. Republic of Congo: Monetary Survey, 2020–26

(Billions of CFA francs, unless otherwise specified)

	2020	2021	2021				2022	2023	2024	2025	2026
		2021 AIV	Q1	Q2	Q3	Q4					
	Est.		Proj.	Proj.	Proj.	Proj.			Proj.		
Net foreign assets	559	626	478	408	480	607	602	729	919	1,032	1,240
Central bank	440	488	348	324	403	463	428	569	648	746	921
Deposit money banks	119	138	131	84	77	144	174	160	271	286	318
Net domestic assets	1,606	2,239	1,685	1,801	1,803	2,138	2,438	2,630	2,720	3,056	3,430
Net domestic credit	1,999	2,239	2,092	2,173	1,803	2,138	2,438	2,630	2,720	3,056	3,430
Net credit to the public sector	875	1,157	958	1,072	992	1,058	1,161	1,416	1,502	1,710	1,913
Net credit to the Government	873	1,154	937	969	889	1,055	1,158	1,413	1,449	1,708	1,911
Central bank	506	355	530	606	546	305	512	553	527	504	347
Claims	598	597	605	682	682	598	598	750	801	825	801
Use of IMF Credit	26	25	26	26	26	26	26	26	26	16	16
Deposits	-98	-243	-83	-84	-136	-294	-88	-200	-277	-326	-460
Deposit money banks	367	799	407	363	158	751	798	911	972	1,204	1,564
Claims on public agencies, net	3	3	21	103	103	3	3	3	3	3	3
Credit to the economy ²	1,124	1,082	1,134	1,102	811	1,080	1,125	1,164	1,217	1,346	1,517
Credit to the Private Sector	1,032	1,041	1,059	1,040	729	1,039	1,081	1,117	1,168	1,261	1,380
Other items, net	-394	--	-407	-373	--	--	--	--	--	--	--
Broad money	2,159	2,865	2,156	2,201	2,283	2,745	3,040	3,360	3,638	4,088	4,669
Currency outside banks	569	755	542	561	584	723	801	885	959	1,077	1,230
Demand deposits	1,069	1,382	1,098	1,137	1,049	1,322	1,506	1,664	1,802	2,025	2,313
Time deposits	521	728	516	503	616	699	733	810	878	986	1,126
(Changes in percent of beginning-of-period broad money)											
Broad money	18.0	32.7	-0.1	1.9	5.8	27.2	10.8	10.5	8.3	12.4	14.2
Net foreign assets	1.5	3.1	-3.7	-7.0	-3.7	2.2	-0.2	4.2	5.6	3.1	5.1
Net domestic assets	16.8	29.3	3.7	9.0	9.2	24.7	10.9	6.3	2.7	9.2	9.1
Net domestic credit	20.0	11.1	4.3	8.1	-9.1	6.4	10.9	6.3	2.7	9.2	9.1
Net credit to the public sector	17.7	13.0	3.8	9.1	5.4	8.5	3.7	8.4	2.6	5.7	5.0
Credit to the economy ²	2.3	-1.9	0.5	-1.0	-14.5	-2.0	1.6	1.3	1.6	3.8	5.1
Credit to the Private Sector	1.9	0.4	1.2	0.3	-14.0	0.3	1.5	1.2	1.5	2.8	3.5
Other items, net	-3.2	18.2	-0.6	1.0	18.2	18.2	--	--	--	--	--
(Annual percent changes, unless otherwise indicated)											
Broad money	18.0	32.7	15.6	14.7	17.0	27.2	10.8	10.5	8.3	12.4	14.2
Reserve money	16.5	44.2	4.9	-1.8	-2.7	38.1	7.5	7.2	3.1	15.1	23.4
Credit to the economy ¹	3.9	-3.7	8.9	7.1	-22.9	-3.9	4.2	3.5	4.6	10.5	24.6
Credit to the Private Sector	3.5	0.8	10.0	11.5	-24.9	0.6	4.1	3.3	4.5	8.0	9.4
Velocity (Non-oil GDP/average M2)	2.1	1.5	...	...	...	1.6	1.5	1.5	1.5	1.4	1.3
(Percent)											
Total nominal GDP growth	-20.8	17.5	...	...	...	17.3	3.3	2.8	6.9	3.1	2.8
Non-oil GDP growth	-6.3	2.9	...	...	...	2.9	6.2	6.8	7.1	7.5	7.9
Credit to the economy/Non-oil GDP	26.5	24.8	...	...	...	24.7	24.3	23.5	22.9	23.6	24.6
Memorandum Items:											
Gross imputed official reserves (CFA billion)	643	812	508	471	550	788	906	1097	1226	1319	1492
In months of imports	2.5	2.9	...	...	...	2.7	2.9	3.2	3.5	3.9	4.4
Central bank liabilities to non-residents	203.1	323.4	160.4	147.3	147.3	324.9	477.3	527.9	578.3	573.3	570.8

Sources: BEAC; and IMF staff estimates and projections.

¹ Private sector and public enterprises.

Table 6. Republic of Congo: Financial Soundness Indicators for the Banking Sector, 2015–21
(Percent, unless otherwise indicated)

	2015	2016	2017	2018	2019	2020	2021	
							March	June
Capital								
Regulatory capital to risk-weighted assets ^{1,2}	19.5	19.1	22.8	24.9	28.8	18.8	17.8	22.4
Asset quality								
Non-performing loans less provisions to capital	4.6	7.9	33.0	39.4	49.4	29.6	25.1	24.2
Non-performing loans (gross) to total loans (gross)	3.6	4.8	13.3	18.2	23.1	17.5	16.4	16.7
Earnings and profitability								
Return on equity	20.4	28.0	9.9	16.7	5.3	7.8	0.0	18.4
Return on assets ³	2.3	4.0	1.7	3.0	0.9	1.2	0.0	2.8
Liquidity								
Ratio of liquid assets to short-term liabilities	116.1	104.4	146.6	176.0	150.8	174.4	168.6	171.6
Total deposits to total (noninterbank) loans	125.5	102.8	90.5	89.1	101.5	108.2	107.3	112.6
Credit								
Gross loan (banks' book) - bn FCFA	1,424	1,460	1,401	1,308	1,166	1,465	1,503	1,451
Gross loan - annualized growth rate	19.8	2.5	-4.1	-6.6	-10.8	25.6	18.1	17.2

Source: FSI database.

¹ Current year profits are excluded from the definition of regulatory capital, following the Basel I capital accord guidelines. General provisions are included in Tier 2 capital up to an amount equal to 1.25% of risk-weighted assets. Regulatory capital is the sum of Tier 1 capital, and the minimum of Tier 1 and Tier 2 capital.

² The risk-weighted assets are estimated using the following risk weights: 0% - cash reserves in domestic and foreign currency and claims on the central bank; 100% - all other assets.

³ The ratio of after-tax profits to the average of beginning and end-period total assets.

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Table 7. Republic of Congo: Gross Fiscal Financing Needs, 2022–26

(Billions of CFA francs)

	2022	2023	2024	2025	2026
	Proj	Proj	Proj	Proj	Proj
A. Overall fiscal balance (cash basis) [-=surplus]	-198	-100	-159	-31	71
B. Financing needs	1080	1020	990	966	1002
Amortization (including arrears)	1009	853	859	891	842
External	515	447	407	348	177
Amortization due	515	447	407	348	177
ow DSSI amortization	-52	-64	-63	-17	-17
Domestic	495	406	452	543	666
Amortization due (T-bills redemption)	294	229	309	441	611
Repayment of domestic arrears	201	177	143	102	54
BEAC	65	162	126	69	154
Repayment of statutory advances	0	0	0	21	21
Change in government deposits (+ = an increase)	65	162	126	48	133
Commercial Banks	5	5	5	5	5
Change in government deposits (+ = an increase)	5	5	5	5	5
Other external financing	0	0	0	0	0
Errors and Omissions	0	0	0	0	0
C=A+B Total financing needs	882	920	832	934	1073
D. Identified sources of financing	659	702	692	934	1073
External	142	159	165	169	151
Project financing	142	159	165	169	151
Loans	142	159	165	169	151
Domestic	517	543	527	765	921
SDR allocation channeled through BEAC	120	...	...	...	...
T-bill issuance	348	495	527	765	921
Recovery of domestic tax arrears	48	48	0	0	0
E=C-D Financing gap (-=overfinancing)	223	218	139	0	0
F. Exceptional external financing	71	167	89	0	0
Multilateral	71	167	89	0	0
H=E-F Residual financing needs	153	51	50	0	0
IMF-ECF	152	51	50	0	0

Sources: Congolese authorities; and IMF staff estimates and projections.

Table 8. Republic of Congo: Public Debt by Creditor, 2020–22¹
(Year-end; billions of CFAF, unless otherwise indicated)

	Debt Stock (end of period)			Debt Service					
	2020			2020	2021	2022	2020	2021	2022
	(Million US\$)	(Percent total debt)	(Percent GDP) ⁷	(US\$)			(Percent GDP)		
Total	12,121	100	110.1	1,332	1,182	1,795	12.9	9.3	13.6
External	6,875	57	62.4	881	850	1,111	8.5	6.7	8.4
Multilateral creditors ^{2,3}	899	7.4	8.2	37	34	37	0.4	0.3	0.3
IMF	48	0.4	0.4	...	...	...	...	...	...
World Bank	343	2.8	3.1	...	...	...	...	...	...
ADB/AfDB/IADB	422	3.5	3.8	...	...	...	...	...	...
Other Multilaterals	85	0.7	0.8	...	...	...	...	...	...
o/w: BDEAC	32	0.3	0.3	...	...	...	...	...	...
IFAD	26	0.2	0.2	...	...	...	...	...	...
Bilateral Creditors	3,007	24.8	27.3	602	363	356	5.8	2.9	2.7
Paris Club	443	3.7	4.0	195	23	107	1.9	0.2	0.8
o/w: France	195	1.6	1.8	...	...	...	...	...	...
Belgium	160	1.3	1.5	...	...	...	...	...	...
Non-Paris Club	2,564	21.2	23.3	407	340	249	3.9	2.7	1.9
o/w: China	2,114	17.4	19.2	...	...	...	...	...	...
India	130	1.1	1.2	...	...	...	...	...	...
Bonds	274	2.3	2.5	45	43	41	0.4	0.3	0.3
Commercial creditors ²	2,969	24.5	27.0	196	410	681	1.9	3.2	5.1
Domestic	5246	43.3	47.6	452	332	685	4.4	2.6	5.2
T-Bills	...	...	...	...	...	...	...	...	...
Bonds ⁶	1665	13.7	15.1	431	310	654	4.2	2.4	4.9
Loans	1061	8.8	9.6	21	22	30	0.2	0.2	0.2
Memo items:									
Collateralized debt ⁴									
o/w: Related	1,683	...	15.3	...	...	...	...	...	...
o/w: Unrelated	...	...	...	...	...	...	...	...	...
Contingent liabilities									
o/w: Public guarantees	...	...	...	...	...	...	...	...	...
o/w: Other explicit contingent liabilities ⁵	298	...	2.7	...	...	...	...	...	...
Nominal GDP	10,329	...	...	...	...	...	...	...	...

Sources: Congolese authorities and IMF staff estimates.

1/ As reported by Country authorities according to their classification of creditors, including by official and commercial. Debt coverage is the same as the DSA.

2/ A breakdown of commercial creditors, including debt owed to oil traders, is not shown in the table due to capacity constraints/confidentiality clauses.

3/ Multilateral creditors² are simply institutions with more than one official shareholder and may not necessarily align with creditor classification under other IMF policies (e.g. Lending Into Arrears).

4/ Debt is collateralized when the creditor has rights over an asset or revenue stream that would allow it, if the borrower defaults on its payment obligations, to rely on the asset or revenue stream to secure repayment of the debt. Collateralization entails a borrower granting liens over specific existing assets or future receivables to a lender as security against repayment of the loan. Collateral is "unrelated" when it has no relationship to a project financed by the loan. An example would be borrowing to finance the budget deficit, collateralized by oil revenue receipts. See the joint IMF-World Bank note for the G20 "Collateralized Transactions: Key Considerations for Public Lenders and Borrowers" for a discussion of issues raised by collateral.

5/ Includes other one-off guarantees not included in publicly guaranteed debt (e.g. credit lines) and other explicit contingent liabilities not elsewhere classified (e.g. potential

6/ Data on T-Bills and bonds are collected together.

7/ Calculated with debt stock and GDP in local currency units.

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Table 9. Republic of Congo: External Arrears, 2020–21
(Year-end; billions of CFAF, unless otherwise indicated)

	End-2020 stock			Increase(+) /Decrease(-) in 2021	September 2021 stock			Sep 2021 (Excl. unstructured pre- HIPC arrears)		
	CFAF billion	USD million	percent of GDP	CFAF billion	CFAF billion	USD million	percent of GDP	CFAF billion	USD million	percent of GDP
Total	744	1380	13	-30	714	1301	10.3	604	1099	8.7
Multilateral and other creditors	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
IMF	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
World Bank	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
IFAD	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
AfDB	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Others	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Bilateral	119.9	222.4	2.0	-4.3	115.5	210.3	1.7	61.0	111.1	0.9
Paris Club	41.1	76.2	0.7	3.2	44.3	80.6	0.6	44.3	80.6	0.6
Brazil 1/	25.2	46.7	0.4	1.3	26.5	48.2	0.4	26.5	48.2	0.4
Belgium 1/	10.5	19.4	0.2	7.3	17.8	32.4	0.3	17.8	32.4	0.3
France	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Switzerland	5.4	10.1	0.1	-5.4	0.0	0.0	0.0	0.0	0.0	0.0
Russia	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Non-Paris Club	78.8	146.1	1.3	-7.5	71.2	129.7	1.0	16.7	30.4	0.2
United Arab Emirates	12.3	22.9	0.2	0.6	13.0	23.6	0.2	0.6	1.1	0.0
Angola	39.0	72.4	0.7	2.0	41.0	74.7	0.6	2.0	3.6	0.0
China	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
India 1/	11.4	21.2	0.2	2.3	13.7	24.9	0.2	13.7	24.9	0.2
Kuwait	0.0	0.0	0.0	0.1	0.1	0.1	0.0	0.1	0.1	0.0
Saudi Arabia	0.0	0.0	0.0	0.3	0.3	0.6	0.0	0.3	0.6	0.0
Turkey	12.8	23.8	0.2	-12.8	0.0	0.0	0.0	0.0	0.0	0.0
Postal debt	3.1	5.8	0.1	0.0	3.1	5.7	0.0	0.0	0.0	0.0
Private Creditors	624	1157.6	11	-25	599	1090	8.6	543	988	7.8
CMEC and Chinese companies 2/	0	0.0	0	67	67	122	1.0	67.0	122	1.0
Eurobond (London Club)	0	0.0	0	0	0	0	0.0	0.0	0	0.0
Afreximbank	0	0.0	0	0	0	0	0.0	0.0	0	0.0
Oil traders	396	734.1	7	-92	304	553	4.4	304	553	4.4
Suppliers 3/	228	423.5	4	0	228	415	3.3	172.1	313	2.5

Source: Congolese authorities and IMF staff estimates.

¹ As of end-2021 arrears to Brazil (projected at \$112 million) are expected to be treated under the DSSI. Part of the arrears to India are also expected to be treated under the DSSI and the rest through a payment agreement. The authorities are in discussions to resolve arrears to Belgium (projected at \$36 million by end-2021).

² China Machinery Engineering Corporation, previously classified as official bilateral debt.

³ Includes disputed debts and pre-HIPC claims.

Table 10. Republic of Congo: Indicators of Capacity to Repay the IMF
(Millions of SDRs, unless otherwise stated)

	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036
IMF obligations based on existing credit																
Principal	0.0	0.0	0.0	0.0	6.5	6.5	6.5	6.5	6.5	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Charges and interest	0.0	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.0
IMF obligations based on prospective credit																
Principal	0.00	0.0	0.0	0.0	0.0	0.0	13.0	42.1	55.1	64.8	64.8	51.8	22.7	9.7	0.0	0.0
Charges and interest	0.00	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total obligations based on existing and prospective credit																
SDR millions	0.0	0.1	0.1	0.1	6.6	6.6	19.6	48.7	61.7	64.9	64.9	52.0	22.8	9.8	0.1	0.0
CFAF billions	0.0	0.1	0.1	0.1	5.1	5.1	15.1	37.7	47.7	50.2	50.2	40.2	17.6	7.6	0.1	0.0
Percent of exports of goods and services	0.0	0.0	0.0	0.0	0.1	0.1	0.3	0.8	0.9	0.9	0.9	0.7	0.3	0.1	0.0	0.0
Percent of debt service ¹	0.0	0.0	0.0	0.0	1.3	2.4	7.4	17.7	23.2	23.6	23.1	18.0	8.9	3.9	0.0	0.0
Percent of GDP	0.0	0.0	0.0	0.0	0.1	0.1	0.2	0.4	0.5	0.5	0.4	0.3	0.1	0.1	0.0	0.0
Percent of tax revenue	0.0	0.0	0.0	0.0	0.6	0.5	1.4	3.1	3.6	3.4	3.1	2.2	0.9	0.4	0.0	0.0
Percent of quota	0.0	0.1	0.1	0.1	4.1	4.1	12.1	30.1	38.1	40.1	40.1	32.1	14.1	4.7	0.1	0.0
Outstanding IMF credit based on existing and prospective drawings																
SDR millions	32.4	226.8	291.6	356.4	349.9	343.4	324.0	275.4	213.8	149.0	84.2	32.4	9.7	0.0	0.0	0.0
CFAF billions	25.5	177.9	227.7	277.2	271.3	265.8	250.7	213.1	165.5	115.3	65.2	25.1	7.5	0.0	0.0	0.0
Percent of exports of goods and services	0.5	3.8	5.0	5.7	5.9	6.0	5.3	4.3	3.2	2.2	1.2	0.5	0.1	0.0	0.0	0.0
Percent of debt service ¹	5.5	29.4	43.7	59.2	68.0	123.0	123.3	99.8	80.5	54.2	30.0	11.2	3.8	0.0	0.0	0.0
Percent of GDP	0.4	2.5	3.1	3.5	3.3	3.2	2.8	2.2	1.6	1.1	0.6	0.2	0.1	0.0	0.0	0.0
Percent of tax revenue	4.4	25.6	30.3	34.0	30.1	26.7	22.9	17.6	12.4	7.8	4.0	1.4	0.4	0.0	0.0	0.0
Percent of quota	20.0	140.0	180.0	220.0	216.0	212.0	200.0	170.0	132.0	92.0	52.0	20.0	6.0	0.0	0.0	0.0
Memorandum items:																
Exports of goods and services (CFAF billions)	4,701	4,725	4,577	4,842	4,632	4,405	4,705	4,904	5,115	5,362	5,641	5,505	5,396	5,309	5,258	5,264
External Debt service (CFAF billions) ¹	467	605	521	468	399	216	203	213	205	213	217	223	199	197	194	198
Nominal GDP (CFAF billions)	6,962	7,189	7,390	7,899	8,146	8,370	8,897	9,476	10,112	10,811	11,571	12,102	12,710	13,398	14,170	15,032
Tax revenue (CFAF billions)	581	696	751	816	901	995	1,096	1,208	1,332	1,469	1,622	1,789	1,970	2,156	2,363	2,180
Quota (SDR millions)	162.0	162.0	162.0	162.0	162.0	162.0	162.0	162.0	162.0	162.0	162.0	162.0	162.0	162.0	162.0	162.0

Sources: IMF staff estimates and projections.

¹ Total external debt service includes IMF repurchases and repayments.

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Table 11. Republic of Congo: Proposed Schedule of Disbursements and Timing of Reviews Under ECF Arrangement, 2022–24

Date of Availability	Conditions Necessary for Disbursement	Amount (SDR million)	Percent of Quota
		ECF	ECF
Board approval	Executive Board approval of three-year arrangement under the ECF.	64.80	40
April 15, 2022	Observance of performance criteria for February 28, 2022, continuous performance criteria and completion of first review.	64.80	40
October 15, 2022	Observance of performance criteria for June 30, 2022, continuous performance criteria and completion of second review.	64.80	40
April 15, 2023	Observance of performance criteria for December 31, 2022, continuous performance criteria and completion of third review.	32.40	20
October 15, 2023	Observance of performance criteria for June 30, 2023, continuous performance criteria and completion of fourth review.	32.40	20
April 15, 2024	Observance of performance criteria for December 31, 2023, continuous performance criteria and completion of fifth review.	32.40	20
October 15, 2024	Observance of performance criteria for June 30, 2024, continuous performance criteria and completion of sixth review.	32.40	20
		Total	200
<i>Memorandum item:</i>			
Republic of Congo's quota		162.0	

Source: IMF Staff estimates.

Table 12. Republic of Congo: Proposed Quantitative Performance Criteria and Indicative Targets (IT), 2022

(Billions of CFA francs; cumulative from the beginning of the year, except where otherwise indicated)¹

	Type of criteria	End-Feb 2022	End-Mar 2022	End-Jun 2022	End-Sept 2022
		PC Program	IT Program	PC Program	IT Program
Floor on basic non-oil primary budget balance ²	PC	-128	-159	-309	-451
Ceiling on net domestic financing of the central government	PC	168	210	289	449
Ceiling on accumulation of new arrears on external debt contracted or guaranteed by the central government ³	PC	0	0	0	0
Ceiling on contracting or guaranteeing of new non-concessional external debt by the central government (US\$ million) ^{3,4,5,7}	PC	0	0	0	0
Ceiling on new external debt contracted by or on behalf of the central government and guaranteed with future natural resource (including oil) deliveries ^{5,6}	PC	0	0	0	0
Floor on non-oil revenues	IT	96	120	289	480
Floor for social and poverty-reducing spending	IT	61	76	152	228
Ceiling on disbursements of external loans for investment projects	IT	17	21	56	110
Ceiling on new concessional external debt contracted or guaranteed by the central government (US\$ million) ^{4,7}	IT	15	19	37	56
Floor on repayment of domestic arrears accumulated by the central government	IT	16	20	30	80
Memo items:					
Oil revenue ⁸		161	201	439	699
Expected external budgetary assistance, net ⁹		9	9	19	28
- BoP assistance (IMF-ECF)		51	51	102	102
- Budgetary loans and grants (excl. IMF)		9	9	19	28
- Change in non-program external arrears		0	0	0	0
Payments for current external debt service due after debt relief		127	159	318	476

¹ Quantitative Performance Criteria and Indicative Targets are defined in the TMU. During the first review of the ECF arrangement, Quantitative Performance Criteria are being set for end-February 2022 and end-June 2022; end-March 2022 and end-September 2022 figures are Indicative Targets. Date specific performance criteria are still considered continuous.

² Defined as non-oil domestic revenue minus total expenditures excluding interest payments, transfers paid with crude oil, and foreign-financed investment.

³ These ceilings are set to zero and to be respected continuously from the date of program approval.

⁴ Excluding all sources of budgetary support identified in the program.

⁵ Excluding all types of financing mentioned in paragraph 10 of the TMU.

⁶ Subject to the exception allowed in paragraph 11 of the TMU.

⁷ Cumulative from the date of program approval and is on a contractual basis in accordance with the IMF's debt limits policy:

<https://www.imf.org/-/media/Files/Publications/PP/2021/English/PPEA2021037.ashx>.

⁸ Excluding oil barter transactions for the payment of transfers.

⁹ As defined in paragraphs 18 and 22 of the TMU.

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Table 13. Republic of Congo: Proposed Structural Benchmarks

Measures	Target date	Status	Macroeconomic Rationale
Prepare a new medium-term strategy for PFM reforms, with a three-year action plan, updated every 18 months.	End-March 2022		Improve the efficiency and transparency in the use of public resources.
Parliamentary approval of the new anti-corruption law and publication of the accompanying decree clarifying conflict of interest rules and procedures.	End-March 2022		Reduce corruption, improve governance, and protect public resources.
Publish on the government website the audit (by a reputable international audit firm) of COVID-19-related spending during 2020.	End-June 2022		Improve transparency and governance and protect public resources.
Publish on the government website oil reconciliation reports prepared by a reputable international audit firm and a table with all mining, forestry, and oil concessions holders.	End-June 2022		Improve transparency and protect public resources.
Prepare a template for consolidated and sectoral public procurement plans that is comprehensive and reflects international best practices.	End-June 2022		Improve public investment management, budget credibility and transparency, and cash management.
Prepare a comprehensive medium-term debt management strategy.	End-July 2022		Manage debt-related risks and support fiscal sustainability.
Fully operationalize the remaining modules (accounting, cash management, fiscal reporting, treasury, procurement) of the new Expenditure Tracking Software (SIGFIP).	End-December 2022		Improve transparency and governance and protect public resources.
Prepare an inventory of all tax arrears to identify them with precision and establish the probability of recovery.	End-December 2022		Improve tax administration and support domestic revenue mobilization efforts.
Operationalize the procurement planning template by mapping it to the 2023 budget.	End-December 2022		Improve management of public spending (including public investment), budget credibility and transparency, and cash management.

Table 14. Republic of Congo: Prior Actions

Measures	Status	Macroeconomic Rationale
Submit the new anti-corruption law to Parliament.	Completed	Reduce corruption, improve governance, and protect public resources.
Agree on terms of reference for the audit (by a reputable international audit firm) of COVID-19-related spending during 2020-21 and publish the call for tenders.	Completed	Improve transparency and governance and protect public resources.
Publish on the government website the 2019 report of performance under the Extractive Industries Transparency Initiative (EITI).	Completed	Improve transparency and governance.

Annex I. Drivers of Congo's Fragility

A fragile state (FS) can be defined in many ways. These countries are often characterized by (i) significant institutional and policy implementation weaknesses; (ii) a fractious political context; (iii) severe domestic resource constraints; and (iv) vulnerability to shocks (IMF 2012). Against this backdrop, the IMF has in recent years defined FS as countries having either weak institutional capacity as measured by the World Bank's Country Policy and Institutional Assessment (CPIA) score—with an average of 3.2 or lower—and/or having recently experienced conflict (signaled by presence of a peace-keeping or peace-building operation in the most recent three-year period)¹(IMF, 2015).

The Republic of Congo is considered a FS due to challenges in economic and public sector management, structural policies, and social inclusion and equity. Its average CPIA score has been around 2.7 since 2017, well-below the 3.2 threshold,² reflecting:

- *Highly vulnerable economic structure and poor social indicators.* The Congolese economy is extremely dependent on oil, and thus highly vulnerable to global oil price fluctuations. Poverty is pervasive, with 67 percent living below the poverty line, one of the highest unemployment rates in SSA, 60 percent of the population lacking access to electricity, and limited social safety nets (IMF Country Report 21/225 Annex V).
- *Sensitivity to climate shocks.* Heavy reliance on rain-fed agriculture increases Congo's humanitarian, social, and macroeconomic vulnerabilities to rising temperatures and extreme weather shocks. Recent years' intensified flooding coupled with new refugees from the Central African Republic are plunging greater proportions of the population into food insecurity and poverty.
- *Weak governance.* Governance indicators exhibit significant weaknesses—particularly with regard to the management of revenue and expenditure and the transparency and accountability in these core functions—and persistent corruption vulnerabilities.
- *Political and security risks.* Congo has been relatively conflict-free in recent years. There is currently no UN peacekeeping operation in the country. The 2017 ceasefire agreement between the government and the former civil war "Ninja" militia remains intact. Meanwhile, the 2021 presidential elections were completed peacefully. However, the lack of social inclusion and equity could generate bouts of instability. The likelihood of security risks spillover from Congo's neighbors (Central African Republic, Democratic Republic of Congo) are also rising.

¹ This approach is similar to that used by the World Bank, differing only in using a three-year average of the CPIA instead of the most recent outturn.

² The assessment indicates that the four sub-components, economic management, structural policies, policies for social inclusion and equity and public sector management, hover around 2.7–2.8.

Annex II. Risk Assessment Matrix¹

Risks	Likelihood	Impact if Realized	Policy Response
Global risks			
Uncontrolled Covid-19 local outbreaks and subpar/volatile growth in affected countries. Outbreaks in slow-to-vaccinate countries force new lockdowns. For many Emerging Markets and Low-Income Countries, policy response to cushion the economic impact is constrained by lack of policy space, with some market access countries facing additional financial tightening as a reassessment of growth prospects triggers capital outflows, depreciations, and debt defaults.	High	High A prolonged outbreak would have a particularly large adverse impact in Congo. The limitations to the health system could result in a large loss of life due to the pandemic. The economy would be hit hard by increased disruptions in both the oil and non-oil sectors.	Improve public health measures, (including vaccine dissemination, testing capacity), follow WHO guidelines, and strengthen regional cross-border pandemic response. Strengthen government fiscal social and health response to the pandemic. Prioritize infrastructure projects with large fiscal multipliers and value-for-money.
Volatile commodity prices. Commodity prices increase by more than expected against a weaker U.S. dollar, post-pandemic pent-up demand and supply disruptions, and for some materials, accelerated plans for renewable energy adoption. Uncertainty surrounding each of these factors leads to bouts of	Medium	High Given Congo's dependency on oil revenue and export proceeds, higher than expected commodity prices are an upside risk that could support the fiscal strategy and the external sector, and efforts to diversify the economy. Oil supply disruptions in Congo are a downside risk to watch though as they would	Take the opportunity of higher oil prices: (i) to spare financial resources and implement structural measures to diversify the economy, enhance competitiveness, and deepen regional integration; (ii) and implement the reform agenda to reduce vulnerabilities in Congo and increase the capacity of the

¹ The Risk Assessment Matrix (RAM) shows events that could materially alter the baseline path (the scenario most likely to materialize in the view of IMF staff). The relative likelihood is the staff's subjective assessment of the risks surrounding the baseline ("low" is meant to indicate a probability below 10 percent, "medium" a probability between 10 and 30 percent, and "high" a probability between 30 and 50 percent). The RAM reflects staff views on the source of risks and overall level of concern as of the time of discussions with the authorities. Non-mutually exclusive risks may interact and materialize jointly. The conjunctural shocks and scenario highlight risks that may materialize over a shorter horizon (between 12 to 18 months) given current baseline. Structural risks are those that are likely to remain salient over a longer horizon

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Risks	Likelihood	Impact if Realized	Policy Response
volatility, especially in oil prices. Commodity prices decline with (i) the emergence of new COVID-19 variants; and (ii) rising inflation in advanced countries triggering tighter monetary policy.		negatively affect macroeconomic outcomes. Conversely, lower oil prices and oil revenues would increase fiscal and external vulnerabilities and spillover to non-oil economic activity.	economy to attract investment. Accelerate mobilization of non-oil revenues and further streamline non-priority spending.
Intensified geopolitical tensions and security risks. Geopolitical tensions in selected countries/regions cause economic/political disruption, disorderly migration, higher volatility in commodity prices (if supply is disrupted), and lower confidence, with spillovers to other countries.	High	Medium Restrictions on the movement of food and basic goods across countries may cause shortages and price increases in Congo. Limited financing inflows may delay investment projects.	Step up efforts to improve the quality of public spending and priorities, as well improve investment planning and resource management. Stocks/inventories management and improve distribution mechanism.
Country-specific risks			
Widespread social discontent and political instability. Social tensions erupt as the pandemic and inadequate policy response cause economic hardship (including unemployment, higher incidence of poverty, and shortages and higher prices of essentials) and exacerbate preexisting socioeconomic inequities. Growing political polarization and instability weaken policymaking and confidence.	Medium/ High	Medium/ High Protracted fiscal adjustments. Political uncertainty affects market confidence, private investment, and financing flows, delays economic and policy reforms, and weakens institutions.	Enhance targeted social policies and strengthen social safety nets. Maintain fiscal discipline. Improve governance, transparency and accountability and reduce corruption. Involve CSOs and other stakeholders in policy decisions.
Weak fiscal management. Fiscal policy without effective control of non-priority spending and lack of revenue mobilization and	Medium	Medium Insufficient prioritization of government spending, inconsistent arrears repayment, and an increase in public debt	Improve coordination between government ministries to ensure that spending is properly prioritized.

Risks	Likelihood	Impact if Realized	Policy Response
other fiscal reforms. Fiscal shocks from SOEs.		resulting in risks to macroeconomic stability and risks of higher social and political instability and crowding out private credit. Pressure on foreign reserves.	Implement TA recommendations on PFM, strengthening cash management and budget execution. Identify additional fiscal measures to create fiscal space for crisis support. Implement SOE and governance reforms.
Higher frequency and severity of natural disasters related to climate change. They cause severe damage to the economy disrupting infrastructure, livelihoods and food production. A sequence of severe events in large economies reduces global GDP and prompts a recalculation of risk and growth prospects. Disasters hitting key infrastructure or disrupting trade raise commodity price levels and volatility.	Medium	Medium/ High Lower domestic production in the agricultural sector, and implications to food security and incomes.	Strengthen food security and rural development programs Promote investment in climate resilient infrastructure and address infrastructure gaps and income disparities among regions, while establishing appropriate social safety nets.
Slow vaccine rollout. This could increase spread of new variants.	Medium/ High	Medium/ High Increased loss of lives and greater burden on the healthcare system. Loss of confidence, investment, and worker productivity would weigh on economic growth.	Create fiscal space for increasing vaccine supply and outreach to reduce vaccine hesitancy. Improve capacity of the healthcare system.

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Arrangement Under the Extended Credit Facility

Attached hereto is a letter dated January 10, 2022 (the "Letter"), with its attached Memorandum of Economic and Financial Policies (the "MEFP") and Technical Memorandum of Understanding (the "TMU"), from the Prime Minister, Head of the Government of the Republic of Congo, and Minister of Finance and Budget of the Republic of Congo requesting from the International Monetary Fund, as Trustee of the Poverty Reduction and Growth Trust (the "Trustee"), a three-year arrangement under the Extended Credit Facility ("ECF"), and setting forth:

- (a) the objectives and policies of the program that the authorities of the Republic of Congo intend to pursue during the three-year period of the arrangement;
 - (b) the objectives, policies and measures that the authorities of the Republic of Congo intend to pursue during the first year of the arrangement; and
 - (c) understandings of the Republic of Congo with the Trustee regarding reviews that will be made of progress in realizing the objectives of the program and of the policies and measures that the authorities of the Republic of Congo will pursue during the second and third years of the arrangement.
1. To support these objectives and policies, the Trustee grants the requested three-year arrangement in accordance with the following provisions, and subject to the provisions applying to assistance under the Poverty Reduction and Growth Trust (the "PRG Trust") including in particular Section II, paragraph 1(b)(4) of the PRG Trust instrument annexed to Decision No. 8759-(87/176) ESAF, as amended.
- (a) For a period of three years from the date of approval of this arrangement, the Republic of Congo will have the right to obtain disbursements from the Trustee in a total amount equivalent to SDR 324.00 million, subject to the availability of resources in the PRG Trust.
 - (b) Disbursements under this arrangement shall not exceed the equivalent of SDR 194.40 million in the first twelve months, and the equivalent of SDR 259.20 million in the first twenty-four months.
2. During the period of the arrangement:
- (a) the first disbursement, in an amount equivalent to SDR 64.80 million, will be available upon approval of the arrangement, at the request of the Republic of Congo;
 - (b) the second disbursement, in an amount equivalent to SDR 64.80 million, will be available on or after April 15, 2022 at the request of the Republic of Congo and subject to paragraphs 4 and 5 below;

- (c) the third disbursement, in an amount equivalent to SDR 64.80 million, will be available on or after October 15, 2022, at the request of the Republic of Congo and subject to paragraphs 4 and 5 below;
- 3. The right of the Republic of Congo to request further disbursements during the second and third years of this arrangement shall be subject to such phasing and conditions as shall be determined in the context of reviews under the Republic of Congo's ECF arrangement.
- 4. The Republic of Congo will not request the second and third disbursements under this arrangement specified in paragraphs 2(b) and 2(c) above respectively:
 - (a) if the Managing Director of the Trustee finds that, with respect to the second disbursement, the data as of February 28, 2022, and with respect to the third disbursement, the data as of June 30, 2022 indicate that:
 - (i) the floor on the basic non-oil primary balance; or
 - (ii) the ceiling on net domestic financing to the central government;as set out in Table 1 of the MEFP and further specified in the TMU was not observed;
or
 - (b) until the Trustee has determined that, with respect to the second disbursement, the first program review, and with respect to the third disbursement, the second program review, both referred to in paragraph 34 of the MEFP, has been completed.
- 5. The Republic of Congo will not request any disbursement under this arrangement if at any time during the period of the arrangement:
 - (a) the ceiling on the accumulation of new arrears on external debt contracted or guaranteed by the central government;
 - (b) the ceiling on the nominal value of new non-concessional external debt contracted or guaranteed by the central government; or
 - (c) the ceiling on the nominal value of new external debt contracted by or on behalf of the central government and guaranteed with future natural resource (including oil) deliveries,

as set out in Table 1 of the MEFP and further specified in the TMU, is not observed;
or
 - (d) the Republic of Congo:
 - (i) imposes or intensifies restrictions on the making of payments and transfers for current international transactions, or

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- (ii) introduces or modifies multiple currency practices, or
 - (iii) concludes bilateral payments agreements that are inconsistent with Article VIII, or
 - (iv) imposes or intensifies import restrictions for balance of payments reasons; or
 - (e) until the Trustee has determined that with regard to each disbursement, for so long as the Republic of Congo has outstanding sovereign external payments arrears to private creditors, a financing assurances review has been completed.
6. When the Republic of Congo is prevented from requesting disbursements under this arrangement because of paragraphs 4 and 5 above, such disbursements may be made available only after consultation has taken place between the Trustee and the Republic of Congo and understandings have been reached regarding the circumstances in which the Republic of Congo may request the disbursements.
7. In accordance with Paragraph 10 of the Letter, the Republic of Congo will provide the Trustee with such information as the Trustee requests in connection with the progress of the Republic of Congo in implementing the policies and reaching the objectives of the program supported by this arrangement.
8. During the period of this arrangement, the Republic of Congo shall remain in close consultation with the Trustee. In accordance with Paragraph 9 of the Letter, the Republic of Congo shall consult with the Trustee on the adoption of any measures that may be appropriate at the initiative of the government or whenever the Managing Director of the Trustee requests such a consultation. Moreover, after the period of this arrangement and while the Republic of Congo has outstanding financial obligations to the Trustee arising from loan disbursements under this arrangement, the Republic of Congo will consult with the Trustee from time to time, at the initiative of the government or whenever the Managing Director of the Trustee requests consultation on the Republic of Congo's economic and financial policies. These consultations may include correspondence and visits of officials of the Trustee to the Republic of Congo or of representatives of the Republic of Congo to the Trustee.

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Appendix I. Letter of Intent

January 10, 2022

Ms. Kristalina Georgieva
Managing Director
International Monetary Fund
700 19th Street, N.W.
Washington, D.C. 20431
United States of America

Madame Managing Director:

1. The Republic of Congo (RoC) continues to face significant economic and health-related challenges. Our country is being hard hit by the global pandemic, especially the latest wave of the pandemic, at a time when our fiscal position is weak and debt levels are elevated. Volatile oil revenues and weak oil production in 2021 added to these pressures, while the economy is still recovering from the adverse impact of low oil prices in 2020. Nevertheless, the economy is showing signs of recovery owing to the lifting of lockdowns, the vaccine rollout, increased social assistance and domestic arrears repayments. This trend could be reinforced by an improved outlook for oil prices and production in 2022. However, this recovery remains fragile as the outlook is surrounded by significant uncertainty and poverty has been exacerbated by the pandemic and its broader economic impact.
2. We have made progress in recent years towards improving macroeconomic stability—including the recently restored debt sustainability—largely owing to our efforts to restructure external commercial debt, implement fiscal consolidation, and repay external and domestic arrears while benefitting from higher oil prices. Nevertheless, substantial challenges lie ahead with an uncertain economic outlook, the pressing need to create jobs for a fast-growing population through economic diversification away from oil, and building resilience to climate change.
3. Our new National Development Plan (NDP) 2022–26 outlines our strategy to tackle these challenges and achieve higher, more resilient, and inclusive growth. To ensure successful implementation of our NDP 2022–26 and its underlying structural reforms, support from our development partners is critically needed.

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4. Against this backdrop, we are requesting a new arrangement under the Extended Credit Facility (ECF) for a period of three years and in an amount equivalent to SDR 324 million (or 200 percent of our quota) with the first disbursement equivalent to SDR 64.8 million (or 40 percent of quota). This financial support would help us address our immediate and protracted balance of payments needs (totaling \$1.1 billion) and support our reform agenda which will contribute towards gradually reducing external financing needs.
5. Specifically, this new arrangement will aim to provide a solid macroeconomic framework for the economic policies and reforms that we plan to carry out over the next three years, catalyze financing from other development partners, strengthen public institutions and good governance, fight corruption, and increase resources allocated to protecting the most vulnerable. The IMF's financing and capacity development will help strengthen the government's financial credibility and support sustained improvements in our external position and public finances. Combined with our efforts to strengthen governance, transparency, and anti-corruption, this support will lead to sustainable poverty reduction and more durable and resilient economic growth. The arrangement will be supported by regional CEMAC efforts to maintain an appropriate monetary policy stance and promote financial sector stability. This new program will strengthen our external sustainability and thus contribute to the CEMAC's regional stability efforts by accumulating one fifth of the region's projected NFA during 2022–24.
6. The attached Memorandum of Economic and Financial Policies (MEFP) sets out the economic and financial policies that the government intends to implement during 2022–24. It also establishes quantitative performance criteria and indicative targets as well as structural benchmarks and reforms until the end of 2022. The disbursements under the new arrangement will be subject to compliance with the performance criteria, structural benchmarks, and prior actions shown in tables 1, 2, and 3 of the attached MEFP.
7. We commit to ensuring the appropriate use, monitoring, and reporting of COVID-19 related expenditures and the recent increase of our SDR allocation which will be used for social and priority spending in accordance with the framework adopted at CEMAC sub-regional level (especially in education and health). We benefitted from the G20 Debt Service Suspension Initiative (DSSI) to address our immediate liquidity needs and will continue to provide information requested by the G20 such as on monitoring the use of resources freed by the DSSI to address the pandemic.
8. We are also committed to closely coordinate economic policies with the other CEMAC countries as part of a regional reform program. These reforms aim to create employment opportunities and improve the living standards of our fast-growing population, including through (i) deep structural reforms to radically transform and diversify the region, (ii) continued support for regional institutions and reduced dependence of CEMAC countries on natural resources, (iii) improved transparency of public finances and in the oil and gas sector, (iv) strengthened revenue mobilization, (v) support for solid governance and (vi) implementation of business-friendly reforms.

9. We believe that the economic and financial policies set out in the MEFP will enable us to achieve the objectives that we have established as part of this program, However, we stand ready to take any further measures that may prove necessary to meet these objectives. The government will consult with the IMF while adopting these measures and before revising any policies contained in the MEFP, in accordance with the policies on such consultations.
10. The government commits to providing the IMF with information on the implementation of the agreed measures and the execution of the program, as provided for in the attached Technical Memorandum of Understanding (TMU). In addition, the government authorizes the IMF to publish this letter and its attachments, as well as the staff report and debt sustainability analysis, after the program has been approved by the IMF Executive Board.

/s/

Anathole Collinet Makosso
Prime Minister, Head of the Government
Brazzaville, Republic of Congo

/s/

Rigobert Roger Andely
Minister of Finance and Budget
Brazzaville, Republic of Congo

Attachments:

- Memorandum of Economic and Financial Policies (MEFP)
- Technical Memorandum of Understanding (TMU)

Attachment I. Memorandum of Economic and Financial Policies, 2022–24

This memorandum describes recent economic developments, the outlook for 2022 and the medium term, and program objectives and the policies and measures to achieve them.

I. BACKGROUND, RECENT ECONOMIC DEVELOPMENTS, AND OUTLOOK

1. The COVID-19 pandemic and ensuing oil price shocks have taken a deep toll on the Republic of Congo's economy. The pandemic's humanitarian and economic weight (including lockdowns, hampering of trade and services, reduced oil field investments) combined with a 40 percent decline in international oil prices in 2020 have worsened the on-going economic recession since 2015—with real GDP growth having contracted 8.1 percent in 2020.

2. Despite some improvement, economic conditions remained difficult in 2021.

- Real GDP is expected to have contracted by 0.2 percent in 2021. Positive non-oil economic growth (projected at 0.9 percent) was supported by the easing of lockdowns, gradual vaccine rollout, the lagged effects of pandemic-mitigating economic measures, substantial domestic arrears payments, agricultural and mining expansion, large companies substituting locally-sourced input in place of imported inputs, and improved services activity. However, new waves of the pandemic created some headwinds and oil production is anticipated to have contracted by 2.9 percent in 2021 largely due to insufficient investment in oil fields during 2020 preventing production from restarting in 2021. Notably, the government is also in the process of negotiating a new regime of tax concessions with oil producers.
- Inflation remains subdued, expected to average 2.1 percent in 2021. Credit growth is expected to have remained low at 0.6 percent in 2021—reflecting both low credit demand in these uncertain times and increased liquidity of households and companies from domestic arrears payments and regular payment of public salaries. Non-performing loans are declining (17 percent at end-June 2021), helping to reduce banking system vulnerabilities.
- The current account surplus is projected at 13.4 percent of GDP for 2021, owing to high oil prices that boosted exports (despite the decline in production). Imports also rose in 2021 due to higher import prices but the volume of imports was lower than in 2020 as pandemic-related import contraction continued.

3. The fiscal position improved in 2021 owing to higher oil revenues and greater control of public spending under the revised budget adopted in August 2021. The primary balance is expected to have increased from 0.2 percent of non-oil GDP in 2020 to 5.7 percent of non-oil GDP in

2021 (or from 0.1 percent of GDP in 2020 to 3.6 percent of GDP in 2021). Improved oil and non-oil revenues supported increased spending on social assistance, healthcare, education, and infrastructure, and continued significant domestic arrears payments. Reforms in transfers and subsidies to inefficient state-owned enterprises (SOEs) also continued to be implemented. The payroll increased slightly, as the hiring of 2,239 new teachers (initiated in 2020) continued in 2021.

4. Debt sustainability has been restored.

- Our strategy, which consists of restoring debt sustainability through external debt restructuring and repayment of domestic arrears, is already yielding tangible results. Since its initiation in 2019, the strategy has resulted in (i) restructuring of debt contracts with China (in 2019) and two large private external commercial creditors (in 2020 and 2021); and (ii) clearance of more than \$3 billion (20 percent of GDP) in external arrears.
- Near term liquidity needs are also being supported by the G20 Debt Service Suspension Initiative (DSSI), where we have received relief of \$386 million from Belgium, Brazil, China, France, India, Kuwait, Saudi Arabia, and Turkey during 2020–21. The government remains committed to devoting the resources freed up by this initiative to increasing spending to mitigate the health, economic and social impact of the COVID-19 crisis.
- The government is still in the process of concluding a restructuring agreement with the remaining large private external commercial creditor, where the creditor's underlying lenders have not yet approved the agreement in principle (AIP) negotiated in early 2021 (technically the AIP has now lapsed). Until this agreement is concluded and pending arrears are cleared, we acknowledge that our debt is classified as "in distress".
- Continued steady repayment of domestic arrears is anticipated to result in their full repayment by 2031.

5. Economic recovery is expected to gain traction in the coming months. Projected GDP growth of 2.4 percent in 2022 is supported by a stepped up vaccine rollout, increased social spending, continued domestic arrears repayments and expansion of agriculture, mining, and services. Headwinds from new waves of the pandemic are expected to subside by 2022H2. Oil production is also anticipated to rise with the resumption of investment in the oil sector. Moreover, negotiations over tax concessions with oil producers are also expected to conclude in 2022, thus removing an element of uncertainty in producers' investment decisions.

6. Over the medium term, growth is projected to average 3.2 percent. The momentum in non-oil economic growth will continue growing, as the government pursues reforms to diversify the economy away from oil dependence and strengthen the economy's resilience to climate shocks. In this context, the government plans to increase spending on education, healthcare, and resilient infrastructure; and step up complementary structural reforms spanning a wide range of areas such as governance, financial sector, business environment, and digitalization of services. Oil production is expected to peak at 125 million barrels in 2024, given new investments will be modest against the

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backdrop of reduced long-term global oil demand. In the run up to 2024, the current account balance is expected to deteriorate in line with increased oil- and non-oil investments, though the effect will be partly offset by improved non-oil exports (associated with economic diversification). Subdued inflation is projected to continue, rising from 2.7 percent in 2022 to 3 percent by 2026.

7. Risks are tilted to the downside. A possible spread of new variants to Congo, slow vaccine rollout, or poor vaccine resistance to variants could set back economic recovery—especially if another round of strict lockdowns is required. Rebound of the non-oil economy also depends on successful implementation of reforms and the pace of domestic arrears payments. Adverse weather conditions, intensified by climate change, could weigh on agricultural production resulting in food insecurity and inflationary pressures. Oil revenue prospects will depend on oil prices and production risks. On the upside, accelerated structural reform implementation could boost investor and development partner confidence—potentially unlocking external financing—and higher metal prices could increase mining investments.

II. ECONOMIC AND FINANCIAL PROGRAM FOR 2022–24

8. The government is committed to implementing a strong and ambitious economic program that will facilitate Congo's exit from fragility. The past seven consecutive years of recession have weighed heavily on incomes and inequality and further challenges lie ahead as we are faced with more frequent and intense climate change shocks and reduced long-term global oil demand stemming from the global transition to low-carbon economies. Tackling these challenges and exiting fragility will require a fundamental economic transformation, centered around economic diversification and resilience to climate change, that results in more jobs and higher, more resilient, and inclusive growth.

9. To this end, Congo's ECF program is built on: (i) reinforcing the economy's resilience to adverse shocks through increased infrastructure and social spending, in line with the National Development Plan 2022–26, while undertaking fiscal consolidation through revenue mobilization and spending reprioritization; (ii) resolution of external arrears; (iii) strengthened public investment and debt management, which combined with fiscal consolidation and arrears payments, will reduce debt vulnerabilities; and (iv) effective implementation of governance, transparency, and supply-side structural reforms promoting green non-oil economic growth. The program is supported by the regional monetary policy and by our technical and financial partners.

A. Fiscal Policy

10. Fiscal policy will carefully balance safeguarding debt sustainability while increasing spending that is critical to reducing inequality and boosting economic diversification and resilience.

- The medium-term fiscal stance will be anchored on gradual consolidation of the non-oil primary balance by 4 percent of non-oil GDP (or 1 percent of GDP) during 2021–26. Oil

revenues are anticipated to result in positive overall primary balance surpluses that will enable repayment of both external debt and domestic arrears. Overall public debt-to-GDP is expected to decline from 110 percent in 2020 to 94 percent in 2021 and to 72 percent by 2026.

- Risks, including from negative oil price shocks, are largely mitigated by the restructured payments to the largest external commercial creditor being tied to oil prices (supporting the robustness of debt sustainability); and the availability of financing from the Congolese and CEMAC regional financial markets.
- Recently, we concluded an agreement on arrears payments to Switzerland. Agreements have been reached, with signatures expected shortly, on arrears payments to Belgium (not covered under the DSSI amounts above), India (for arrears not covered by the DSSI), Libya, and Russia. The government is committed to the non-accumulation of any new domestic or external arrears. To this end, we will (i) set up a dedicated sub-account within the single treasury account at BEAC and discuss with development partners (AfDB, France, and World Bank) ways to ensure their disbursements are timely; and (ii) ensure that spending is undertaken in accordance with the rules governing sound public financial management, with a view to stopping the practice of procuring outside the budget (¶16).
- The government will continue efforts to bring to finality and reach settlements in respect of disputed external debts with the aim of eliminating all uncertainties concerning the level of our public debt.

11. Our draft 2022 budget, approved by Parliament in mid-December 2021, envisages fiscal consolidation while increasing social and capital spending. The non-oil primary balance target is -15.7 percent of non-oil GDP, which translates into a primary balance target of 4.8 percent of GDP. The 2021 IMF SDR allocation will help finance the budget, which rests on the principle of mobilizing revenues and rationalizing non-priority spending by:

- Continuing to firmly apply tax policies and revenue administration reforms adopted over the past two years. These include more efficient tax collection owing to e-tax and other customs and revenue administration measures; increase excise taxes on tobacco (16.5 to 30 percent; was recently increased from 12.5 to 16.5 percent) and alcoholic beverages (12.5 to 25 percent; was recent increased from 10 to 12.5 percent), vehicles (12.5 percent) and luxury items (25 percent)—all in line with CEMAC guidelines; the implementation of a one-stop-shop for customs clearance of goods at the port of Pointe-Noire; continuing to phase out CIT exemptions for violating investment conventions; continuing to apply the 2 percent export tax on certain non-petroleum exports (e.g., diamonds, other precious metals (up to 4 percent) and logs (up to 9-10 percent)).
- Increasing tax arrears collection to at least CFAF 5 billion in 2022. This would be implemented through a “tax amnesty” program that forgives part of a taxpayer’s existing tax arrears in exchange for payment of the rest during 2022–24.

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- Gradually phasing out pandemic-related deferral of tax and duty payments (yielding CFAF 2 billion in 2022); and the tax base for land tax will be expanded through the use a more comprehensive land survey (yielding CFAF 2 billion in 2022).
- Reducing customs exemptions rates for certain beneficiaries and eliminating exemptions for others CFAF 4 billion.
- The government will continue to actively pursue negotiations with oil producers on new conventions for tax concessions and expect to finalize them in 2022Q2. We are seeking to maintain import duties at 8.65 percent on certain imports associated with the petroleum sector and to introduce the single payroll tax at 2.5 percent for the petroleum sector. In addition, we will increase electronic transfer taxes and turnover taxes.
- The positive effects of the above on non-oil revenues will more than offset the likely reduction in non-oil revenues from retaining the reduction in the turnover tax (reduced in 2021 from 7 to 5 percent for turnover under CFAF 100 million) and cut in the corporate tax rate from 30 to 28 percent in 2021.
- Improving collection of non-tax revenues by reallocating existing staff to allow for more collection agents in the Ministries (CFAF 2 billion).
- Continuing to implement reforms adopted in 2019 that reduce transfers and subsidies to inefficient SOEs, especially CORAF and CEC.
- Containing the wage bill by ceasing automatic replacement of retired staff (except those in the health, education and social affairs ministries) and controlling public sector hiring.
- Moreover, to promote transparency, we commit to monitor and report on the usage of the 2021 SDR allocation.

12. The government is committed to increasing spending on health, education, social assistance, and resilient infrastructure. The 2022 budget will continue to emphasize improving the quality and coverage of this spending while encouraging innovation.

- In terms of health, we will prioritize (i) direct pandemic-related health spending, including treatment (creating new facilities and purchasing more equipment such as ventilators) and vaccination—where we plan to vaccinate 3,600,000 people during 2022; (ii) completing the construction of new hospitals; (iii) acquiring drugs against AIDS; (iv) distributing treatments preventing tuberculosis and malaria; and (v) providing prenatal, maternal and childcare. Total health spending is expected at around 4 percent of non-oil GDP in 2022 (a slight improvement compared to 2021).
- In education, we will continue focusing on all levels of schooling but we will provide free school supplies, textbooks, and school meals only for primary school. We will also rebuild

schools heavily damaged by extreme storms in 2021. Education spending is expected to remain around 1 percent of non-oil GDP in 2022 (a slight improvement compared to 2021).

- In terms of social protection, we will disburse CFAF 183 billion (4.2 percent of non-oil GDP), including the emergency cash transfer program linked to the pandemic, where the program's coverage will be increased from 230,000 beneficiaries to 330,000 by the end of 2022; and we will continue to expand the Single Social Register (SSR), which has already reached 800,000 beneficiaries. The anchoring of social programs and other social assistance structures to SSR has become mandatory in order to improve targeting and the impact of these programs. The piloting of mobile payments has so far been successful and we plan to expand the pilot. We will also prioritize early repayment of social sector arrears (in particular pensions).
- Capital spending is expected to increase to 7.3 percent of non-oil GDP in 2022 and to 7.6 percent of non-oil GDP in 2023, partly financed by development partners. Priority development projects will be aligned with the new National Development Plan 2022–26. The sectors of agriculture (including agroforestry), roads, electricity, health care, education, and urban water, sanitation, and transport will be prioritized. In addition, efforts to build a solid foundation for the structural transformation of our economy will lead to the pursuit of programs to promote tourism, industry, the digital economy and special economic zones.

13. The government will continue to steadily repay domestic arrears, aiming to complete all repayments by end-2031. Over the past decade, the government accumulated 23 percent of GDP in domestic arrears to the private sector (mainly suppliers). On-going audits (by an international firm) of the government's domestic debt associated with Treasury obligations for 2019–20 will add to this stock. The government will publish (on the government website) the audit report for 2017–18 by end-March 2022; and the audit report for 2019–20 by end-2022. So far, 6 percent of GDP in past domestic arrears have been repaid through the Club de Brazzaville, where the private sector received a nominal haircut of 15–30 percent and there was no haircut on social arrears. In 2022, we will no longer use the Club de Brazzaville. The government will settle at least CFAF 200 billion for domestic arrears—paying CFAF 60 billion in social arrears, CFAF 1 billion to resolve any remaining arrears to small suppliers, and the rest to pay a part of other commercial arrears. These domestic arrears payments will depend on the availability of finances, where the bulk of these arrears are planned to be paid in 2022H2. From 2023, for non-social sector arrears, a new repayment scheme will be introduced, which could offer a menu of repayment options ranging from a 60–70 percent haircut and immediate cash payment to a 25–35 percent haircut with payment in 2–4 years. This new repayment scheme is still being developed and will depend on availability of financing.

14. Over the medium-term, we plan to continue pursuing the fiscal strategy outlined above (¶11–14). Specifically, we will aim to reduce the non-oil primary fiscal deficit from 17 to 13 percent of non-oil GDP during 2021–26. In support of this objective while also increasing social and capital spending, during 2022–24, we will undertake the following measures to enhance revenues and reduce non-priority spending (in addition to continuing the measures applied in the 2022 budget):

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- We will actively continue to pursue collection of tax arrears. To this end, we are committed to undertaking an inventory of all tax arrears in order to identify with precision the probable amounts of recovery by end-2022 (structural benchmark). For the future, we are committed to putting in place effective procedures for monitoring tax arrears and for their systematic collection. By capitalizing on the benefits of digitalization on revenue administration, we expect to reduce delays in tax payments.
- Broaden the tax base by applying the enterprise census (expected to be concluded in 2022).
- Remove VAT exemptions worth at least 1 percent of non-oil GDP and streamline other tax expenditures worth at least 3 percent of non-oil GDP. As an initial step, we will develop a medium-term strategy and action plan that covers their analysis, publication, and budget implications (end-June 2022). We will also undertake an analysis of CIT exemptions under the investment conventions by end-December 2022, with a view to phasing them out beginning in 2023.
- Ensure full functioning of the new department in charge of collecting service and portfolio revenue by the end of June 2023, at the latest. With assistance from the World Bank, implement customs reform resulting in a one-stop customs window at Pointe Noire by June 2023.
- Transfers and subsidies to SOEs will continue to be reduced and we will continue to augment the transparency of SOE operations.
- To better understand medium-term fiscal risks, identify vulnerabilities, and facilitate monitoring, an expanded analysis of the financial status of decentralized government units and public enterprises—including all SOEs, PPPs, and public banks—will be completed by end-September 2022.
- At any time during 2022–24, should revenues (including from oil) fall short or other fiscal risks are realized, we will slow arrears repayments. In contrast, should oil revenues or net external assistance exceed expectations, half of the surplus will be used to strengthen government deposits at the BEAC. The rest of the surplus will be applied toward social spending, domestic arrears payments, compensating for shortfalls or delays of external financing, and building buffers against future shocks.

B. Public Investment and Debt Management

15. The government is committed to improving public investment management, which is fundamental to avoiding accumulation of new arrears and improving the efficiency and effectiveness of public spending.

- We will only procure projects that are in the budget. To this end, we will develop a comprehensive template for consolidated and sectoral public procurement plans by end-June 2022 (structural benchmark), roll the template out to ministries and agencies in 2022Q3,

and map the filled-in template to the 2023 budget by end-2022 (structural benchmark). The budget law for 2023 will explicitly state that procurement cannot take place outside the template, with the exception of emergency items that are approved by the Minister of Finance before the procurement is initiated.

- Current project planning methods will be upgraded and systematized. With the assistance of FAD TA during 2022, we will develop a medium-term public investment plan that prioritizes projects based on considerations such as the national Development Plan 2022–26 and the need for economic diversification, international commitments—such as the SDGs, the 2023 African Union Agenda, and the CEMAC’s regional economic program—and cost-benefit analysis. Training will also be provided to our staff to develop their capacity to prepare and implement the medium-term investment plan.
- We will improve the efficiency of public investment implementation, especially given large infrastructure spending needs. Here, among other efforts, we will review the survey on the efficiency of past investment projects (those launched since 2014), which was supported by the World Bank; and we will create an action plan to improve the effectiveness of public investment.

16. The government will advance prudent debt management and efforts to improve debt transparency in order to help enhance debt sustainability.

- While the government has concluded and is implementing debt restructuring agreements with two out of three of our main oil traders, we will aim to conclude debt restructuring with the remaining oil trader. Repayment of arrears to this oil trader, which were accumulated as part of the negotiation process, will be part of the restructuring agreement.
- By end-July 2022, we will develop a comprehensive medium-term debt management strategy covering 2023–25 which aims to (i) finance the needs of the State at a lower cost while maintaining risks at acceptable levels; and (ii) contribute to the development of the domestic market for government securities (structural benchmark).
- To strengthen the credibility of the debt management strategy and improve coordination between debt managers and the budget authorities, we will begin publishing the borrowing plan for the upcoming budget year as an annex to the budget (as required by regional regulations)—beginning with fiscal year 2023, meaning the borrowing plan will be an annex to the 2023 budget (by end-December 2022). The borrowing plan will provide information for each category of debt instrument (or lender for external borrowing) and the nominal borrowing amount (on cash basis) for fiscal year 2023.
- We are also committed to creating a comprehensive single debt database that is regularly updated and spans domestic and external debt, guaranteed and unguaranteed debt, and the debt of all public enterprises, public institutions and local governments. This database will be based on the expansion of the existing Caisse Congolaise d'Amortissement (CCA). By end-June 2022, we intend to have the CCA cover all central government debt (domestic, external,

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guaranteed and unguaranteed debt), all local government and public institution debt, and the debt of the 10 largest SOEs. In support of this effort, a ministerial order has been issued at end-November 2021, instructing the 10 largest SOEs to provide data on their guaranteed and non-guaranteed debt to CCA in December and June of each year.

- By end-December 2022, we will also review the organizational structure of the CCA and adopt relevant decrees to improve its effectiveness, in line with the recommendations of the June 2019 IMF technical assistance report. This will include a review of CCA's legal framework to ensure that it is the main structure for public debt management; a review of the organizational chart of the CCA to reflect best practices in the organization of a debt management office; and strengthen the functioning of the Committee National de la Dette Public and the structure underlying coordination between the Treasury and the CCA in the context of the issuance of public securities on the CEMAC regional market.
- We will enhance the reliability and transparency of public debt information by (i) better recording of debt data; (ii) quarterly publication of data on outstanding stock and composition of public debt by creditor (central government debt, contingent liabilities) including their currency denomination, maturity, interest rate structure, and debt service projection; (iii)) annual publication on the government website of an annual debt report which, among other information, elaborates on guaranteed and unguaranteed debt of the 10 largest SOEs; (iv) annual projections of domestic and external debt trends (guaranteed and unguaranteed) of public enterprises, public institutions and local authorities; (v) and better coordination and better information sharing between the agencies concerned, as recommended by IMF TA.
- The government will exclusively use concessional external loans for the duration of the program—except the low-interest and extended maturity budget support loans from the World Bank (IDA)—and the government will seek refinancing in regional and national markets for previously issued securities and to cover very short-term liquidity needs.
- Neither the central government nor parties acting on behalf of the central government will contract any new external debt guaranteed with future natural resource deliveries—including any new oil-for-infrastructure pre-financing agreements.
- We also pledge to continue fiscal consolidation efforts should further debt or contingent liabilities materialize.

C. Safeguarding and Improving Use of Energy Resources

17. We plan to continue substantive energy sector reforms as they are critical to improving governance, reducing contingent liabilities of energy sector SOEs, mobilizing revenues, and rationalizing spending.

18. After carrying out a feasibility study, the government will take measures aimed at the application of “true” oil prices in the “fuels” sector, with a view to reducing subsidies to CORAF and CEC. It will also publish the audit reports of these two companies for year n , before the end of year $n+1$. Payments to the oil sector, which include CORAF and CEC, will be limited to CFAF 77 billion in 2022, which is less than CFAF 85 billion in 2021. To this end, the government has:

- Concluded a performance contract with CORAF focused on efforts to reduce operating costs and lower investments, payment by CORAF of the crude made available to it by the State in the Single Treasury Account (TSA), sale by CORAF of petroleum products directly to distribution companies, recovery by CORAF from distribution companies of revenues from the sale of petroleum products, and a quarterly review by the ministries in charge of finance, trade and hydrocarbons of the parameters for controlling the pricing mechanism for finished petroleum products;
- Conditioned the payment of the subsidy to the CEC on the basis of quarterly reporting of expenditures to justify the subsidy and CEC's turnover, including claims from the energy sector.

19. The government will develop an action plan for the next phase of reforms aimed at reducing transfers and subsidies. Key elements will include: (i) a study to determine production costs; (ii) improving the electricity billing process and coverage to reflect actual electricity consumption with a view to recovering production costs; (iii) implementing the 2005 price-based regulatory framework for fuel prices and ensuring sufficient social assistance to mitigate the impact on vulnerable groups; and (iv) enforcing full payment by CORAF for the oil it purchases from the government and full payment of dividends by large SOEs such as the Société Nationale des Pétroles du Congo (SNPC).

20. To improve transparency and revenues in the oil sector, the government will:

- Immediately hire an internationally renowned audit company to produce reports reconciling oil flows and a table showing all of the holders of mining, forestry, and oil concessions. Specifically, the reconciliation is between the amount of oil that the State should receive based on production sharing agreements and the value of oil revenues actually registered to the budget. The government will publish this oil flow reconciliation report and the table listing all holders of natural resource concessions on the government website by end-June 2022 (structural benchmark).
- Continue to have audits (conducted by internationally renowned audit companies) of the petroleum costs declared by petroleum companies under their respective production-sharing agreements.
- Conduct a comprehensive review of the oil sector fiscal regime by end-September 2022, develop an action plan to raise oil-related fiscal revenues by end-November 2022, and seek to incorporate some of these measures in the 2023 budget. The action plan will aim to: reduce the deficit in the downstream oil sub-sector; (ii) develop a pricing policy for

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petroleum products while protecting the most vulnerable; (iii) improve the performance of CORAF with a view to reducing public subsidies in the downstream oil sub-sector; and (iv) estimate gains arising from the elimination of preferential VAT rates on imports under agreed investment conventions, improved implementation of VAT on domestic and imported refined petroleum products (where the legislation is only partially applied) and broadening the base to which VAT on refined petroleum products is applied (i.e., expanding it beyond the services portion of the production chain).

- If needed, we may also request Fund technical assistance on best practices in natural resource management.

D. Public Financial Management and Governance Reforms

21. The government will continue to implement reforms to improve public financial management and management of fiscal risks.

- In March 2022, the law on allocation, organization and functioning of the Court of Accounts and Budgetary Discipline (CABD) as well as its implementing regulations will be adopted by Parliament. As a result, the CABD's capacity and independence will be strengthened.
- By end-March 2022, with IMF technical assistance provided in November 2021, the government will develop a new medium-term strategy for PFM reforms (building off an existing draft strategy) with a comprehensive 3-year action plan, updated every 18 months, that will provide a roadmap for future reforms, including a comprehensive timetable of actions and reforms (structural benchmark).
- By end-December 2022, we will develop a legal and regulatory framework for public private partnerships (PPPs) that is consistent with international best practices.
- To improve budget execution, in line with CEMAC regulations, a committee will monitor, update, and coordinate the application of the cash flow plan with the consolidated commitment plan based on the budget (and, from 2023, with the comprehensive procurement plan and template). This committee will include only representatives of the Ministry of Finance and it will be operationalized by end-January 2022; and will meet on a weekly basis to update the Treasury's cash flow plans and on a monthly basis for all other matters. We will also ensure that the commitment plan and the cash flow plan are consistent and that all ministries, under the supervision of the General Budget Directorate, provide their procurement and commitment plans, thus improving reliability of the cash flow plan.
- We will implement the new organizational chart of the Ministry of Finance by end-January 2022. The general directorates of Treasury and public accounting have been combined. As a next step, we will update the associated regulatory and legal framework and create a modernization unit.

- We are committed to improving the architecture of the Treasury Single Account (TSA) at the central bank. To this end, by end-June 2022, we will (i) prepare a complete list of all public accounts (central government and public entities) remaining in commercial banks with a view to closing them after transferring the associated deposits to the BEAC; and (ii) ensure the automatic transfer of revenues from sales of oil exports and of resources from public entities into the TSA. These actions should lead to improved Treasury services and facilitate proper payment execution. They will also be included in the PFM reform strategy. We will also ensure that the free resources in the government's escrow account in China are regularly repatriated into the TSA.
- To ensure better monitoring of payments and receipts, we will ensure the interconnection of information management systems used by customs offices (ASYCUDA), tax authorities (E-TAX), and Treasury before end-June 2022.

22. The government is transitioning to an improved version of the Financial Management Information System (SIGFIP) to support more transparent application of public expenditure commitments and better control of public revenues. The budget preparation and execution modules of SIGFIP (key elements of the transition of the expenditure chain to the new system) became operational from end-2021; and the remaining modules (accounting, cash management, fiscal reporting, treasury, procurement) are targeted to become operational by end-December 2022 (structural benchmark). The operationalization of SIGFIP combined with the interconnection of other information management systems (such as the systems used by the customs and tax administrations as well as the Treasury) will enable comprehensive monitoring of public revenue collection (oil and non-oil) and the execution of public spending (the full expenditure chain). To assist with the implementation of the new system, the IMF has provided technical assistance in August and November 2021, which supported development of an action plan related to SIGFIP implementation. The government is committed to implementing this SIGFIP action plan. To ensure proper implementation of SIGFIP, the government will provide adequate infrastructure (electricity, internet), set up processes for regular communications across relevant departments, provide training, and perform adequate testing of the new SIGFIP.

23. To ensure full transparency of emergency spending during the pandemic, the government continues to commit to the following measures. We will (i) post on the government website the full text of all procurement contracts related to COVID-19 spending (with names and nationalities of beneficial owners of awarded legal persons) within 45 days of their award for contracts awarded after December 31, 2021; and (ii) by end-March 2022 for all contracts awarded before December 31, 2021. We will undertake and post on the government website ex-post reports on the delivery of COVID-19 related contracts, within 90 days of completion dates (where completed after December 31, 2021) and by end-March 2022 (for all spending completed by December 31, 2021). We will hire a reputable third-party internationally renowned audit company to audit all COVID-19 related purchases and expenses contracted in fiscal years 2020 and 2021. We have formulated and agreed on the terms of reference for the audit, in consultation with IMF staff, and we have published the call for tenders to select the audit firm (prior action). The audit results for 2020 will be posted on the government website by end-June 2022 (structural benchmark); and those for 2021 will be posted

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by end-December 2022. The audits will focus not only on the financial aspects of procurement, but also on compliance with applicable procurement regulations.

24. We recognize that in order to produce sustainable and inclusive growth of our economy, it is essential for us to continue to improve governance and transparency while combatting corruption. The government has already taken bold and significant steps to address significant and substantial governance weaknesses and corruption vulnerabilities. These include the conclusion, in consultation with Fund staff, and publication of a comprehensive diagnostic report on governance and corruption, the reinforcement of our anti-corruption legal architecture, and steps to improve governance in the oil sector. We have also begun to comprehensively improve transparency and our commitment to transparency will help to address corruption vulnerabilities, which constitutes a necessary precondition to improving the business climate. To better guide our future efforts to break with the past and improve governance, we will by July 2022 conduct analysis of the implementation of measures committed to in our 2018 diagnostic report and identify areas for further improvement.

25. We have substantially improved our anti-corruption architecture. In consultation with Fund staff, we have drafted a new anti-corruption law and, as a prior action, we have submitted it to Parliament. This new law better aligns with our obligations under the United Nations Convention Against Corruption (UNCAC), in particular in relation to the criminalization of corruption offences, and other international obligations undertaken by Congo. By end-March 2022, the law will be enacted and we will publish the decree dealing with the conflict-of-interest rules and procedures envisaged in the anti-corruption law, where the decree will fully comply with the requirements of the UNCAC (structural benchmark). Our new anti-corruption commission, the High Authority for the Fight against Corruption (HALC), is now operational. We are committed to ensuring its full independence, and to making sure that it receives the necessary budgetary allocations to perform its functions. We will publish all reports of the HALC on the government website within 5 days of their provision to the government. We will also ensure that full statistics in respect of the work of the HALC are published on a quarterly basis on the government website, and the Ministry of Justice will publish, on a quarterly basis, statistics of all indictments and convictions for corruption-related offences. To develop a comprehensive jurisprudence, the full text of all judgments in corruption related cases will be published within 30 days of the judgment.

26. We have operationalized the requirement that high-level members of the government disclose their assets. We enacted a law in 2018 that gives effect to the constitutional requirement that high-level officials declare their assets. We will work with Fund staff to revise this law to bring it into line with international good practice so that our asset declaration regime can contribute to the fight against corruption. We will, in the meantime, rigorously ensure that all officials covered by the existing law fully comply with their obligations.

27. The government is making strides in advancing transparency.

- We have enshrined in the law on transparency the creation of a committee responsible for its implementation. We will ensure that the committee, which includes civil society

representatives, is equipped with the necessary resources to perform its functions. We will also ensure that all parts of our administration cooperate fully with the committee and that the transparency law is fully implemented. All information which is required to be made public under the transparency law will be published on the government website.

- We are fully transparent in relation to our internal and external evaluation reports. This is evident from our publication of the 2018 report of the Extractive Industries Transparency Initiative (EITI) and, as a prior action, our recent publication of the EITI report for 2019.
- By end-January 2022, we will publish on the government website: all final reports of the Inspection General of Finance (IGF) for the period 2011-2020; all final reports of the National Accounts Commission (CNC); a list of companies and public institutions that have not provided appropriate access for carrying out audits, as well as those that are slow in meeting their financial obligations to the CNC; and the list of companies and public entities that are not under the purview of the CNC.
- We will ensure that the organic law for our supreme audit institution (Cour des Comptes) and all necessary implementing regulations are in place by end-April 2022, and that all reports finalized by the Cours des Comptes are published on the government website within 30 days of being finalized.

28. The government supports the widespread dissemination of information on court proceedings and the functioning of law enforcement institutions. To this end, from end-January 2022, we plan to publish on the official website (i) for each court (magistracy), the number of sitting judges, the staff in office and the number of vacant positions, and for each service (prosecution), the number of prosecutors and staff, as well as the number of vacant posts; (ii) the number of cases relating to corruption, AML/CFT, insolvency, foreclosures and land for 2015–20; and (iii) all decisions of the Supreme Court.

E. Broader Structural Reforms

29. We recognize that economic diversification and adaptation to climate change are fundamental to achieving an economic recovery with higher, more inclusive, and resilient economic growth, and one that will result in higher job creation. To this end, we are in the process of adopting a new National Development Plan 2022-26 that is consistent with these objectives and that incorporates the Sustainable Development Goals (SDGs) and those of Agenda 2063 for the development of Africa. In addition, it will account for the recommendations of the CEMAC economic and financial reform program (PREF-CEMAC) relating to the structural transformation of national economies within CEMAC. Finally, we will strive to continue expanding and improving basic infrastructure through the following strong measures:

- Implementing reforms are based on the economic and financial reform program for the CEMAC zone (PREF-CEMAC).

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- Improving infrastructure for transport, irrigation, water and sanitation, and telecommunications—aiming to raise productivity and job creation in our areas of strategic advantage (agriculture, food processing, forestry and wood products, and ICT) and manufacturing and services (tourism, financial services). This will also help build resilience to climate shocks for farmers and small businesses.
- Raising access and affordability of energy. In addition to the reforms in ¶120, we will improve rural electrification through use of solar and wind energy.
- Improving the business climate and external competitiveness, including by removing trade barriers, improving contract enforcement, insolvency procedures, and investor protection. For example, by end-June 2023, we will (i) computerize and publish the company register; and (ii) publish a complete inventory of fiscal charges (and parafiscal charges) applied to businesses, formal and informal. The government (i) will create a national real estate registry; (ii) simplify procedures and reduce business creation costs; and (iii) reform administrative costs in order to facilitate cross-border trade.
- We are also committed to not applying import restrictions for balance of payments purposes, in line with the standard practice in all Fund arrangements.

30. We will also strengthen financial sector resilience and broaden access to finance, which will support macroeconomic stability, economic diversification, and resilience-building.

By end-June 2022, the government will work with BEAC and COBAC to build a roadmap to raise financial inclusion based on the recent BEAC and COBAC initiative. To support these efforts, the government will adopt a law regulating factoring and leasing in compliance with local and regional regulations guided by BEAC and COBAC. The government will also continue to strengthen the legal and judicial systems' ability to address financial litigation. Financial stability will benefit from the reduction in non-performing loans as domestic arrears clearance progresses (¶14). We will also continue to closely monitor the solvency and liquidity indicators of the banking system and develop restructuring plans for two fragile banks.

F. Strengthening Statistical Capacities

31. The government will prioritize improvement of public statistical databases.

The Ministry of Economy and Planning is implementing a plan to improve data collection capacities and ensure the regular publication of useful and high-quality statistics for the development of public policies. Considerable improvements have been made to the quality of annual national accounts statistics with the assistance of the IMF. These include the release of new annual national accounts according to the SNA 1993 methodology, with an updated base year of 2005; release of a rebased consumer price index; and the preparation of quarterly national accounts to be released by end-January 2022. On demographics, we have made progress on a general population and housing census, which will be completed shortly. A 1-2-3 survey on household living conditions and a demographic and health survey was launched with the funding from the World Bank.

32. The government is committed to pursuing its efforts on the publication of basic economic indicators. Data on monthly inflation rates can be accessed through the ministry of finance website. Quarterly results of public finances (TOFE), debt service and outstanding debt will be published on the website of the Ministry of Finance within 90 days of the reporting date of the concerned statistics.

G. Funding of the Program

33. Our program is fully funded over the medium term. We have obtained firm financing commitments from our external partners—including firm assurances for the next 12 months and good prospects for the duration of the program—to complement the financing guaranteed by the restructuring of external debt and the financing expected from the restructuring of domestic debt. Over the medium term, we will continue to work with our partners to ensure we receive financing that will fully cover the financing gap for the remainder of the program.

H. Program Monitoring

34. The program is subject to semi-annual monitoring by the IMF's Executive Board on the basis of quantitative criteria and indicators, structural benchmarks, and prior actions as indicated in Tables 1, 2, and 3 attached. These criteria and indicators are described in the attached Technical Memorandum of Understanding (TMU), which sets out quantitative performance criteria and reporting requirements under the ECF arrangement. The first semi-annual review will be based on data and performance criteria at end-February 2022 and should take place after April 15, 2022. The second semi-annual review will be based on data and performance criteria at end-June 2022 and is expected to take place after October 15, 2022.

35. We will strengthen internal monitoring mechanisms to ensure strong program implementation. A program monitoring committee (Program Monitoring Committee, DSP) has been established by the government and is responsible for collecting information from the entities responsible for implementing program measures and regularly evaluating their performance. We will keep civil society regularly informed of our performance during the implementation of the program. To this end, we will relaunch the publication of tables containing information on program monitoring and implementation, drawn up in consultation with the IMF staff, on government websites, in particular the Ministry of Finance website. These include quarterly budget results and forecasts, monthly inflation rates, and the quarterly public debt stock and debt service.

Table 1. Republic of Congo: Quantitative Performance Criteria (PC) and Indicative Targets (IT), 2022
(Billions of CFA francs; cumulative from the beginning of the year, except where otherwise indicated)¹

	Type of criteria	End-Feb 2022	End-Mar 2022	End-Jun 2022	End-Sept 2022
		PC Program	IT Program	PC Program	IT Program
Floor on basic non-oil primary budget balance ²	PC	-128	-159	-309	-451
Ceiling on net domestic financing of the central government	PC	168	210	289	449
Ceiling on accumulation of new arrears on external debt contracted or guaranteed by the central government ³	PC	0	0	0	0
Ceiling on contracting or guaranteeing of new non-concessional external debt by the central government (US\$ million) ^{3,4,5,7}	PC	0	0	0	0
Ceiling on new external debt contracted by or on behalf of the central government and guaranteed with future natural resource (including oil) deliveries ^{3,6}	PC	0	0	0	0
Floor on non-oil revenues	IT	96	120	289	480
Floor for social and poverty-reducing spending	IT	61	76	152	228
Ceiling on disbursements of external loans for investment projects	IT	17	21	56	110
Ceiling on new concessional external debt contracted or guaranteed by the central government (US\$ million) ^{4,7}	IT	15	19	37	56
Floor on repayment of domestic arrears accumulated by the central government	IT	16	20	30	80
Memo items: :					
Oil revenue ⁸		161	201	439	699
Expected external budgetary assistance, net ⁹		9	9	19	28
- BoP assistance (IMF-ECF)		51	51	102	102
- Budgetary loans and grants (excl. IMF)		9	9	19	28
- Change in non-program external arrears		0	0	0	0
Payments for current external debt service due after debt relief		127	159	318	476

¹ Quantitative Performance Criteria and Indicative Targets are defined in the TMU. During the first review of the ECF arrangement, Quantitative Performance Criteria are being set for end-February 2022 and end-June 2022; end-March 2022 and end-September 2022 figures are Indicative Targets. Date specific performance criteria are still considered continuous.

² Defined as non-oil domestic revenue minus total expenditures excluding interest payments, transfers paid with crude oil, and foreign-financed investment.

³ These ceilings are set to zero and to be respected continuously from the date of program approval.

⁴ Excluding all sources of budgetary support identified in the program.

⁵ Excluding all types of financing mentioned in paragraph 10 of the TMU.

⁶ Subject to the exception allowed in paragraph 11 of the TMU.

⁷ Cumulative from the date of program approval and is on a contractual basis in accordance with the IMF's debt limits policy:

<https://www.imf.org/-/media/Files/Publications/PP/2021/English/PPEA2021037.ashx>.

⁸ Excluding oil barter transactions for the payment of transfers.

⁹ As defined in paragraphs 18 and 22 of the TMU.

Table 2. Republic of Congo: Structural Benchmarks

Measures	Target date	Status	Macroeconomic Rationale
Prepare a new medium-term strategy for PFM reforms, with a 3-year action plan, updated every 18 months.	End-March 2022		Improve the efficiency and transparency in the use of public resources.
Parliamentary approval of the new anti-corruption law and publication of the accompanying decree clarifying conflict of interest rules and procedures.	End-March 2022		Reduce corruption, improve governance, and protect public resources.
Publish on the government website the audit (by a reputable international audit firm) of COVID-19-related spending during 2020.	End-June 2022		Improve transparency and governance and protect public resources.
Publish on the government website oil reconciliation reports prepared by a reputable international audit firm and a table with all mining, forestry, and oil concessions holders.	End-June 2022		Improve transparency and protect public resources.
Prepare a template for consolidated and sectoral public procurement plans that is comprehensive and reflects international best practices.	End-June 2022		Improve public investment management, budget credibility and transparency, and cash management.
Prepare a comprehensive medium-term debt management strategy.	End-July 2022		Manage debt-related risks and support fiscal sustainability.
Fully operationalize the remaining modules (accounting, cash management, fiscal reporting, treasury, procurement) of the new Expenditure Tracking Software (SIGFIP).	End-December 2022		Improve transparency and governance and protect public resources.
Prepare an inventory of all tax arrears to identify them with precision and establish the probability of recovery.	End-December 2022		Improve tax administration and support domestic revenue mobilization efforts.
Operationalize the procurement planning template by mapping it to the 2023 budget.	End-December 2022		Improve management of public spending (including public investment), budget credibility and transparency, and cash management.

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Table 3. Republic of Congo: Prior Actions		
Measures	Status	Macroeconomic Rationale
Submit the new anti-corruption law to Parliament.	Completed	Reduce corruption, improve governance, and protect public resources.
Agree on terms of reference for the audit (by a reputable international audit firm) of COVID-19-related spending during 2020–21, and publish the call for tenders.	Completed	Improve transparency and governance and protect public resources.
Publish on the government website the 2019 report of performance under the Extractive Industries Transparency Initiative (EITI).	Completed	Improve transparency and governance.

Attachment II. Technical Memorandum of Understanding

I. INTRODUCTION

1. This Technical Memorandum of Understanding (TMU) defines the quantitative performance criteria and indicative targets established by the Congo authorities and staff of the International Monetary Fund (IMF) for the monitoring of the program supported by the Extended Credit Facility (ECF) arrangement. It also determines the type of data and information to be provided to the IMF for program monitoring purposes, and the periodicity and deadlines for the transmission of these data.
2. The quantitative performance criteria, indicative targets, and cutoff dates are provided in Table 1 of the Memorandum on Economic and Financial Policies (MEFP).

II. KEY DEFINITIONS

3. **Government.** Unless otherwise indicated, the state or "government" is defined as the central government of the Republic of Congo, which includes all implementing bodies, institutions, and any units receiving special public funds, the powers of which are included in the definition of the central government under the *Government Finance Statistics Manual 2001 (GFSM 2001)*; paragraphs 2.48–50). This definition does not include local units of government, the central bank, or any agencies or entities of the central government having autonomous legal status and whose operations are not reflected in the table of government financial operations (TOFE).
4. **Unless otherwise indicated**, public entities are defined in this Technical Memorandum of Understanding as companies in which the public sector owns majority stakes.
5. **Performance criteria (PC) and indicative targets (IT) are established in connection with program monitoring.**
 - A. The performance criteria (PC) include:
 - (a) A floor on the basic non-oil primary balance;
 - (b) A ceiling on central government net domestic financing;
 - (c) A ceiling on accumulation of new arrears on external debt contracted or guaranteed by the central government;
 - (d) A ceiling on the nominal value of new non-concessional external debt contracted or guaranteed by the central government;

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- (e) A ceiling on the nominal value of new external debt contracted by or on behalf of the central government and guaranteed with future natural resource (including oil) deliveries.

B. The indicative targets (IT) include:

- (a) A floor on social and poverty reducing expenditure;
- (b) A ceiling on disbursements of external loans for investment projects.
- (c) A ceiling on the nominal value of new concessional external debt contracted or guaranteed by the central government.
- (d) A floor on non-oil revenue
- (e) A floor on repayment of domestic arrears accumulated by the central government.

6. Performance criteria (PC), indicative targets (IT), and adjusters are calculated as the cumulative change from January 1, 2022 for the 2022 criteria and targets except those in ¶5A(c), 5A(d), 5A(e) and ¶5B(c) which will be from approval of the ECF arrangement (Table 1 of the MEFP).

A. Performance Criteria

7. The basic non-oil primary balance, excluding oil-related transfers, is calculated as the difference between government revenue, excluding oil revenue and grants, and total government expenditure excluding interest payments on domestic and external debt, oil-related transfers, and externally-financed capital expenditure. Government expenditure includes net loans and is defined on a payment order basis.

8. Net domestic financing to government is defined as the issue of any instruments denominated in CFA francs to domestic creditors or on the financial markets of the Economic Community of Central African States (CEMAC), borrowing from the Bank of Central African States (BEAC) (including support from the IMF and use of SDR allocations) and CEMAC member countries (except the Development Bank of the Central African States, BDEAC), debt contracted as part of clearance of arrears through the Club de Brazzaville or any other debt contracted arranged with these creditors.

Net domestic financing is broken down into net bank financing and net nonbank financing.

- *Net bank financing or domestic credit of the government with banks* is defined as the change in the net government position vis-à-vis the banking system (BEAC and commercial banks) including reimbursement of the IMF. Net bank financing to government is calculated using the data provided by the BEAC. These data should be reconciled monthly between the treasury and the BEAC.

- *Net government nonbank financing* includes: (i) the change in the outstanding balance of government securities (treasury bills and bonds) issued in CFA francs on the regional financial market not held by the Congo banking system; (ii) amortization of nonbank domestic public debt; and (iii) revenue from privatizations. The treasury calculates government net nonbank financing on a monthly basis.

9. The government's external payment arrears include all external debt service obligations (principal and interest) matured and unpaid deriving from loans arranged or guaranteed by the central government, penalties, and interest charges deriving from these loans not paid at maturity. For performance criteria requirements, external debt service obligations matured and unpaid after 30 days will be considered "program" arrears. The performance criterion applies to any debt corresponding to the criteria defined in paragraphs 19-21. Arrears not considered "arrears" for performance criteria, or "non-program" arrears, include: (i) arrears accumulated on external debt service obligations for which the authorities have publicly announced that they seek a debt restructuring and for which they have approached the creditors; and/or (ii) disputed external debt service obligations.

10. For the purposes of the ceilings on the contracting or guaranteeing of new external debt (concessional and non-concessional), external debt is any debt contracted or guaranteed by the central government in foreign currency, with the following exceptions: (i) commercial debts in connection with import operations having maturities of less than one year; (ii) debt management operations (DMOs)—defined as the repayment or refinancing of the principal of outstanding external public debts prior to or at their maturity dates, where the present value savings from DMOs will be determined by a positive differential between the grant elements of the newly issued debt instrument (taking into account all costs associated with the operation) and of the debt instrument it replaces, using the IMF Concessionality Calculator (<https://www.imf.org/external/np/pdr/conc/calculator/default.aspx>)—that result in a reduction of the present value (present value savings) of the overall public external debt and/or an improvement of the overall public external debt service profile; and (iii) all sources of budgetary loans identified in the program. For program purposes, BDEAC loans are considered as external debt. External debt contracted or guaranteed by the government is considered to be concessional if, at the date on which it was contracted, it included a grant element of at least 35 percent, calculated as follows: the grant element of a debt is the difference between the nominal value and the present value (PV) of the debt, expressed as a percentage of the nominal value of the debt. The PV of debt at the time of its contracting is calculated by discounting the future stream of payments of debt service due on this debt.⁴¹ For debts with a grant element equal or below zero, the PV will be set equal to the nominal value of the debt. For the purposes of the program, all sources of budgetary loans contracted from the World Bank that have a grant element that is less than 35 percent will not be included in the calculations of the ceiling on contracting new non-concessional external debt. For program monitoring purposes, external debt is considered to be contracted or guaranteed when

⁴¹ The calculation of concessionality takes into account all aspects of the debt agreement, including maturity, grace period, payment schedule, upfront commissions, and management fees. The discount rate used for this purpose is the unified discount rate of 5 percent set forth in Executive Board Decision No. 15248-(13/97).

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all of the conditions for it to enter into effect have been met, including approval of the arrangement by the government of the Republic of Congo (the Council of Ministers) or the legislative authorities, if required. Guaranteed debt refers to any explicit legal obligation incumbent on the government to reimburse that debt should the debtor default (whether the payments are in cash or in kind).

11. Natural resources-related external debt is external debt which is contracted by or on behalf of the government and which gives a creditor any interest in natural resources (including oil), including a collateral interest. Pre-financing is defined as natural resources-related debt which is repaid, in whole or in part, by the sale of natural resources in the future. Pre-financing does not include prepayment. A prepayment is defined as an advance payment by the purchaser in connection with a specifically-identified natural resource shipment. Prepayment operations must be repaid within six months, and in any case within the calendar year during which they were arranged. New pre-financing by or on behalf of the government is strictly prohibited under the program. The refinancing and /or deferral of the existing stock of pre-financing debt and/or due dates would not fall within the ceiling on the nominal value of new external debt contracted by or on behalf of the central government and guaranteed with future natural resource (including oil) deliveries, if: (i) the transaction is discussed in advance with IMF staff; and (ii) at a minimum, results in a reduction of the present value (present value savings) of the overall public external debt and/or an improvement of the overall public external debt service profile. The present value savings from such debt management operation will be determined by a positive differential between the grant elements of the newly issued debt instrument (taking into account all costs associated with the operation) and of the debt instrument it replaces, using the IMF Concessionality Calculator (<https://www.imf.org/external/np/pdr/conc/calculator/default.aspx>).

B. Indicative Targets

12. Social and poverty reduction expenditure is public expenditure in priority social sectors deemed to be conducive to poverty reduction. A detailed list of expenditure items is provided in Table 1 below. The quarterly indicative targets are provided in Table 1 of the MEFP. Should further expenditure cuts be required, priority social expenditure will be reduced proportionally less than other primary expenditure financed with domestic resources, so that its proportion of priority social expenditure in the revised budget will be greater than in the original budget.

13. Disbursements of external loans in connection with investment projects are an indicative target for the program, for which the ceilings are provided in Table 1 of the MEFP. This indicative target applies to new disbursements, including those in connection with liabilities arranged before the program approval date.

14. New concessional external debt contracted or guaranteed by the central government, for which the amounts are provided in Table 1 of the MEFP, constitute an indicative program target. This indicative target applies to new external borrowing as defined in paragraph 10.

15. Non-oil revenue includes all government's (tax and nontax) revenue, with the exception of oil revenue as defined in paragraph 17 in the TMU. Value-added tax (VAT) is recorded net of VAT reimbursements.

16. The government's domestic arrears payments include arrears on all domestic debt service obligations (principal and interest) matured and unpaid deriving from loans arranged or guaranteed by the central government, penalties, and interest charges deriving from these loans not paid at maturity and include arrears arising out of non-payments for goods and services procured by the government. For performance criteria requirements, payment obligations matured and unpaid after 30 days will be considered "program" arrears and excludes clearance of arrears through Club de Brazzaville.

C. Memorandum Item Indicators

17. Oil revenue is defined as the government's net proceeds from the sale of oil, including the provision for diversified investments, royalties paid by oil companies, and the government's share in produced crude oil. It excludes all forms of prepayment, pre-financing, and oil barter transactions under special agreements that give rights on government oil to oil companies. The oil revenue projections take account of the 45-day lag between the date of shipment and the date of receipt of the sale proceeds by the Treasury.

18. Net external assistance, as defined in paragraph 22 below, is a memorandum item indicator for the program. This budget assistance, which is also reflected in Table 1 of the MEFP, reflects the financing indications from the external partners of the Republic of Congo.

D. External Debt

19. The term "**debt**" corresponds to the definition in paragraph 8 (a) of the guidelines on public debt limits in programs supported by the Fund appended to Decision 15688-(14/107) of the Executive Board adopted on December 5, 2014, as well as liabilities undertaken or guaranteed for which the assets have not been received. Under these guidelines, "debt" will be understood to mean a direct, i.e., not contingent, liability created under a contractual arrangement through the provision of value in the form of assets (including currency) or services, and which requires the obligor to make one or more payments in the form of assets (including currency) or services, at some future point(s) in time; these payments will discharge the principal and/or interest liabilities incurred under the contract.

20. Debts can take a number of forms, the primary ones being as follows: (i) loans, i.e., advances of money to the obligor by the lender made on the basis of an undertaking that the obligor will repay the funds in the future (including deposits, bonds, debentures, commercial loans, and buyer's credits) and temporary exchanges of assets that are equivalent to fully collateralized loans under which the obligor is required to repay the funds, and usually pay interest, by repurchasing the collateral from the buyer in the future (such as repurchase agreements and official

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swap arrangements); (ii) suppliers' credits, i.e., contracts where the supplier permits the obligor to defer payments until sometime after the date on which the goods are delivered or services are provided; and (iii) lease agreements, i.e., agreements under which property is provided which the lessee has the right to use for periods of time that are usually shorter than the total expected service life of the property, while the lessor retains the title to the property. For the purposes of these guidelines, the debt is the present value (at the inception of the lease) of all lease payments expected to be made during the period of the agreement, excluding those payments that cover the operation, repair, or maintenance of the property.

21. Under the definition of debt set out above, any penalties, judicially awarded damages and interest costs arising from the failure to make payment under a contractual obligation that constitutes debt shall be considered a debt. **Failure to make payment on an obligation that is not considered debt** under this definition (e.g., payment on delivery) will not give rise to debt.

III. ADJUSTORS

22. **The quantitative objectives of the program are calculated based on the projected amounts of** (1) net external assistance; (2) oil revenue; and (3) oil-related transfers. For purposes of the program, **net external assistance** is defined as the difference between (a) cumulative budget support (grants and loans), the impact of debt relief granted by external creditors, and the net change in "non-program" arrears; and (b) cumulative payments for current external debt service due after debt relief, in connection with loans for which debt relief arrangements have been executed. **The net change in "non-program" arrears** is the total of "non-program arrears" in connection with current debt service maturities less the total cash payments to clear these arrears.

23. **The floor for the basic non-oil primary balance excluding oil-related transfers, and the ceiling for net government domestic financing** will be adjusted should net external assistance, oil revenue, and/or oil-related transfers differ from the projected amounts.

24. **Adjustments in connection with net external assistance, oil revenue, and oil-related transfers:**

- *When total net external assistance and oil revenue exceed program projections*, the floor for the basic non-oil primary fiscal balance will be adjusted downward by an amount equal to half of the surplus (so that half of the surplus can be used for additional expenditure). The ceiling for net domestic financing to government will be adjusted downward by half of the surplus. Half of the additional resources available for expenditure (i.e., one quarter of the of the amount by which net external assistance and oil revenue exceed program projections) must be used in the social sectors (for current and/or capital expenditure) and the rest to repay domestic arrears. The additional amount for net domestic financing (i.e., half of the of the amount by which net external assistance and oil revenue exceed program projections) will be used to strengthen government deposits at the BEAC (as opposed to repaying faster domestic debt). The floor on social and poverty reduction expenditure will be adjusted upward by the additional resources used in social sectors. The floor on the reimbursement of

domestic arrears accumulated by the central government will be adjusted upwards by the additional resources used to pay these arrears.

- *When oil-related transfers exceed program projections by more than CFAF 30bn*, the floor for the basic non-oil primary balance excluding oil-related transfers will be adjusted upward by any amount in excess of the programmed oil-related transfers minus CFAF 30bn. The expenditure cuts must be applied as a priority outside of the social sectors. At a minimum, the ratio of social expenditure to total expenditure should improve as a result of such expenditure cuts. The floor on social and poverty reduction expenditure will be adjusted downward by cuts in expenditure in social sectors.
- *When total net external assistance and oil revenue are below program projections*, the floor for the basic non-oil primary fiscal balance will be adjusted upward by an amount equal to half of the shortfall (requiring a budget adjustment equivalent to half of the shortfall). The ceiling for net domestic financing to government will be adjusted upward by half of the shortfall. The expenditure cuts corresponding to half of the shortfall must be applied as a priority outside of the social sectors. At a minimum, the ratio of social expenditure to total expenditure should improve as a result of such expenditure cuts. The floor on social and poverty reduction expenditure will be adjusted downward by cuts in expenditure in social sectors. If there are cuts in domestic arrears repayments, the floor on the repayment of domestic arrears accumulated by the central government will be adjusted downward.

IV. PROGRAM MONITORING AND REPORTING REQUIREMENTS

25. The monitoring of performance criteria, indicative targets, and structural benchmarks will be the focus of a quarterly assessment report to be prepared by the authorities within a maximum of 45 days after the end of each quarter. The information on implementation and/or execution of structural benchmarks under the program will be reported to IMF staff within two weeks after their programmed implementation date. The status of implementation of other structural program measures will also be reported to IMF staff within the same time frame.

26. The government will report the information specified in Table 2 below according to the reporting periods indicated. More generally speaking, the authorities will provide IMF staff with all information required for effective follow-up on economic policy implementation.

27. The authorities undertake to consult IMF staff on any new external debt proposals. They will report to IMF staff on the signing of any new external debt arrangements and the conditions pertaining to such debt.

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Table 1. Republic of Congo: Social Spending in the 2022 Budget
(Billions of CFA francs)

ITEM	2022					Total
	2021	Q1	Q2	Q3	Q4	
Basic Health and Fight against Disease	162	35	44	61	35	174
Acquisition and management program for essential and generic drugs;	4.4	1.2	1.5	2.2	1.2	6.2
Program of free AIDS drugs;	18.0	3.6	4.5	6.3	3.6	18.0
AIDS education and extension campaign	0.3	0.1	0.1	0.2	0.1	0.5
Malaria control program	11.6	3.0	3.8	5.3	3.0	15.1
Extended vaccination program	12.5	2.6	3.2	4.5	2.6	12.9
Response to epidemics	18.8	3.5	4.4	6.1	3.5	17.6
Program of free cesarean section	2.4	0.5	0.6	0.8	0.5	2.4
Tuberculosis control program	0.5	0.1	0.1	0.2	0.1	0.5
Program for the control of nontransferable diseases, namely trypanosomiasis, onchocerciasis,	0.1	0.1	0.2	0.2	0.1	0.7
Revitalization of health districts through the purchase of medical and technical equipment	68.3	14.6	18.3	25.6	14.6	73.0
Construction and rehabilitation of general and basic hospitals and health centers in towns and rural centers;	22.9	4.6	5.8	8.1	4.6	23.2
Women and Teenager Health	2.2	0.8	1.0	1.5	0.8	4.2
Basic Education	84.1	20.5	25.6	35.9	20.5	102.6
Construction and rehabilitation of school buildings	2.7	1.3	1.6	2.3	1.3	6.5
Program of free school supplies, textbooks and tuition and teaching materials in primary, secondary general education, technical and vocational;	22.9	4.9	6.1	8.5	4.9	24.3
Capacity building of the education and research system	23.6	5.4	6.8	9.5	5.4	27.0
Construction, rehabilitation of university infrastructure and equipment, scientific research and technological innovation	0.0	1.8	2.3	3.2	1.8	9.2
Scholarships, school and university aid	30.5	6.1	7.6	10.7	6.1	30.5
Program of school canteens;	4.5	1.0	1.3	1.8	1.0	5.1
Infrastructures	35.4	18.9	23.6	33.1	18.9	94.6
Construction and rehabilitation of rural and agricultural roads through the Rural Development and Rural Rehabilitation	3.1	1.1	1.3	1.8	1.1	5.3
River maintenance, dredging and tagging	3.1	0.5	0.7	0.9	0.5	2.7
Construction and repair of access infrastructure (roads, bridges, etc.)	0.0	8.7	10.9	15.2	8.7	43.5
Urban sanitation, urban roads	29.2	8.5	10.6	14.8	8.5	42.4
Community projects and revitalization of the village fabric	0.0	0.1	0.2	0.2	0.1	0.7
Electricity, water and sanitation	27.4	5.5	6.9	9.6	5.5	27.4
"Water for all" program to continue the operation of drinking water supply in urban and rural centers;	10.7	2.1	2.7	3.7	2.1	10.7
Construction of electrical works for people's access to energy;	16.7	3.3	4.2	5.9	3.3	16.7
Social protection and employment	53.3	11.8	14.7	20.6	11.8	58.9
Charitable Actions and social aid	0.7	0.1	0.2	0.3	0.1	0.7
Integration and social and economic reintegration of the disabled and minorities	0.4	0.1	0.1	0.1	0.1	0.4
Care for vulnerable people and street children	23.6	5.6	7.0	9.8	5.6	28.1
Self-employment and training for small trades through income-generating activities for the benefit of young people in general and especially unemployed young people	1.6	0.5	0.7	1.0	0.5	2.7
Implementation of universal health insurance	27.0	5.4	6.7	9.4	5.4	26.9
Agriculture, fishing and livestock	7.5	3.4	4.2	5.9	3.4	16.9
Market gardening program in urban and rural centers;	2.7	2.0	2.5	3.5	2.0	9.9
Improved seed distribution program;	0.5	0.1	0.1	0.2	0.1	0.5
Extension and demonstration program of agricultural techniques;	3.0	0.5	0.7	0.9	0.5	2.7
Breeding techniques demonstration program;	1.1	0.7	0.9	1.3	0.7	3.7
Bovine sharecropping program.	0.1	0.0	0.0	0.0	0.0	0.1
Promotion of women	4.3	1.0	1.2	1.7	1.0	4.8
Gender issue;	2.4	0.6	0.7	1.0	0.6	2.9
Self-employment and training in small trades through income-generating activities for the benefit of women and young mothers.	1.9	0.4	0.5	0.7	0.4	2.0
TOTAL	374.1	95.9	119.9	167.8	95.9	479.5

Table 2. Republic of Congo: Data to be Reported for Program Monitoring

Sectors	Type of data	Frequency	Reporting period
Real sector	Consumer price indices	Monthly	End of month plus 45 days
	Cyclical indicators (Directorate-General of Economy)	Quarterly	End of quarter plus 90 days
	Estimated national accounts	Annual	End of year plus 3 months
Government finance	Table of government financial operations (TOFE)	Monthly	End of month plus 30 days
	Estimated government tax revenue	Monthly	End of month plus 30 days
	Summary statistical statement of tax and customs exemptions	Monthly	End of month plus 30 days
	Pro-poor expenditure	Monthly	End of month plus 30 days
	Consolidated statement of treasury balances payable	Monthly	End of month plus 30 days
	Domestic arrears of the central government	Monthly	End of month plus 30 days
	Budget execution report	Quarterly	End of quarter plus 45 days
Domestic debt	Detailed statement of domestic debt	Monthly	End of month plus 30 days
	Detailed reporting on treasury bills (BTA) outstanding and new issuances	Monthly	End of month plus 30 days
	Detailed reporting on the stock of loans and bonds	Monthly	End of month plus 30 days
	Details of any new domestic borrowing and guarantees	Monthly	End of month plus 30 days
	Detailed domestic debt service forecasts	Quarterly	End of quarter plus 45 days
	Statement of issuances and reimbursements of treasury bills and bonds	Monthly	End of month plus 30 days
	Table on holders of treasury bills and bonds, stating the amounts held at the end of each month by Congo banks, CEMAC banks, and the nonbank sector	Monthly	End of month plus 30 days
	Debt statement and debt service projections for the 10 largest public enterprises	Semi-annually	End of semester + 45 days
	Detailed financial statement of the 10 largest public enterprises	Annually	End of year + 6 months
External debt	Detailed statement of external debt	Monthly	End of month plus 30 days
	Details of any new domestic borrowing and guarantees	Monthly	End of month plus 30 days
	Table of disbursements of new borrowing	Monthly	End of month plus 30 days
	Projected external debt service	Quarterly	End of quarter plus 30 days
	Detailed statement of external liabilities (whether or not guaranteed by the government) and external assets of public enterprises, and projected debt service	Quarterly	End of quarter plus 45 days
Balance of Payments	Provisional balance of payments	Annual	End of year plus 4 months